



GOVERNMENT OF SIKKIM
FINANCE, REVENUE & EXPENDITURE DEPARTMENT

ANNUAL CONSOLIDATED AUDIT AND REVIEW REPORT

ON
THE ACCOUNTS OF
PANCHAYATI RAJ INSTITUTIONS
& MUNICIPAL CORPORATION



FOR THE YEAR ENDED 31ST MARCH 2016
AS LAID BEFORE THE LEGISLATURE
(AS REQUIRED UNDER SECTION 19 OF THE SIKKIM LOCAL FUND AUDIT ACT, 2012)

DIRECTORATE OF LOCAL FUND AUDIT
DEORALI, GANGTOK

I, Pawan Chamling, Minister-in-Charge of Finance, Revenue and Expenditure Department do hereby authenticate the Annual Consolidated Audit and Review Report on the Accounts of Panchayati Raj Institutions, including Gram Panchayats and Zilla Panchayats, and Municipal Corporation for the Year ended 31st March 2016.

I approve the same for placing on the table of Sikkim Legislative Assembly.

Dated: 09.03.2017



PAWAN CHAMLING

ABBREVIATIONS

- i. GOI: Government of India
- ii. GOS: Government of Sikkim
- iii. MoRD: Ministry of Rural Development
- iv. FRED: Finance, Revenue and Expenditure Department
- v. LFA: Local Fund Audit, Sikkim
- vi. DLFA: Directorate of Local Fund Audit, Sikkim
- vii. CARR: Consolidated Audit and Review Report, LFA
- viii. SFR: Sikkim Financial Rules, 1979
- ix. SSR: Sikkim Service Rules, 1979
- x. SPWD: Sikkim Public Works Department
- xi. CAG: Comptroller and Auditor General of India
- xii. AG: Accountant General
- xiii. PRI: Panchayati Raj Institutions
- xiv. GP/GPU: Gram Panchayat/Gram Panchayat Unit
- xv. ULB: Urban Local Bodies
- xvi. RLB: Rural Local Bodies
- xvii. MGNREG: Mahatma Gandhi National Rural Employment Guarantee
- xviii. BRGF: Backward Region Grants Fund
- xix. TFC: Thirteenth Finance Commission
- xx. FFC: Fourteenth Finance Commission
- xxi. SFC: State Finance Commission
- xxii. PAO: Pay and Accounts Office, Sikkim
- xxiii. ZP: Zilla Parishad/Panchayat
- xxiv. NP: Nagar Panchayat
- xxv. MC: Municipal Council
- xxvi. GMC: Gangtok Municipal Corporation
- xxvii. NDZP: North District Zilla Panchayat
- xxviii. EDZP: East District Zilla Panchayat
- xxix. SJSRY: Swarna Jayanti Sahari Rozgar Yojana

- xxx. BSUP: Basic Service for Urban Poor
- xxxi. VWSC: Village Water and Sanitation Committee
- xxxii. USEP: Urban Self Employment Programme
- xxxiii. UCDN: Urban Community Development Network

- xxxiv. UWSP: Urban Women Self-help Programme

- xxxv. STEP-UP: Skill Training for Employment Promotion amongst Urban Poor
- xxxvi. UWEP: The Urban Wage Employment Programme
- xxxvii. CDS: Community Development Society
- xxxviii. UPE/UPA: Town Urban Poverty Eradication/Alleviation
- xxxix. NHG/NHC: Neighborhood group/ committee
- xl. UDF: Urban Development Fund
- xli. DPR: Detailed Project Reports
- xl.ii. UBSP: Urban Basic Services for the Poor
- xl.iii. NULM: National Urban Livelihood Mission
- xl.ii. DUDA: District Urban Development Agency
- xl.ii. SUDA: State Urban Development Agency
- xl.ii. DLRMC: District Level Review and Monitoring Committee
- xl.ii. SLMC: State Level Monitoring Committee

FOREWORD

The CONSOLIDATED AUDIT AND REVIEW REPORT for the year 2015-16 is compiled in TWO parts.

Part - I: PANCHAYATI RAJ INSTITUTIONS.

Part – II: MUNICIPAL CORPORATION.

Part I deals with a few Selected Audit Observations in respect of the Panchayati Raj Institutions i.e. Gram Panchayats and Zilla Panchayats and MGNREGS of the audited Gram Panchayats and Block Offices based on the records made available to the audit team.

Part II deals with a few Selected Audit Observations in respect of Gangtok Municipal Corporation based on the records made available to the audit team.

PREFACE

The Sikkim Local Fund Audit Act, 2012 has empowered the Director of Local Fund Audit to conduct the audit of accounts of Local Bodies. The Director, Local Fund Audit conducts post audit of all Local Bodies in the subsequent financial year. The Director, Local Fund Audit (DLFA) conducts the audit of these Panchayati Raj Institutions through the Directorate of Local Fund Audit, FRED.

The Audit Reports of notified Gram Panchayats and Municipalities are approved by the LFAO. Institution wise audit observations containing various audit objections are issued to the Executive Authorities of the Local bodies for follow up action i.e., rectification of defects pointed out in the audit reports and to submit suitable replies to the Audit after obtaining approval of the General Body of the authority concerned.

Under the Sikkim Local Fund Audit Act, the Director is vested with the power of disallowing any item of the expenditure incurred contrary to the Act/ Rules and surcharges/penalties for the same shall be imposed on the person incurring or authorizing such expenditure.

Under Section 19 of Sikkim Local Fund Audit Act, 2012, the Director, Sikkim Local Fund Audit is required to submit annually a Consolidated Audit and Review Report on the accounts of the Local Bodies to the Government for laying of such report on the table of the Legislative Assembly.

The Annual Consolidated Audit and Review Report (Annual CARR) for the year 2015-16 on the Accounts of Municipal Corporation audited for the year 2014-15, and PRIs namely Gram Panchayats & Zilla Panchayats audited for the year till 2015-16 has been prepared and the same is hereby submitted to the Government for kind perusal and approval.

OVERVIEW

During the year 2015-16, the Directorate of Local Fund Audit, apart from the current year audit, has also audited the accounts for some previous years as under:

Sl. No.	Name of the Institution	Total Units	District wise Units covered by DLFA (2015 - 2016)					
			EAST	WEST	NORTH	SOUTH	TOTAL	%
1.	DZUMSA	2			2		2	100.00
2.	GRAM PANCHAYAT UNIT	176	22	25	15	0	62	35.23
3.	MUNCIPAL CORPORATION	1	1	0	0	0	1	100.00
4.	MUNICIPAL COUNCIL	3	0	0	0	0	0	0
5.	NAGAR PANCHAYAT	3						0
6.	ZILLA PANCHAYAT	4	1	0	1	0	2	50.00
TOTAL		189	24	25	18	0	67	35.45

Note: 43 numbers of GPUs are yet to be covered till date.

AUDIT OBJECTIONS:

Various irregularities broadly categorized under 12 categories were noticed in the course of audit and the same were reported to the Executive Authorities as detailed below in order to facilitate prompt follow up action from their end.

1. Outstanding Advances
2. Diversion of grants/funds
3. Excess payments
4. Mis-utilisation of grants / funds
5. Non-collection of dues
6. Non-production of records
7. Non-remittance of deductions / recoveries made from vouchers / pay bills / contingent bills.
8. Non-utilization of grants within the timeframe.
9. Non adherence to rules
10. Wasteful expenditure
11. Irregularities in Execution of Works
12. Others
 - The category wise and institution wise numbers of audit objections raised during the year are shown in Statements appended herewith in respective institutional reports.
 - On receipt of replies to the defects pointed out in the earlier reports which were duly supported by relevant records / documents, the audit objections were settled wherever the replies were found to be satisfactory. The Audit Reports contain the details of number

of audit objections pending settlement at the close of the audit.

- Gist of the selected audit objections pertaining to Panchayati Raj Institutions and Municipal Corporation which were raised during the year 2014-15 & 2015-16 are also included in the respective parts of the report.
- The audit paras selected for inclusion in the Annual CARR present a glimpse of financial administration being practiced in the Local Authorities.

SUMMARY OF OBSERVATIONS

- The basic records like Receipt and Payment Register, Balance Sheet, Assets Register, Advance Register, Cash Book [Revenue Account] were not maintained in most of the PRIs.
- Non adherences to rules, notification, circulars, etc, issued by the State Government were observed in the Local.
- The Local Bodies were unable to collect the budgeted revenues in many cases. Non levy of taxes under Sections 39[1] and 40[1] of Sikkim Panchayat Act, 1993 were noticed by audit team.
- The Local Bodies have overlooked to remit the realized revenues like VAT, Cess & Forest Royalty into the Government account. The commission on printing and stationary charges has not been realized as required under the prevailing rule.
- None of the PRIs adopted the Model Accounting System for PRIs as prescribed by Ministry of Panchayat Raj in 2009 for maintenance of accounts. Accordingly audit team couldn't obtain reports generated through the (PRIASOFT) software which forms an integral part of auditing.
- GPUs have failed to provide Annual Financial Statements to the Audit teams as a result of which significant time was lost during the audit period for conducting the audit of local bodies.
- The Gangtok Municipal Corporation has neither framed any financial rules/guidelines nor following Sikkim Financial Rules properly to regulate their financial matter. The administrative department is yet to approve the Sikkim Urban Local Bodies Accounting Manual which is essential for the preparation of budgets and also for strengthening the internal control and financial management mechanism.
- The annual budget proposal was not prepared separately by the Local Bodies as required under the provisions of the respective Acts/Rules, which is a basic tool of accountability and good governance.
- Adoption of rates without proper survey of prevailing market rates resulted in excess payment.

CONTENTS

Sl. No.	PARTICULARS	
I.	Part I	Panchayati Raj Institutions : <i>Gram Panchayats & Zilla Panchayats</i>
II.	Part II	Municipal Corporation
III.		Conclusion
IV.		ANNEXURE

GOVERNMENT OF SIKKIM
FINANCE, REVENUE & EXPENDITURE DEPARTMENT

PART – I

**CONSOLIDATED AUDIT AND REVIEW
REPORT ON THE ACCOUNTS OF
PANCHAYATI RAJ INSTITUTIONS
FOR THE YEAR 2015-16**

DIRECTORATE OF LOCAL FUND AUDIT
DEORALI, SIKKIM

CONTENTS

Statement No.	Description Of Statements Of Consolidated Local Fund Audit And Review Report Of PRIs For The Year 2014-15 & 2015-16	Page No.
I	Introductions And a Few Selected Audit Objections Of Gram Panchayats & Zilla Panchayats – Category Wise	Part-I (1)
1	Consolidated Statement Showing Revenue Collected With GPU-Wise Break-Up For The Year 2014-15	Part-I (33)
2	Consolidated Statement Showing Revenue Collected With ZP-Wise Break-Up For The Year 2014-15 & 2015-16	Part-I (34)
3	Consolidated Statement Of Receipts & Payments Of Gram Panchayats (Block wise) For The Year 2014-15 & 2015-16 [In Rupees]	Part-I (35)
4	Consolidated Statement Of Receipts & Payments Of Zilla Panchayats For The Year 2014-15 & 2015-16 (In Lakh Rupees)	Part-I (36)
5	Consolidated Statement Showing The Number Of Objections Raised & Amount(In Rs) Involved With Institution-Wise Break-Up For The Year 2014-15	Part-I (37)
	A. All Gpus	
	B. Zp Wise	
6	6 (1): Consolidated Statement Showing The Objections Concerning Advances Pending Adjustment And Amounts Involved In 13 GPUs Under Soreng And Rhenock Blocks	Part-I (38)
	6 (2): Consolidated Statement Showing The Advances Drawn And Vat & Cess Not Deducted - Gpu Wise (In Rupees)	Part-I (40)
7	7 (1): Consolidated Statement Showing The Cases Of Objections Concerning Non Production Of Records And Vouchers Not Created - 29 GPUs Under Regu, Kabi, Chungthang, Daramdin, Chongrang & Yuksum Blocks	Part-I (41)
	7 (2): Consolidated Statement Showing The Cases And Amounts Involved In Objections Concerning Non Production Of Records And Vouchers Not Created - 13 GPUs Under Soreng And Dzongu Blocks	Part-I (43)
	Introductions And a Few Selected Audit Objections On Implementation Of MGNREG Scheme –Category Wise	Part-I (47)
8	8 (1) : Financial Performance Under MGNREG a During The Financial Year 2014-2015 (In Lakh Rupees)	Part-I (63)
	8 (2) : Financial Performance Under MGNREG a During The Financial Year 2015-2016 (In Lakh Rupees)	Part-I (64)
9	9(1): Labour ,Material Ratio Analysis For The Financial Year 2014-2015	Part-I (65)
	9(2): Labour ,Material Ratio Analysis For The Financial Year 2015-2016	Part-I (66)
10	10(1): Delayed Payment Of Financial Year - 2014-2015(Rs. In Lakhs)	Part-I (67)
	10(2): Delayed Payment Of Financial Year - 2015-2016(Rs. In Lakhs)	Part-I (68)
11	Statement Showing Nos Of Objections And Amount Involved	Part-I (69)

ANNUAL CONSOLIDATED AUDIT AND REVIEW REPORT ON THE ACCOUNTS OF PANCHAYATI RAJ INSTITUTIONS – GRAM & ZILLA PANCHAYATS FOR THE YEAR 2014-15 & 2015-16

INTRODUCTION

1.1 Under the Sikkim Local Fund Audit Act, 2012 the Director of Local Fund Audit, Sikkim is made in charge of the audit of the funds of the Panchayati Raj Institutions as specified in the Schedule prescribed in the said Act.

1.2 The Department conducts post audit of the Panchayati Raj Institutions and Audit Reports consisting of defects noticed during the audit are issued to the Chief Executive Officer of the institutions concerned who has to take action for rectifying the defects pointed out during the audit Report.

1.3 Under the Local Fund Audit Act, the Director of Local Fund Audit, Sikkim is vested with the power of disallowing any item of the expenditure incurred contrary to the law and surcharge the same on the person incurring or authorizing the incurring of such expenditure and may charge against any person responsible there for, the amount of any deficiency, loss or unprofitable out lay occasioned by the negligence or misconduct of that person or of any such sum which ought to have been accounted for but is not brought into account by that person and shall, in every such case, certify the amount due from such person.

SCOPE OF AUDIT

2.1 The Local Fund Audit Division has been statutorily entrusted with the authority to verify the following aspects during the course of post audit of the Panchayati Raj Institutions, viz., Gram Panchayats and Zilla Panchayats.

- a) Whether the taxes, fees etc., collected by the Panchayati Raj Institutions were properly accounted for with full details in the books of accounts of the body concerned.
- b) Whether adequate care is taken up periodically to check up the funds with the Treasury or Bank.
- c) Whether the expenditure incurred was provided for in the Budget of the Panchayati Raj Institutions concerned and duly sanctioned by the competent authority under the Act / Rules or by any Executive Instructions by the Government.
- d) Whether the funds were utilized only for the permitted purposes prescribed under the Act / Rules.
- e) Whether the procedure prescribed by the Government in incurring the expenditure/ payments made is properly followed and accounted for with due classification in the books of accounts of the Panchayati Raj Body.
- f) Whether the required vouchers for the expenditure incurred were maintained.
- g) Whether grants received from the different sources were properly accounted for and

utilized for the purposes for which they were meant.

STATUS OF AUDIT

3.1 The audit of the following Panchayati Raj Institutions for the year 2014-15 & 2015-16 was conducted in the year 2016-17.

Panchayati Raj Institutions	No. of Unit audited
Gram Panchayats	62
Zilla Panchayats	2
TOTAL	64

3.2 64 numbers of Gram & Zilla Panchayat Units were audited by Local Fund Audit for the year 2014-15 & 2015-16 which are listed as below:

SL NO	NAME OF GPU	BLOCK	DISTRICT	YEAR AUDITED
1.	10-ARITAR	REGU	EAST	2014-15 & 2015-16
2.	18-CHUJACHEN	REGU	EAST	2014-15 & 2015-16
3.	12-DALAPCHAND	REGU	EAST	2014-15 & 2015-16
4.	16-LIGTAM PHADAMCHEN	REGU	EAST	2014-15 & 2015-16
5.	14-PREMLAKHA SUBANEYDARA	REGU	EAST	2014-15 & 2015-16
6.	13-REGU	REGU	EAST	2014-15 & 2015-16
7.	17-LAMATEN ROLEP	REGU	EAST	2014-15 & 2015-16
8.	49-RONGLI CHANGEYLAKHAA	REGU	EAST	2014-15 & 2015-16
9.	51- LINGDOK	KABI	EAST	2014-15
10.	50- NAVEY SOTAK	KABI	EAST	2014-15
11.	33 - NAMLI	MARTAM	EAST	2014-15
12.	36 - SAMLIK MARCHAK	MARTAM	EAST	2014-15
13.	38 - MARTAM NAZITAM	MARTAM	EAST	2014-15
14.	39 - BYENG PHEGYONG	MARTAM	EAST	2014-15
15.	32 - LUING PERBING	RANKA	EAST	2014-15
16.	33 - RANKA	RANKA	EAST	2014-15
17.	34 - RAY MINDU	RANKA	EAST	2014-15
18.	35 - RAWTEY RUMTEK	RANKA	EAST	2014-15
19.	07 - TAZA	RHENOCK	EAST	2014-15
20.	09 - RHENOCK	RHENOCK	EAST	2014-15
21.	11 - SUDUNG LAKHA	RHENOCK	EAST	2014-15
22.	22 - BERING TAREYTHANG	RHENOCK	EAST	2014-15
23.	22-LACHUNG	CHUNGTHANG	NORTH	2014-15
24.	21-LACHEN	CHUNGTHANG	NORTH	2014-15
25.	12-CHUNGTHANG	CHUNGTHANG	NORTH	2014-15
26.	13-SHIPGYER	CHUNGTHANG	NORTH	2014-15
27.	1-KABI TINGDA	KABI	NORTH	2014-15

28.	2-PHENSONG	KABI	NORTH	2014-15
29.	3-MENRONGONG	KABI	NORTH	2014-15
30.	4-TUMLONG	KABI	NORTH	2014-15
31.	14 - LINGTHEM-LINGDEM	DZONGU	NORTH	2014-15
32.	15 - PASSINGDANG SAFFO	DZONGU	NORTH	2014-15
33.	16 - TINGVONG	DZONGU	NORTH	2014-15
34.	17 - SAKYONG-PENTONG	DZONGU	NORTH	2014-15
35.	18 - BERFOK-LINGDONG	DZONGU	NORTH	2014-15
36.	19 - HEE-GYATHANG	DZONGU	NORTH	2014-15
37.	20 - LUM-GOR-SANGTOK	DZONGU	NORTH	2014-15
38.	7-YUKSUM DUPDI	YUKSUM	WEST	2014-15 & 2015-16
39.	9-MELLI ACHING	YUKSUM	WEST	2014-15 & 2015-16
40.	8-KHECUPELRI	YUKSUM	WEST	2014-15 & 2015-16
41.	6-GERETHANG	YUKSUM	WEST	2014-15 & 2015-16
42.	4-TASHIDING	CHONGRANG	WEST	2014-15 & 2015-16
43.	3-LABDANG	CHONGRANG	WEST	2014-15 & 2015-16
44.	51-LOWER THAMBUNG	DARAMDIN	WEST	2014-15 & 2015-16
45.	54-OHKREY	DARAMDIN	WEST	2014-15 & 2015-16
46.	53-SIKTAM TIKPUR	DARAMDIN	WEST	2014-15 & 2015-16
47.	50-UPPER THAMBUNG	DARAMDIN	WEST	2014-15 & 2015-16
48.	52-LUNGCHOK SALANGDANG	DARAMDIN	WEST	2014-15 & 2015-16
49.	49-RUMBUK	DARAMDIN	WEST	2014-15 & 2015-16
50.	55-RIBDI BHARANG	DARAMDIN	WEST	2014-15 & 2015-16
51.	32 - SULDUNG KAMLING	SORENG	WEST	2014-15
52.	33 - MABONG SINGENG	SORENG	WEST	2014-15
53.	34 - KHANISIRBONG SUNTALEY	SORENG	WEST	2014-15
54.	35 - CHOTA SAMDONG ARUBOTEY	SORENG	WEST	2014-15
55.	41 - MALBASEY	SORENG	WEST	2014-15
56.	42 - SORENG	SORENG	WEST	2014-15
57.	43 - SINGLING	SORENG	WEST	2014-15
58.	44 - TIMBURBUNG	SORENG	WEST	2014-15
59.	45 - THARPU	SORENG	WEST	2014-15
60.	46 - KARTOK BHOJEK	SORENG	WEST	2014-15
61.	47 - DODAK	SORENG	WEST	2014-15
62.	48 - BARIAKHOP	SORENG	WEST	2014-15

SL No.	ZILLA PANCHAYAT	AUDITED YEAR
1.	EAST, GANGTOK	2014-15
2.	NORTH, MANGAN	2014-15 & 2015-16

PANCHAYAT FUND

4. Under sub-rule 3 of Rule 3 of The Sikkim Panchayat (Financial) Rules, 2003 notified vide No.

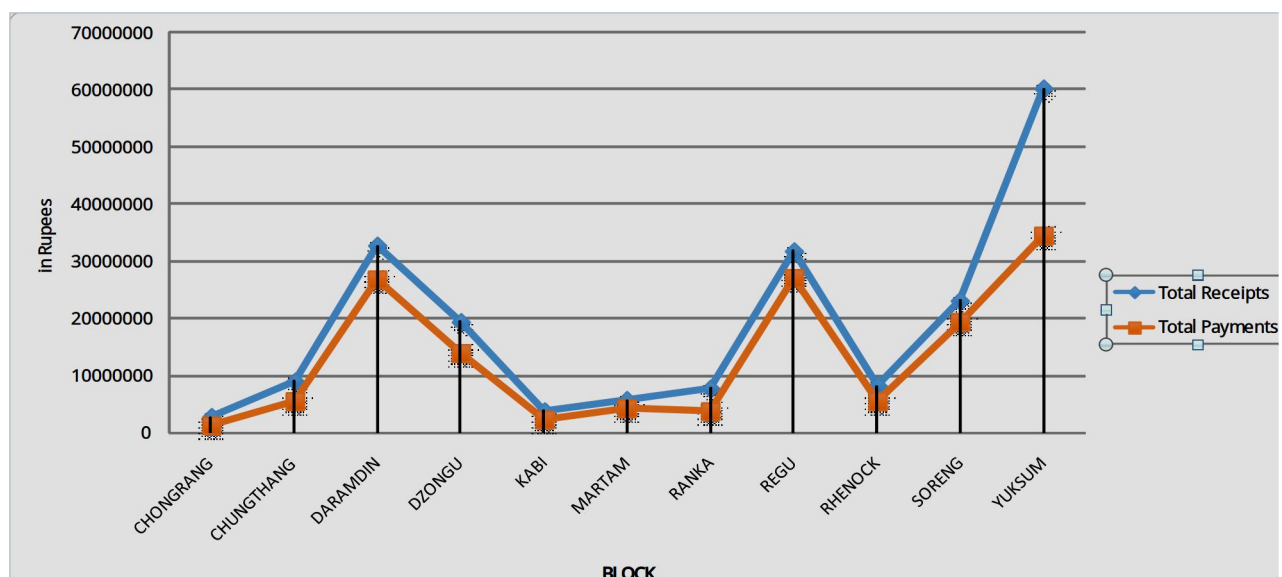
35(159)/93-94/RDD/P-III/33 dated 10-07-2003, states that the account shall be maintained in the name and style of "Panchayat Fund" duly prefixing the name of the Panchayat and jointly operated. The Panchayat fund constitutes self-generated fund and Grant-in-Aids. The pattern of all the constituents of Panchayat Fund is not uniform, though Annual Accounts contains all such constituents. The position is given below.

#	Constituent of GP Fund	Remarks on post audit
1.	General Fund	Post Audit is being conducted by the Director of Local Fund Audit and the consolidated Report is being placed on the table of Legislative Assembly.
2.	BRGF Grant	-Do-
3.	Central Finance Commission Grants	-Do-
4.	State Finance Commission Grants	-Do-
5.	Education Fund(HRDD)	-Do-
6.	Mahatma Gandhi NREGS	-Do-

RECEIPTS AND PAYMENTS (2014-15 & 2015-16)

4.1 The Receipts and Payments are inclusive of the various grants received from Central and State Governments during the year 2014-15 & 2015-16 by the Gram Panchayats & Zilla Panchayats audited during the period. The details of gross Receipts and Payments are shown in the Statements No. 3 with reference to the Gram Panchayats and in Statement no. 4 with reference to the Zilla Panchayats, respectively.

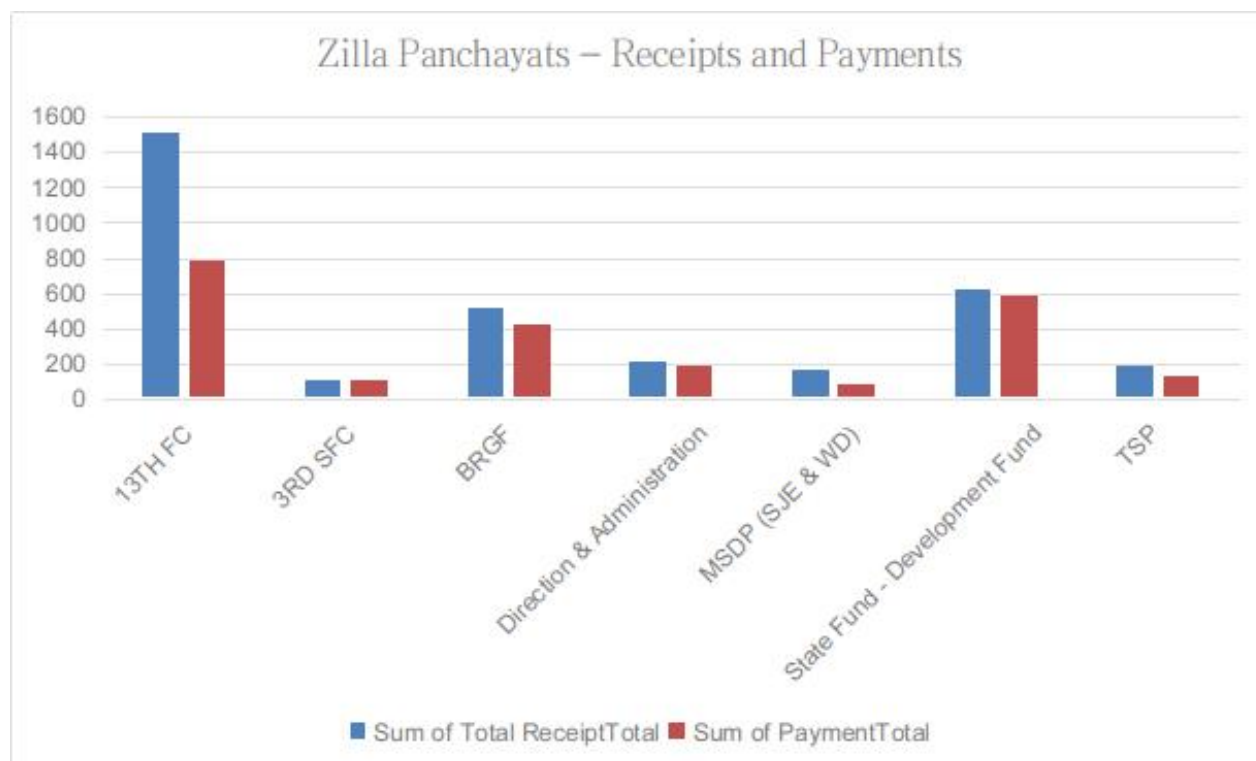
4.2 The aggregate Receipts & Payments of 62 Gram Panchayats audited during the year are Rs.20,45,52,885 and Rs 14,47,83,067 respectively. These figures are presented in line graph Block wise below:



4.3 The aggregate Receipts & Payments of 2 Zilla Panchayats audited during the year are Rs.33,08,00,000 and Rs 22,84,25,000 respectively.

RECIEPTS & PAYMENTS OF PANCHAYATI RAJ INSTITUTIONS FOR 2014-15 (FUND WISE)

4.4. The pattern of Receipts and Payments (Fund wise) of the Zilla Panchayats for the Year 2014-15 exhibited in the Bar graph below



AUDIT OBJECTIONS

5.1 During the course of audit Gram Panchayats for the year 2014-15 & 2015-16, the defects noticed were already pointed out in the relevant Audit Reports, as “Audit Objections” which were forwarded to the Chief Executive Authorities concerned for further action at their end as per the procedure laid down under the Sikkim Local Fund Audit Act, 2012.

5.2 A Consolidated Statement showing the number of objections raised, amount involved with institution-wise break-up is annexed vide Statement No. 5

5.3 CATEGORISATION OF AUDIT OBJECTIONS:

The Audit Objections are classified into various Categories as shown in the Appended Statement No. –5

AUDIT – PARAS

A. AUDIT PARAS OF ZILLA PANCHAYATS

Gist of some of the selected audit objections of Zilla Panchayats, under East District and North District, raised during the year 2014-15 & 2015-16 under report is enumerated below:

I. NON ADHERENCE TO RULES

It was noticed during the audit that in some cases the Rules / Government instructions for incurring the expenditure from the funds of the ZPs were not followed either due to negligence or ignorance. In certain cases, the funds of the ZPs were utilized for the purposes not permitted under the relevant Rules and guidelines. It was also noticed that in a few cases, Government instructions were misunderstood or misinterpreted.

1. EDZP- Advance register not maintained.

During the course of audit, it was found that the East District Zilla Panchayat has not maintained any advance register to record advance drawn till date which is highly irregular and such practice was fraught with risk of non submission of adjustment bill within the stipulated time. Due to insufficient records, EDZP were not able to indicate the actual position of outstanding advances and their adjustments.

2. NDZP - Repair of Government Vehicle from unauthorized garage - Rs 8861/-.

On scrutiny by the audit, it was found that the NDZP has incurred expenditure on repair of vehicle no SK.03.G.0033 attached to Adhayksha from a private garage - M/s Geeta Chettri, Indira Bye Pass.

SL NO	BILL NO	DATE	AMOUNT (FIG IN RS.)
1	114	6.5.16	6,629
2	331	6.9.16	2,232
		TOTAL	8,861

As per the Sikkim Government Notification No 177/DGM/SNT/TC/GTK/14-15 Dt 9.12.2014, only 18 empanelled private automobile workshops are entrusted to undertake repairs of the Government vehicles strictly with the existing norms under the Appendix 3A of the Sikkim Financial Rules.

3. NDZP - Reimbursement of bills without verification of rates from SNT - Rs 101778/-

On scrutiny of records by audit, it was revealed that reimbursement bills amounting to Rs 1,01,778/- has incurred in regards of SK 03/125 attached to AE. However, reimbursements were made without technical verification of rates from Transport Department.

4. EDZP - Repair of vehicle from the unauthorized garage - Rs.34853/-

As per Transport Department Notification No; 177/DGM (M) SNT/TD/Gtk/14-15 Dated; 09.12.2014, only empanelled private Automobile Workshops shall be entrusted to undertake repairs of the Government vehicles. All Government Department & Government Undertakings shall ensure that the repair works are carried out in the authorized private automobile workshops strictly in accordance with existing norms under the Appendix – 3A of the Sikkim Financial Rules, 1979.

On scrutiny of vehicle file (SK-01-G1104) attached to DE of EDZP, audit found that a sum of Rs.34853/- was incurred towards the repair of vehicle from the unauthorized garage, M/s CAR PLUS vide cheque no – 595525/595526 dated 16.04.2015 which amounted to non-adherence of Government instruction.

5. NDZP - Purchase of Stationery without Quotation - Rs 157929/-

Scrutiny of records of NDZP revealed that the following stationery items were procured directly from various firms/suppliers ignoring the prevailing norms of the government, (i.e. neither calling quotation nor from consumer cooperative society).

SL NO.	SUPPLY ORDER NO. AND DATE	NAME OF THE FIRMS	ITEM NO./QUANTITY	TOTAL AMOUNT (FIG IN RS.)
1.	556/GOS/NDZP 31/3/2015	M/S Urbase traders, Gangtok	Xerox Papers A4 and other 14 items	29,329
3.		M/S Nice Enterprises , Mangan	Office Stationery	15,000
4.	654/GOS/NDZP 05/01/2016	M/S Chandan Enterprises, Mangan Bazar, North Sikkim	Office Stationery Note sheet and other 9 items	17,600
5.	659/GOS/NDZP 27/01/2016	M/S City Computer Mangan Bazar	Room Heater 8 nos	96,000
	TOTAL			1,57,929

As per the government norms, above mentioned office stationery items should be purchased from SCCS Ltd.

II. EXCESS PAYMENTS

It was observed that in several cases, excess payments were made due to either.

- Incorrect calculations or
- Arithmetic error or
- Admission of inadmissible claims or
- Lack of knowledge of Government instructions.

1. NDZP - Payment made for Token Tax - Rs 42640/-

On scrutiny of the file regarding Govt Vehicle SK.03.G.0037 (Renault Duster) attached to Upadhyaksha NDZP, it was revealed that a payment of Rs 58,678 has been made vide cheque

No. 178939, dated 14/03/2014. In this regard, the Audit team observed that the vehicle was purchased in the month of Jan' 2014 and registered in Mar '2014 i.e. same year. However, an unreasonable payment of Token Tax within a short period of two months amounting to Rs 42,640 was made, as shown in the table below.

SI NO	PARTICULARS	AMOUNT (Fig in Rs.)
1	Token Tax	42,640
2	Number Plate	2,048
3	P. Fee	2,500
4	Environmental cess	11,490
	Total	58,678

III. DIVERSION OF FUND

The PRIs viz., ZPs and GPs are provided with funds by the State/Central Governments either by way of Grants or a prescribed share in the Cess, Taxes or Fees collected by the State Government. These Bodies also earn income by taking up some remunerative enterprises. In case of ZPs, they are vested with the power of levying certain taxes and fees like House Tax, Tax on Agricultural land for a specific purpose, Fees for lease of Community lands under their control etc. Such taxes/fees constitute one of the main sources of income to them apart from Grants-in-aid provided by the Central/State Governments.

Incurring of expenditure for purposes other than the prescribed without specific sanction of the Government is not permissible and it amounts to diversion of funds. In case of specific grants, the grants should be utilized only for the specific purpose for which the grant is released and no diversion is permissible without the approval of such Grant Releasing Authority. But, it was noticed during audit that notwithstanding such instructions, diversion of specific grants and Earmarked funds was done. It was also observed during audit that expenditure was incurred under certain grant heads even in the absence of receipt of any grant during the year by diverting other grants.

1. EDZP - Diversion of TFC & Development funds towards the payment of operational cost viz Salaries, Monthly POL, Purchase of stationery etc. - Rs 2800000/-

The TFC & Development funds guidelines do not permit diversion of funds, for any purpose other than, for which the sanction is accorded.

However, on scrutiny of records revealed that the funds provided under the above mentioned schemes was diverted for meeting up of the operational cost subject to recoupment on the availability of fund under Direction & Administration from the Nodal Department. The practice is highly irregular and against the schemes guidelines. This has resulted in considerable delay in implementation of the planned schemes and the intended objective of the scheme is grossly defeated. The targeted beneficiaries ultimately remains deprived of the schemes. Further, this has resulted in the huge loss of interest as the fund was not deposited into the Bank. Till the date covered by audit ie August 2016, a sum of Rs. 28,00,000/- has not been recouped. The matter may be seriously considered for early settlement.

2. NDZP - Irregularity in purchase of vehicle - Rs 2698347/-

As per Sl No 4(c) of O.M. No. GOS/Fin/Adm/279-C/2010/01 dt 25.6.2012, purchase of vehicle are banned from CSS/NEC/NLCPR/ or any such programmes, in case of dire need, approval for such purchases may be obtained from Honorable Chief Minister as these purchases create future liability for the State Government towards maintenance and management cost.

On scrutiny of records, it was revealed that the NDZP had purchased two vehicles amounting to Rs 26,98,347/- for Adhyaksha and Upadhaysha from the interest earned from 13th Finance Commission grants which is highly irregular.

Details are given below:

SL NO	CHEQUE NO AND DATE	PARTICULARS	AMOUNT (Fig in Rs.)
1	179910/24.1.2014	Cost of Renault Duster SK 03/G/0037 (75%)	12,50,000
2	179950/4.4.14	-do- (25%)	2,99,753
3	879783/10.4.13	Cost of Scorpio SK 03/ G/ 0033 (75%)	7,22,874
4	879787/22.4.13	-do- (25%)	4,25,720
	TOTAL		26,98,347

3. NDZP - Irregular utilization of interest from BRGF grants - Rs 699578/-

In terms of *Para 4.9 of BRGF guidelines*, funds received under the scheme/programme are to be kept in savings bank account and the interest accrued on such deposits should be treated as additional resources under the BRGF and should be utilized as per the guidelines of the programme. Guidelines also envisaged that no work under BRGF can be executed/taken up unless it forms part of Annual Action Plan approved by the concerned DPC of the district.

On scrutiny of the records, it revealed that neither the DPC had made any provisions in the Annual Plans nor any instruction for utilization of interest earned were issued, but the interest component was utilized for payment of salaries of MR employees and payments were made to the canteen for expenses of DPC meeting.

As such, additional receipt in the form of bank interest were not utilized for poverty alleviation programme or imparting training to the Panchayat functionaries.

IV. ADVANCES PENDING ADJUSTMENT

It was observed during the course of audit that temporary advances paid for specific purpose were outstanding for a long time though they should have been got adjusted through detailed bills and vouchers within three months as per Sikkim Financial Rules. It was also observed that huge amounts of personal advances are also outstanding for a long time due to the inaction on the part of the Drawing & Disbursing Officer.

1. EDZP - Non adjustment of outstanding advances - Rs. 6176255/-

On scrutiny of record and vouchers, audit party found that EDZP released advances during the Financial Year 2014 – 15; however the advances paid for the purposes were not adjusted till the date of audit (August 2016). Detail is given in the table below –

Sl. No.	Cheque No & Date	Amount (Rs.)	Scheme	Particulars
1.	359534 05.12.2014	– 1286522.00	BRGF	90% advance to SIMFED on account of purchase of materials for various works under BRGF (2014 – 15).
2.	813690 01.07.2014	– 978900.00	TFC	75% advance to SIMFED for supply of HDP pipe.
3.	813679 05.12.2014	– 141361.00	-do-	90% advance to SIMFED on account of purchase of stock materials for various works under TFC (2012 – 13).
4.	813678 29.11.2014	– 3689524.00	-do-	75% advance to SIMFED for procurement of various items.
5.	813661 30.09.2014	– 50000.00	-do-	Advance payment to M/s Chauridara Prakashan for making a documentary film of EDZP.
6.	209345 24.01.2015	– 13200.00	D & A	50% advance for 4 nos tyres & tubes for SK-01-G-1646 attached to A.E. EDZP.
7.	209359 06.02.2015	– 16748.00	-do-	50% advance for 4 nos tyres & tubes for SK-01-A-0033 attached to Honorable Adhakshya EDZP.
	Total	6176255.00		

2. NDZP - Non Adjustment of Advances - Rs 1301432/-

Scrutiny of record by audit revealed that as per record of advance register, advances were drawn by NDZP. However, advances were not adjusted till date. Details are given below:

SL NO	CHQ NO./DATE	PARTICULARS	AMOUNT (FIG IN RS.)
1	Vr No. 96/Scheme/ Dt 2.8.2013	Advance drawn for purchase of tyre and tubes of SK 02/1037 - Duster attached to Up Adhayska	19,620
2		Advance for purchase of 4 nos of tyres and tubes of SK 02/618	18,612
3	Ch No. 179485 Dt. 28.3.14	50% advance paid in favor of STC, Deorali, for the purchase of tyre and tubes of SK 02/125 attached to AE which was not recorded in Advance register.	13,200/-
4	Ch No. 179910 Dt. 23.1.14	75% advance was paid for the purchase of vehicle - Duster attached to Upadhayksha.	1,250,000
	TOTAL		13,01,432

As per rules, each advance has to be settled within 3 months from the date of advance payment/withdrawal. Hence, NDZP may initiate for settlement of advance as per rule and action taken report may be furnished to audit at the earliest.

V. IRREGULARITIES IN EXECUTION OF WORKS

It was noticed during the audit that in some cases the Rules / Government instructions under Sikkim Public Works Code and Manual were not followed either due to negligence or ignorance.

It was also noticed that in few cases, Government instructions were not followed. Such irregularities in execution of works were objected to in the relevant Audit Reports.

1. NDZP - Non acknowledgment of Receipt of MR Payments - Rs 769987/-

Scrutiny by the audit revealed that works were undertaken under various schemes, however, MR bills were paid without obtaining acknowledgment from payee and revenue stamps were also not found, in following cases:

SL NO	NAME OF WORK	MONTH/YEAR	SCHEME	AMOUNT (Fig in Rs.)
1	Renovation of GPK, Shipgyer	25.11.14 to 24.12.14	BRGF	3,84,450/-
2	Repair of CC F/Path, Geling, Lachen	2014-2015	BRGF	1,50,049/-
3	Repair and restoration of MIC from ChosingGengey to Choeding, KabiTingda	2014-2015	BRGF	2,35,488/-
	TOTAL			7,69,987

2. NDZP - Common Irregularities in execution of works

Following irregularities were noticed by the audit while scrutinizing files and vouchers of various works as detailed below:

SL NO	SCHEME	NAME OF WORK	AT	SANCTIONED AMOUNT (Fig in Rs.)
1	BRGF	REPAIR OF F/PATH	SALABONG/RAMTHANG TANEK	5,58,000
2	BRGF	REPAIR OF HANDICRAFT & HANDLOOM CENTRE	LINGDONG	2,00,000
3	BRGF	REPAIR OF P/WALL	PHENSONG SCHOOL	5,58,000
4	BRGF	UPGRADATION OF PUBLIC GROUND	SHAGYONG/LUM GOR	5,58,00
5	BRGF	RENOVATION OF GPK	SHIPGYER	5,60,000
7	BRGF	REPAIR OF MIC	CHORING GONDAY/KABI TINGDA	5,00,000
8	BRGF	REPAIR OF JTW	TANSHA KYONG/LINGTHEM	3,50,000
9	BRGF	REPAIR OF WAITING SHED	KNOGLHO/HEE GYATHANG	2,50,000
10	BRGF	CONST OF BOX DRAIN	SANDU KYONG/LINGDONG	2,50,000
		TOTAL		37,84,000

As per Rule 161 of Sikkim Public Work Code, 2009, register of Muster Rolls forms are very important records and proper custody and accounting of forms is necessary to prevent any misuse of the forms. The Divisional Engineer will procure the forms and maintain a stock account of the same. A register should be maintained for the muster roll forms in each Divisional Office before issue or use by the subordinate office. The signature with designation of the officer to whom the muster roll forms are issued should be obtained in the Register.

However, signature of workers who are engaged in the above mentioned works are not obtained in any muster roll forms.

3. NDZP - Non realization of Mobilization advance and labour cess in respect of Construction of Community Recreation Center, Phensong (sanctioned for Rs.93, 99,000/-) - Rs 758873/-

On scrutiny of files and records related to Construction of CRC at Phensong by the audit, it was

revealed that 10% mobilization advances were paid as approved by the funding department to the contractor amounting to Rs 7,34,183/-. However, various payments aggregating to Rs 53,68,456/- were released to the contractor without realization of mobilization advance.

Moreover, it was revealed to the audit that Labour cess was not realized. As per the SPWD code and manual, 1% labour cess Rs 53685/- should have been realized out of total bills amounting to Rs 53,68,456/-, but It was found that only Rs 28995/- was realized. Hence, there was less realization of labour cess to the tune of Rs 24690/-.

4. NDZP - Repair of Footpath from Salabong to Labarbot at Tanek ward under Ramthang GPU - Rs 80000/-

On the study of records, it was revealed that NDZP had executed a work named “repair of footpath from Salabong to Labarbot at Tanek ward under Ramthang GPU in North Sikkim at the estimated cost of Rs. 558000/ during 2014-15 .The work was sanctioned under BRGF and executed departmentally w.e.f 04/11/2014 and completed by 04/12/2014. However, following discrepancies were noticed by audit on verifying the process of execution and payment of bills.

As per financial rules 127 for purchase / supply of materials more than Rs. 100000/ (Rupees one lakhs) the department should follow / go through the tender process, but NDZP had neither followed the tender process nor called any quotation & issued supply order directly to M/S Shreenath Prasad of Mangan bazaar.

As per the records of the said work, NDZP has utilized non stock materials like sand ,stone and stone chips – 955CFT, 1340CFT and 2000CFT respectively and Rs80000/ was paid as a carriage charges for these materials but, there is no record of transit permit of forest department for the collection of same. From this it reveals that the materials were either collected without approval of the forest department or all the materials were available at the site.

5. NDZP - Extension of School at Namprik School under Tingvong GPU - Rs 9000/-

North District Zilla Panchayat executed a work named “extension of school hall at Namprik School under Tingvong GPU in North Sikkim” during 2014-15 at the estimate cost of Rs.5,58,000/-,on study of voucher audit found following discrepancies.

The estimate was technically sanctioned on 3/3/2015 and payment was released on 22/4/2015. Acknowledgment receipt of M.R. wages payment has not been obtained from the concerned employees/labourers. No revenue stamp signed by wage earner has been affixed on the M.R. sheet.

The work was executed departmentally, however, cost of supply of local wood amounting to Rs 9000/- was paid to AE (NDZP) which should have been released to the concerned supplier by a separate cheque.

For supply of other forest produce like sand, stone & stone chips, NDZP did not obtain Transit permit from the Forest department.

VI. NON-REMITTANCE OF DEDUCTIONS / RECOVERIES:

It was noticed during the audit that various deductions / recoveries affected from the work bills /

pay bills were not remitted to the Government or a part of them only were remitted in spite of statutory obligation to remit the same to Government account within a prescribed time limit under the relevant statutory provisions which also include penalty as well as prosecution for non- adherence.

1. EDZP - Non levy of 3 per cent Commission Charges - Rs 8144/-

According to *Printing & Stationery Department Notification No – 129/Ptg & Sty dated 03.11.2004*, in case if Government Press is not in position to undertake the job due to preoccupation or not having facilities etc, Government has decided to levy 3% Commission Charge from the Private Press bill.

On scrutiny of paid voucher, it was found that EDZP released an amount of Rs. 271465/- vide cheque no 801554 dated 30.09.2014 to Prolific Incorporated, Delhi, for printing of Annual Technical Inspection Report for the Year 2012 – 13 without levying 3 per cent as Commission Charges resulting in total loss of Government Revenue to the extent of Rs. 8144/- .

B. AUDIT PARAS OF GRAM PANCHAYATS

Gist of some of the selected audit objections of Gram Panchayats raised during the year 2014-15 & 2015-16 under report is enumerated below:

I. NON ADHERENCE TO RULES

It was noticed during the audit that in some cases the Rules / Government instructions for incurring the expenditure from the funds of the GPs were not followed either due to negligence or ignorance. In certain cases, the funds of the GPs were utilized for the purposes other than the permitted ones under the Act / Rules. It was also noticed that in a few cases, Government instructions were misunderstood or misinterpreted.

1. Non creation of paid vouchers worth Rs.6074125.00

According to *Rule 36 of Sikkim Financial Rules, 1979*, it is not sufficient that an officer's account should be correct to his own satisfaction. A disbursing officer has to satisfy not only himself, but also the audit, that a claim which has been accepted is valid, that a voucher is a complete proof of the payment which it supports, and that an account is correct in all respects. It is necessary that all accounts should be so kept and the details so fully recorded as to afford the requisite means of satisfying any enquiry that may be as to the economy or the fides of the transactions. It is further essential that the records of payment must be as clear and self-contained as to be producible as satisfactory and convincing evidence of facts, if required, in a court of law.

Audit scrutiny, however revealed that, GPUs under Soreng & Passingdang BAC released the payments for various purposes during the Financial Year 2014 – 15 without creating payment vouchers. Detail is given in the table as shown at **STATEMENT No. 7.2.**

2. Vouchers in support of payment not created - 270 cases

A Government servant entrusted with the payment of money shall obtain for every payment he makes, a voucher setting forth full and clear particulars of the claim and all information necessary for its proper classification and identification in the accounts.

However, scrutiny by audit revealed that 29 nos. of GPUs under Regu, Kabi, Chungthang, Daramdin, Chongrang and Yuksum executed various works during the Financial Year 2014 – 15 & 2015-16; and 270 cases were observed by audit where payments were made without creating vouchers till the date of audit (June 2016). Detail is given in the table as shown at **STATEMENT No 7.1.**

3. Chota Samdong Arubotey GPU - Non maintenance of Cash Book & Bank Account in respect of own resources/Revenue.

All monies received by the Gram Panchayat from the various sources as indicated at *clause (d) of sub-section (1) of section 39 of the Sikkim Panchayat Act, 1993* must be deposited in the Gram Panchayat Fund Account on the same day and entries should made in the Cash Book

simultaneously. It shall be the responsibility of the Sachiva to ensure maintenance of cash book in the Form as specified in the *Schedule – A* and its safe custody. All the transactions must be entered in the cash book as soon as they occur and in order of their occurrences.

Audit scrutiny, however revealed that GP has not opened any bank account pertaining to own resources/revenue and Cash Book was also not maintained for the period (*i.e. 2012 – 13 to 2014 – 15*) covered by the audit.

4. Irregularities in supply of Office Materials from TFC account - Rs 752344/-

During the course of audit, it is found that the GPUs have procured various office materials from supplier from TFC accounts as tabulated below:

SL NO	PARTICULARS	NET AMOUNT	VAT	CESS	GROSS AMOUNT
1.	Melli Aching GPU	84265	4457	0	88722
2.	Rumbuk GPU	234885			234885
3.	Lower Thambung GPU	171690			171690
4.	Okhrey GPU	171690			171690
5.	Siktam Tikpur GPU	76249	8592	516	85357
	TOTAL	738779	13049	516	752344

However, audit could not find supporting documents attached along with the vouchers. Also, supply order was not found and vouchers were not created. Further, sealed quotations were not called and the payments were not made directly to the suppliers but it was paid to the Panchayats. Also, VAT and cess were paid along with the net amount to the suppliers. All payments were made in cash by the Panchayats.

Such irregularities create doubts whether the expenditure was incurred for the purpose as detailed in the cashbook and files.

5. Malbasey GPU - Non maintenance of Cash Book in respect of own resources/Revenue.

All monies received by the Gram Panchayat from the various sources as indicated at *clause (d) of sub-section (1) of section 39 of the Sikkim Panchayat Act, 1993* must be deposited in the Gram Panchayat Fund Account on the same day and entries should be made in the Cash Book simultaneously. It shall be the responsibility of the Sachiva to ensure maintenance of cash book in the Form as specified in the *Schedule – A* and its safe custody. All the transactions must be entered in the cash book as soon as they occur and in order of their occurrences.

However, till the date of audit (June 2016) GP have not maintained cash book in respect of own source/revenue which is highly deplorable.

II. NON-REMITTANCE OF DEDUCTIONS / RECOVERIES FROM VOUCHERS / PAY BILLS / CONTINGENT BILLS

It was noticed during audit that various deductions / recoveries effected from the work bills / pay bills were not remitted to Government. And in some cases a part of them only were remitted in

spite of statutory obligation to remit the same to Government account with in a prescribed time under the relevant statutory provisions which also include penalty as well as prosecution for non-adherence. The deductions like Environment Cess, VAT, Storage Charges, Contractor Profit and Labour cess normally made from work bills / pay bills are to be remitted to Government account.

As per *Rule 19 (1) of the Sikkim Value Added Tax Act, 2005*, it is stated that, "Notwithstanding anything contained in any other law or contract to the contrary, any person or any specified class of persons responsible to pay any sum to any dealer for sale or supplies made by it to the State or Central Government including department of other States, situated in Sikkim, any local body, any authority or corporation established by or under a statute and any State or Central Government undertaking shall, at the time of credit of such sum to the ac the dealer or at the time of payment thereof in cash or by cheque or draft or any other mode, deduct the amount of tax from the bills or invoices, at the rate or rates notified under this Act from time to time." Also as per the subsection 7 of the same rule, "The remittance or deposit of deducted tax to the credit of the State Government shall be adjusted by the concerned assessing authority towards the tax liability of the dealer and shall constitute a good and sufficient discharge of the liability of the deducting authority to the dealer to the extent of the amount remitted or deposited. "And under Sub-section 8, it states that, "If any person fails to deduct, or having deducted, fails to remit to the State Government within the stipulated time, the amount deductible under sub-section (1), he shall be liable for penalty of a sum not exceeding twice the amount deductible."

As per *Rule 19(3) under Sikkim Ecology Fund and Environment Cess Act, 2005*, "The amount of cess deducted at source shall be remitted to the credit of the State Government within fifteen days from the date of making of deduction through the challan or document of book adjustment prescribed under the financial rules of the State Government."

As per *Rule 3.(1) under the Building and Other Construction Workers (Regulation of Employment and Conditions of Service) Act, 1996*, "There shall be levied and collected a cess for the purposes of the Building and Other Construction Workers , at such rate not exceeding two per cent but not less than one per cent. of the cost of construction incurred by an employer, as the Central Government may, by notification in the Official Gazette, from time to time specify."

But during the course of audit it was found that the recovered amount was not remitted and in some cases, the amount was partly remitted to the state fund which amounts to negligence on the part of the concerned officials.

1. Lingthem-Lingdem GPU – Government Revenue in the form of VAT, CESS & Royalty not credited into Government Account Rs.16584.00

The Head of every department/office shall be responsible to ensure that all revenue, receipts or other sums due to Government are regularly and promptly assessed, realized and credited to

Government account under the relevant head of account. He shall obtain from his subordinate officers monthly returns detailing the dues. Any amount due to Government shall not be left unrealized without sufficient reasons. The original documents received in proof of the amount having been credited to Government account should be kept in safe custody for future evidence – **Sikkim Financial Rules, 1979.**

On scrutiny of Cash Book [BRGF], it was noticed that although the payment to Contractor have been paid in full on account of work “**Extension of School playground at Laven Primary School**”. However, on the other hand, Government Revenues amounting to Rs. 16584.00 in the form of Taxes was left unpaid and were not credited into the Government Account till the date of audit (October 2016). Details –

1. VAT – Rs.10579.00
 2. CESS – Rs.1270.00
 3. Royalty – Rs. 4735.00
- Total – Rs.16584.00**

2. Non Remittance of VAT / Cess deductions - Rs. 698584/-

On scrutiny of records and paid vouchers, audit party found that 29 nos. Of GPUs under Regu, Kabi, Chungthang, Daramdin, Chongrang and Yuksum executed works during the Financial Year 2014 – 15 & 2015-16.

However, the recoveries of VAT amounting to Rs 602375/- and Cess amounting to Rs 96209/- were not deducted from the bills till the date of audit (June 2016). Detail is given in the table as shown at **STATEMENT No 6.2**

III. NON-PRODUCTION OF RECORDS

The Panchayat Raj Bodies provide certain basic civic infrastructure and services. They also perform certain regulatory functions. They also prepare plans for economic development and social justice. With the rise in demand for services the functionaries need to have effective financial management skills and accountability practices.

A voucher is a complete proof of the payment. It is mandatory for a disbursing officer to prepare a payment voucher for the payment of money from the Government Account he/she makes. It is further essential that the records of payment must be as clear and self-contained as to be producible as satisfactory and convincing evidence of facts, if required, in a court of law – **Sikkim Financial Rules, 1979.**

All these functions would be reflected on the record when they were accounted for as per the provisions contained in the Comptroller and Auditor General (C&AG) rules together with the local rulings relating to Local variation in accounts procedure. These initial accounts are to be kept ready and should be produced to Audit for verification. Then only the transparency in incurring of public money and their utilization for the benefit of the General Public can be reasonably judged.

The financial health of an institution depends up on the quality of the records that are being maintained to show the accountability of the financial transactions that occur in the institution. The provisions under **Rule 6 of Sikkim Local Fund Audit Act, 2012**, are clear that the onus for production of records to audit lies with the Executive Authority of the institution.

Though several half margin letters were issued for production of the required records, the Executive Authorities did not comply with and resulted in inaccessibility of the records and raising of paras to that extent.

1. Sudung Lakha GPU - Payment vouchers of Rs.224000.00 not produced.

Audit scrutiny revealed that during the Financial Year 2014 – 15 GP incurred a sum of Rs.478092/- from the BRGF scheme but payment vouchers for Rs.224281/- only were produced to audit and the remaining payment vouchers worth Rs.224000/- were not produced to audit which can be dubbed as doubtful expenditure. Such situations evoke doubts on the incurrence of expenditure without vouchers.

2. Rhenock GPU - Payment vouchers of Rs.31300.00 not produced.

Audit scrutiny revealed that during the Financial Year 2014 – 15, GP incurred a sum of Rs.31300/- from the Revenue Account/Own Source but payment vouchers were not produced to audit which evokes doubt on incurrence of such expenditures. Detailed as below

Sl. No.	Cheque No & Date	Amount (Rs.)	Particulars	Remarks
1.	023942 – 11.07.2014	5000/-	Donation for water maintenance at Rhenock GPU.	Payment voucher not produced/not prepared.
2.	023943 – 01.05.2014	1800/-	Paid to driver for distribution of poly pipe and poly tank under Agriculture Department, Mazitar.	- do -
3.	023944 – 29.08.2014	4500/-	Details not written in Cash Book.	- do -
4.	023945 – 08.01.2015	20000/-	Paid to Panchayats as an emergency fund.	- do -
	Total	31300/-		

3. Non Production of Files and Records - 99 cases

On scrutiny of records and paid vouchers, audit party found that 29 nos. Of GPUs under Regu, Kabi, Chungthang, Daramdin, Chongrang and Yuksum executed various works during the Financial Year 2014 – 15 & 2015-16. However, 29 nos. of cases were observed where files and records of works were not produced to the audit till the date of audit (June 2016). Detail is given in the table as shown at **STATEMENT No 7.1**

4. Lingthem-Lingdem GPU - Payment vouchers of Rs.1564224.00 not produced.

During the audit, it was observed that GP released a sum of Rs.1402199.00 from BRGF Scheme and Rs.162025.00 from TFC Scheme during the Financial Year 2014 – 15 for various purposes. However, payment voucher were not produced to audit which arise doubt on incurrence of expenditure without vouchers. Details are –

Sl.No.	Particulars	Cheque No & date		Scheme	Amount (Rs.)	Remarks
1.	Payment to Mrs. Nimkit Lepcha for extension of playground & fencing at Laven Primary School.	444701 17.07.201	–	BRGF	441703/-	Paid voucher, supporting documents not produce to audit.
2.	Final payment for above work.	444708 11.11.204	–	-do-	157600/-	-do-
3.	Payment to A.E. Passingdong BAC for repair of RWSS at Sakyong Mentam.	444709 16.12.2014	–	-do-	402896/-	-do-
4.	Payment to A.E. Passingdong BAC for repair of RWSS at Lingdem.	444710 18.12.2014	–	-do-	400000/-	-do-
5.	Payments to Mrs. Nimkit Lepcha for RWSS repair at Sakyong Mentam Ward.	001199 25.08.2014	–	TFC	50000/-	-do-
6.	Expenditure incurred on account of purchase of office stationeries.	001200 05.07.2014	–	-do-	27025/-	-do-
7.	Payments to Mrs. Nimkit Lepcha for purchase of P.A. System.	010383 25.11.2014	–	-do-	60000/-	-do-
8.	Payment to Mr. Norbu Tshering Lepcha for RWSS at Lingthem Gumpa.	010385 09.01.2015	–	-do-	25000/-	-do-
Total					1564224/-	

IV. DIVERSION OF FUND

The PRIs viz., ZPs and GPs are provided with funds by the State/Central Governments either by way of Grants or a prescribed share in the Cess, Taxes or Fees collected by the State Government. These Bodies also earn income by taking up some remunerative enterprises. In case of GPs, they are vested with the power of levying certain taxes and fees like House Tax, Tax on Agricultural land for a specific purpose, etc. Such taxes/fees constitute one of the main sources of income to them apart from Grants-in-aid provided by the Central/State Governments. Incurring of expenditure for purposes other than the prescribed without specific sanction of the Government is not permissible and it amounts to diversion of funds. In case of specific grants, the grants should be utilized only for the specific purpose for which the grant is released and no diversion is permissible without the approval of such Grant Releasing Authority. But, it was

noticed during audit that notwithstanding such instructions, diversion of specific grants and Earmarked funds was done. It was also observed during audit that expenditure was incurred under certain grant heads even in the absence of receipt of any grant during the year by diverting other grants.

1. Sudung Lakha - Diversion of TFC funds towards the non permissible activities Rs.310656.00

The TFC guidelines do not permit diversion of funds, for any purpose other than, for which the sanction is accorded.

However, on scrutiny of records revealed that the funds provided under the TFC scheme was diverted for the purchase of assets for Swach Bharat Abhyan amounting to Rs.310656/- which is highly irregular and against the scheme guidelines. This has resulted in considerable delay in implementation of the planned schemes and the intended objective of the scheme is grossly defeated. The targeted beneficiaries ultimately remains deprived of the scheme. Such instances may cause duplicity of fund being provided from various sources for single work.

2. Soreng GPU - Unauthorized expenditure from the TFC fund Rs.91972.00

During the Financial Year 2014 – 15 GP constructed two rooms toilet at Himalayan Academy (Private School) at Soreng under Ward No – 6 and incurred a sum of Rs.91972/- from the TFC fund vide cheque no 342952 dated 03.07.2014.

However, as per *Letter No – 094/ADC/DEV/SORENG/13-14 dated nil* issued from the ADC (Development) Soreng, the fund under the scheme was provided to meet the expenditure on account of maintenance of civic amenities, meeting of salary of PAA and taking up activities under Village Development Action Plan.

The diversion of fund is not permissible and government fund is not supposed to benefit any private party (in this case, a private school). Hence, the expenditure of such kind is highly irregular.

3. Bariakhop GPU - Unauthorized expenditure from the VWSC fund of Rs.54000.00

During the Financial Year 2014 – 15, fund under the VWSC scheme was provided to meet the salary of Barefoot Engineer cum Plumber.

However, on scrutiny of records audit, it was observed that a sum of Rs.54000/- was incurred towards the repairing of log bridge at Ward No – 3 vide cheque no 344674 dated 04.09.2014. The fund under the scheme was provided for the payment of salary diverted towards the work which is unauthorized and against the scheme.

4. Chungthang GPU - Irregular payment made from Revenue account - Rs 15000/-

While going through the bank statement related to the Trade License/ Revenue account bearing Account no 1645 under SBS Chungthang, it was found that payment of Rs 15000 was made to the Panchayat vide cheque no 041311 dated 21/11/14 which is highly irregular practice.

5. Navey Sotak GPU - Irregular payment made from Revenue account - Rs 97933/-

While going through the bank statement related to the Revenue account bearing Account no 157 under SBS Kabi, it was found that payment of Rs 97933/- was made to the Panchayat vide cheque bearing no 549901 to 549907 and cash which is highly irregular practice.

6. Chujachen GPU - Irregular expenditure from HRDD/GIA account - Rs 25000/-

Scrutiny by the audit revealed that the Cash Book for HRDD/GIA for Teachers salary was not created. Further, it was found that irregular payments of Rs 25000/- were made to the AEO.

Sl no	Amount paid to AEO	Ch no / date
1	5000	25.7.14
2	5000	367057/25.7.14
3	15000	369216/18.2.15
TOTAL	25000	

No supporting documents or approval from competent authority were found during the audit.

7. Siktam Tikpur GPU - Repair of ICDS center - Rs 160000/-

Siktam Tikpur GP incurred expenditure of Rs 160000/- from TFC fund towards repair of ICDS center. Audit noticed that fund under the scheme was provided to meet the expenditure for Village Development Action Plan. Thus GP instead of doing work of VDAP in Siktam Tikpur GP spent fund for repair of ICDS center.

8. Chujachen GPU - Irregular expenditure from TFC/FFC fund - Rs 5000/-

On scrutiny of the relevant documents and file, it was found that Rs 5000/- was paid for expenses incurred for the prize distribution during the programme conducted for Nationwide sanitation and cleanliness campaign and Rs 5000/- was incurred for conducting Gram Sabha. However, as per the *Guidelines for release of 14 FC vide letter no 173/RMDD dt 11.7.2015*, the grant shall be utilized as per the recommendation of FFC for strengthening and delivery of basic services such as water supply, sanitation, etc for the overall development of village duly linking such services to generation of revenue. Hence, the fund was misutilized.

9. Regu GPU - Irregular expenditure from TFC/FFC fund - Rs 5000/-

On scrutiny of the relevant documents and file, it was found that Rs 5000/- was paid to GVA, Regu for the Lampokhari Festival. However, as per the *Guidelines for release of 14 FC vide letter no 173/RMDD dt 11.7.2015*, it is stated that the grant shall be exclusively utilized as per the recommendation of FFC for strengthening and delivery of basic services such as water supply, sanitation, etc for the overall development of village duly linking such services to generation of revenue. Hence, the fund was misutilized.

10. Siktam Tikpur GPU - Payment of Organic farming - Rs 59765/-

Siktam Tikpur GP incurred expenditure of Rs 59765/- from BRGF fund towards programme of

Organic farming and purchasing stationeries. Audit noticed that fund under the scheme was provided to meet the expenditure for Village Development Action Plan. Thus GP instead of doing work of VDA in Siktam Tikpur GP spent fund for repair of ICDS center.

11. Upper Thambung GPU - Irregular payment from OE account - Rs 20000/-

During the course of audit, it is found that the GPU have made payments from OE accounts as tabulated below:

SL NO	AMOUNT	CHEQUE NO	DATE	PAID TO
1	15000	717910	20.5.15	Panchayat Secretary
2	5000	717917	6.8.15	-do-
TOTAL	20000			

However, audit could not find supporting documents attached along-with the vouchers. GP may take effective steps to maintain the records of advance payments till date of audit and adjustments thereof.

12. Lungchok Salangdang GPU - Irregular payment from OE account - Rs 53256

During the course of audit, it is found that the GPU have procured various office materials from supplier MS Kashiram Chabilchand on OE from TFC accounts as tabulated below:

SL NO	CASH MEMO NO	DATE	NET AMOUNT	VAT	CESS
1	220	10.2.15	4560	182	47
2	208	20.1.15	4560	187	46
3	207	5.1.15	4752	190	47
4	142	2.7.14	4300	537	43
5	143	22.7.14	4420	552	44
6	126	25.5.14	4430	553	44
7	125	30.5.14	4346	543	43
8	110	12.12.13	4340	537	43
9	111	18.12.13	4400	550	44
10	114	28.12.13	4340	543	44
11	102	25.10.13	4258	532	42
12	096	3.10.13	4550	182	45
	TOTAL		53256	5088	532

However, audit observed following discrepancies:

- Bill/Voucher has not been created.
- Supply order was not issued.
- Cheques were drawn in favour of Panchayats instead of the firms/suppliers.
- Payments were made in cash.

13. Regu GPU - Irregular expenditure from BRGF fund - Rs 392394/-

On scrutiny of the relevant documents and file, it was found that Rs 160000/- vide chq no

516306 dt 12.7.16 was transferred to salary account no 8089 for payment of salaries of BFE, PAA and PDA. Further, it was brought to the knowledge of the auditors that the account was closed and the balance amount of Rs 132394 was transferred to own resource account (A/C 2976). Huge amount of fund under BRGF remained underutilized and unchecked which could have been used for the betterment and development of village. Moreover, the department transferred Rs 100000/- meant for incomplete works under BRGF vide chq no 000042 dt 28.4.15 which was deposited into TFC account. Such irregular expenditure from BRGF fund showed improper planning and gap of information between the parent department and the GPU.

V. EXCESS PAYMENTS

It was observed that in several cases, excess payments were made due to either.

- Incorrect calculations or
- Arithmetic error
- Admission of inadmissible claims or
- Lack of knowledge of Government instructions.

1. Tharpu GPU - Inadmissible payment of wages resulting in extra/excess expenditure of Rs.19890.00

During the Financial Year 2014 -15 GP executed the following two works –

- i. *Construction of protective wall at Shiva Mandir at Singtam and*
- ii. *Construction of hording frame, GPU welcome board and GPU signboard.*

As per the records furnished by the GP a sum of Rs.45300/- has been incurred towards the payment of wages to labour engaged for the above works.

However, as per the prevailing rate vide Notification No 4/DL dated 01/11/2014 (**Department of Labour, Government of Sikkim**) the actual amount comes to Rs.25410.00 only.

Adoption of wage rate without proper survey, analysis and investigation resulted in avoidable and excess expenditure of Rs.19890.00

2. Aritar GPU - Excess payment from TFC/FFC fund - Rs 297534/-

As per the TFC/FFC guidelines, it is stated that out of the basic grant allotted to every Gram Panchayat, an amount not exceeding 10% can be utilized for the Administrative expenditure and capital expenditure such as stationery/ office maintenance/ expenditure related to computers/ Establishment expenditure.

However, on scrutiny of records by audit, it was noticed that excessive amount of payments were made for procurement of stationeries and other office expenses.

3. Chujachen GPU - Irregularities in Purchase of office stationery and table chairs - Rs 35057/-

On scrutiny of the relevant documents and file of the above related work, audit observed following irregularities:

- i. Approval from competent authority was not found
- ii. NIT was not floated
- iii. Comparative statement was not drawn
- iv. Supply order was not found
- v. Bill/voucher was not found
- vi. Total expenditure was only Rs 204943/- against the advance of Rs 240000/-. Hence excess amount of Rs 35057/- was drawn which has not been adjusted till the date of audit.

4. Dalapchand GPU - Excess payment from TFC/FFC fund - Rs 36970/-

As per the TFC/FFC guidelines, it is stated that out of the basic grant allotted to every Gram Panchayat, an amount not exceeding 10% can be utilized for the Administrative expenditure and capital expenditure such as stationery/office maintenance/expenditure related to computers/Establishment expenditure.

However, on scrutiny of records by audit, it was noticed that excessive amount of payments were made for procurement of stationeries and other office expenses. Also, audit noticed that payments of salaries for PAA and BFE were made from FFC amounting to Rs 36970/- (chq no 378578-70/dt 9.4.15) without creating vouchers or bills.

VI. ADVANCES PENDING ADJUSTMENT

It was observed during the course of audit that temporary advances paid for specific purpose were outstanding for a long time though they should have been got adjusted through detailed bills and vouchers within three months as per Sikkim Financial Rules. It was also observed that huge amounts of personal advances are also outstanding for a long time due to the inaction on the part of the Drawing & Disbursing Officer.

1. Non maintenance of advance register

Scrutiny of records of Local Bodies revealed that although the Local Bodies released advance payment for various purposes, but the entries in the relevant advance register was not made. Non maintenance of advance register was fraught with risk of non-submission of adjustment bill within stipulated time.

2. Non adjustment of advance worth Rs.4383811.00

On scrutiny of records and paid vouchers, audit party found that GPUs under Rhenock and Soreng released advances during the Financial Year 2014 – 15; however the advances paid for the purpose has not been adjusted till the date of audit (June 2016). Detail is given in the table as shown at **STATEMENT No 6.1**

3. Non adjustment of advance - Rs 11222778/-

On scrutiny of records and paid vouchers, audit party found that GPUs under Regu, Kabi,

Chungthang, Daramdin, Chongrang and Yuksum released advances during the Financial Year 2014 – 15 and 2015-16; however the advances paid for the purpose has not been adjusted till the date of audit (June 2016). Detail is given in the table as shown at STATEMENT No 6.2

VII. IRREGULARITIES IN EXECUTION OF WORKS

It was noticed during the audit that in some cases the Rules / Government instructions under Sikkim Public Works Code and Manual for were not followed either due to negligence or ignorance. It was also noticed that in few cases, Government instructions were not followed. Such irregularities in execution of works were objected to in the relevant Audit Reports.

1. Lapses in execution of civil works

Before execution of civil work at every GP level requiring technical assistance from the concerned team comprising of Assistance Engineer/Junior Engineer. The Technical team shall prepare estimates, technical drawing for the work. The estimates shall after completion be checked and technical sanction shall be accorded by the Assistant Engineer posted at Block Administrative Centre. Once the work obtains TS, it will then be forwarded to the BDO for checking the Financial & Administrative procedural formalities. Then it will forward to the Gram Panchayats for obtaining their sanction. The GP after all the formalities award the work orders to the agencies identified by the GP and the necessary funds will be released to the executing agencies concerned.

During the audit of 62 GPUs, audit team observed that GP not followed all the standing norms of the Government before execution of civil works at GP level. Except in few cases; audit did not find estimates, technical drawings, and technical sanctions of works executed in the respective GPUs. Despite having deployment of Engineer at every BAC, no service seems to have been provided by the technical wing. Lacks of co-ordinations between GPUs & Technical team were noticed.

2. Non – maintenance of Measurement Book.

The payments to contractors and others for the work done or other services rendered are made on the basis of measurements recorded in the Measurement Book and;

These books should be considered as very important accounts records and maintained very carefully and accurately as these may have to be produced as evidence in a court of law, as and when required – ***Sikkim Public Works Manual 2009 vide Section 6.***

However, during the course of audit in 62 GPUs, it was observed that except in few cases, the GPUs had not maintained the Measurement Books which is highly irregular.

3. Lower Thambung GPU - Irregularities in execution of Extension of Auditorium at GPK - Rs 270941/-

On scrutiny of the relevant documents and file of the above related work, audit observed following irregularities:

- i. Irregularities were found in supply bills. VAT amounting to Rs 6521/- and cess amounting to Rs 1106/- were paid to the supplier M/S Dew Kr Thapa. Tax deduction statement was not available in the file.
 - ii. Acknowledgment was not found in MR sheets. Also, progress of work and abstract was not drawn.
 - iii. The expenditure was drawn from BRGF fund meant for gap filling.
- Moreover, audit found that the same work was executed again. Various irregularities were observed by the audit, as follows.
- iv. Revised estimate was not drawn
 - v. Technical drawing and Technical sanction was not found
 - vi. Irregularities were found in supply bills. VAT amounting to Rs 14572/- and cess amounting to Rs 1499/- were paid to the supplier M/S Rumbuk cooperative. Tax deduction statement was not available in the file.
 - vii. Acknowledgment was not found in MR sheets. Also, progress of work and abstract was not drawn.

With the absence of revised estimate or prior sanction from the competent authority, it is highly irregular to execute the same work twice. While the first work was done at the estimated cost of Rs 185120/-, the second work was executed at the expense of Rs. 270941/- which is a considerable amount of money that could have been used in various development work under the GPU. Improper planning and faulty estimation of work led to huge expenditure from the Government account which is highly irregular.

4. Non maintenance of “Register of Works”

Under section 8.7 and 8.8 of Sikkim Public Works Department Manual, 2009, envisaged when any payment is made from the works, the records of expenditure incurred during a year should be posted in the “Register of Works”.

However, scrutiny of records of Local Bodies pertaining to civil works, audit noticed that although the payment was made however the records of expenditure incurred was not posted in the Register of Works.

5. Upper Thambung GPU - Irregularities in construction work of cremation shed at Sangphu Gaon - Rs 33500/-

On scrutiny of the relevant records and file of the above related work, audit observed following irregularities:

- i. Technical Sanction was not obtained
- ii. Irregularities were found in procurement of cement, steel and GCI sheets from M/S Dew Kr Pradhan. VAT amounting to Rs 7604/- and cess amounting to Rs 1216/- were paid to the supplier. Tax deduction statement was not available in the file.
- iii. Work order was not found
- iv. Mobilization advance of Rs 24700/- was paid to Dambar Kr Pradhan vide chq no 717887 dt.

11.3.2014. As per Sikkim Works Manual 2009, Para 24.6 states that only certain specialized and capital intensive works costing not less than Rs 10 crores, mobilization advance limited to 15% of estimated cost put to tender or tendered value or 2 crores whichever is least at 10 % simple interest may be sanctioned to the contractor on specific request. However, the work executed was departmental with estimated cost of less than 2.5 lakhs and the mobilization advance was paid to a third party - a youth member - who is neither a contractor nor a supplier, and without any option for recovery of interest on mobilization advance.

6. Upper Thambung GPU - Irregularities in construction work of cremation shed at Anden Hattabar

On scrutiny of the relevant records and file related to execution of above related work, audit observed following irregularities:

- i. Fund was released by the Department vide chq no 262871 dated 12.12.2014, however, GP commenced the work only in 11.1.2016 and completed it in 9.2.2016, 1 year and 1 month later.
- ii. Irregularities were found in supply of various items from M/S Dil Hang Subba. VAT amounting to Rs 11883/- and cess amounting to Rs 1825/- were paid to the supplier. Tax deduction statement was not available in the file.

7. Rhenock GPU - Delay in completion of works.

- i. GP released a sum of Rs.188000/- vide cheque no 006299 dated 09.12.2014 as advance to President Work Implementing Committee for repair of drinking water pipelines and source development at Kyongsa Ward. As per work order, the work should be completed within six months from the issuance of work order. However, till the date of audit (September 2016), the work is yet to be completed.
- ii. Similarly an advance to Mr. Khus Narayan Bhujel, Panchayat Secretary was released by GP vide cheque no – 021109 dated 13.03.2015 amounting to Rs.350000/- for repair of RWSS at Rungdung Ward. As per work order, the work should be completed within three months from the issuance of work order. However, till the date of audit (September 2016), the work is yet to be completed. Moreover, no appropriate action has been taken by the GP in compliance of the above work.

8. Sakyong-Pentong GPU - Lapses in execution of civil work.

Sikkim Public Works Code envisages that no works should commence unless and until –

- i. Administrative approval has been obtained from the authority appropriate in each case.
- ii. Technical Sanction to incur expenditure has been obtained from the competent authority.
- iii. A properly detailed design and estimate has been sanctioned
- iv. Funds to cover the charge during the year have been provided by the competent

authority.

Audit scrutiny revealed that the GP took up work ***“Repair of RCC bridge over Ringbik Kyong at Sakyong Ward”*** during the Financial Year 2014 – 15 and released a sum of Rs.130000.00 vide cheque no – 204200 dated: 15.10.2014 (Rs.60000.00) & vide cheque no – 552970 dated: 14.11.2014 (Rs.70000.00). However, GP has not followed the prevailing norms/rules before the execution of work in respect of norms mentioned vide Serial Number (ii), (iii) & (iv) above in the work undertaken, which is highly irregular. The expenditure incurred on the work seems to be invalid in the court of law because payments for the work done were not entered in the Measurement Books. Both the payments of casual labour and for supplies of materials are made without entry in the measurement book. In fact GP has not maintained Measurement Book for the work mentioned above.

Moreover, adoption of rates without proper survey and investigation were also noticed. The expenditure incurred on carriage charge for materials used for the above mentioned work was very high in comparison to approved Government rates. The following rates was approved by the authority for carriage charge per unit –

- i. Cement Rs.400/- per bag.
- ii. Sand Rs.300/- per bag.
- iii. Steel pipe Rs.700/- per piece.

9. Hee-Gyathang – Non permissible work from TFC fund Rs.25000.00

TFC operational guidelines do not permit diversion of funds for any purpose other than that for which the sanction is accorded.

However, during the course of audit it was observed that the GP took up tea plantation work at Gyathang Tashicholing Gumpa and incurred a sum of Rs.25000.00 vide cheque no 000312 dated 13.12.2014. The practice is highly irregular and against the scheme guidelines. This has resulted in considerable delay in implementation of the planned schemes and the intended objective of the scheme is grossly defeated. The targeted beneficiaries ultimately remains deprived of the schemes.

VIII. WASTEFUL EXPENDITURE

The canons of financial propriety envisaged in the Sikkim Financial Rules are sacrosanct for all Government Authorities entrusted with authorizing or incurring of expenditure from public funds. They are expected under Rule no 11 to exercise the same diligence and care in expending public money under their control as persons of ordinary prudence would exercise in respect of their own money.

Government have issued instructions through various orders and also incorporated in the statutes of Local Bodies the various items on which public money can be expended and the principles to be adhered to while expending on such items. Yet, it was noticed during audit that the funds were several times incurred without adhering to the laid down principles leading to the wasteful expenditure of public money.

1. Berfok-Lingdong – Avoidable expenditure of Rs.10000.00

During the Financial Year 2014 15 GP incurred a sum of Rs.10000.00 vide cheque no 000338 dated 28.04.2014 from TFC Grant on orange plantation at Lingdong Barfok GPU. The expenditure incurred seems to be unnecessary mainly because during the particular financial year under Mahatma Gandhi NREG Scheme majority of works done was orange & cardamom plantation in convergence with Horticulture & Cash Crops Department. Moreover, TFC guidelines do not permit plantation works.

Hence, the expenditure was avoidable and may used for another purposes acceptable as per the guidelines of TFC.

IX. OTHERS

There are other irregularities pointed out during audit which do not come under the above categories.

1. Non utilization of Panchayat Accounts Assistant (PAA) services.

GPB has appointed Panchayat Accounts Assistant (PAA) to look after the accounts related works. PAA is responsible for maintenance of books of accounts for all funds received and expenditure incurred.

However, during the audit of GPUs (shown below) under Passingdang BAC, Dzongu, North Sikkim, Audit observed that PAA was not given the responsibility of works related to accounts.

- 14 – Lingthem-Lingdem GPU
- 16 – Tingvong GPU
- 17 – Sakyong-Pentong GPU
- 18 – Berfok-Lingdong GPU
- 19 – Hee-Gyathang GPU

2. Accounting system in Gram Panchayat

None of the PRIs adopted the Model Accounting System for PRIs prescribed by Ministry of Panchayat Raj in 2009 for maintenance of accounts. Accordingly audit team couldn't obtain reports generated through the (PRIASOFT) software which forms an integral part of auditing.

The *Sikkim Gram Panchayat (Financial) Rules, 2003 [7(1) & (2)]* stipulated maintenance of various records such as (i) Cash Book, (ii) Monthly Receipt and Payment Register, (iii) Annual receipt and payment account, (iv) Monthly Reconciliation Statement, (v) Inventory Register for Movable Assets, (vi) Inventory Register for Immovable Assets, and (vii) Balance sheet for proper depiction of accounts of the Gram Panchayat Funds.

Scrutiny of records in GPs revealed that basic and registers as indicated above were not maintained properly as evidenced from following:-

- Maintenance of Cash Books in GPs disclosed that (i) Cash Book balance were not certified in any of the GPs by the President of the GPs; (ii) none of the GPs had reconciled the Cash

book balance with the balance maintained by the Banks;

- Monthly Receipt and Payment Register were not maintained;
- Annual Receipts and Payments Accounts were not maintained;
- Registers for movable and Immovable Assets were not maintained to indicate the assets possessed by the GPs, cost of Assets, maintenance cost etc.
- Requirement of Annual physical verification of Assets as required under the Financial Rules were also not carried out in any of the GPs.
- Balance sheet not prepared.

3. Improper Asset Management

The cases of improper asset management by the Executive Authorities are one such case that will fall under this category. Government have reviewed the present system and felt the need for strengthening the Asset Management at various levels. The controls over land and buildings, stocks, stores and other assets require strengthening to prevent any misuse. There is every need to have relevant and reliable information about assets. It is therefore essential to develop and maintain inventory of all assets to ensure that they are brought into the books. The key requirements to ensure that assets are retained in the proper custody and used as per the following norms prescribed.

a) Physical controls: All assets are kept under proper watch and ward to safeguard them against theft, pilferage, damage and risk posed by the weather.

b) Asset Registers: The asset registers must be maintained as per the formats stated in the Sikkim Gram Panchayat (Financial) Rules, 2003 [7(1) & (2)]. The custodians for the assets are required to maintain Asset Registers for all assets with up to date entries to know the actual ownership and prevent illegal occupation/utilization.

c) Physical Verification: There are three forms of physical verification required – first regular attestation of the accuracy of the records; secondly verification by the Head of Office at least once a year and thirdly authentication by the Superior Officer during the periodic inspections.

d) Disposal of Assets: All the offices are required to maintain a register of unserviceable assets and dispose of the unserviceable assets as per provisions of Sikkim Financial Rules and Sikkim Public Works Codes and Manuals against theft pilferage damage and risk posed by the weather.

4. Non levy of taxes

Sections 39[1] and 40[1] of Sikkim Panchayat Act, 1993 envisaged constitution of Gram Panchayat Fund and Levy of taxes, rates and fees on the subjects mentioned at clause (a) to (i) of Rule 40[1] by the GPs subject to the rates fixed by the State Government.

Based on TSFC recommendations and the State Government notified for the levying of Household Tax [Rs.5/- to Rs.15/-], Water & Sanitation Tax [Rs.1/- per month for each household],

Village Road & Environment Tax [Rs.1/- per month per household], Panchayat Recommendation/Clearance/Certificate fees @ Rs.20/- per case/application, sale of Tender Forms at the rate prescribed by SPWD/RMDD/other Government departments, Building Construction Fees @ Rs.2/- for pucca and Rs.1/- for kutcha per square feet of plinth area and other miscellaneous receipts by the Gram Panchayat.

It was, however, noticed that despite the above enabling provisions, the GPs had neither initiated any steps to identify the areas for levying taxes nor collected any revenue except few. It was also noticed that control mechanism for levy taxes/fees and its collection by the PRIs were not prescribed to facilitate timely initiation of the levy and collection procedure despite notification issued by the State Government based on the recommendation of the TSFC.

5. Delay in release of fund

Scrutiny of records of Local Bodies audit team noticed that the funds so released by the Nodal, Line Departments was not time bound. Non availability of required funds in time hamper in implementation of Plans/Schemes in Local Bodies. The practices of releasing of funds at the end of Financial Year were also noticed during the course of audit.

Nodal, Line Departments need to look into the matter seriously and may transfer the funds in a suitable time so that Local Bodies can utilize the funds fully within a same Financial Year towards the development and maximum benefit of the general public.

6. Rush of Expenditure

Financial discipline requires that the expenditure be evenly phased over the Financial Year. It was noticed that 40 to 50 percent of the total expenditure was incurred during the month of March. Rush of expenditure at the close of the Financial Year arise the risk of fraught, unnecessary pressure on the working staff to maintain proper records and reflect the ill-planned execution.

7. Non preparation of Budget

Budget is the most important tool for financial planning, accountability and control. Sikkim Panchayat Act, 1993 read with *Sikkim Gram Panchayat (Financial) Rules, 2003 (Para 8)* envisaged preparation of budget by the GPs indicating estimated receipts and expenditure for the next year by August each year for submission to the Secretary, Rural Management and Development Department of the State Government. It was noticed that no budget proposals were prepared by the GPs. This was despite stipulation in *Para 8(1) of Sikkim Gram Panchayat (Financial) Rules, 2003* requiring District Planning Committee to consolidate PRI budget into respective ZPs for integrating into State Budget. In the absence of Budget, the machinery to watch excess/saving in expenditure over Budget provision in respect of GPs was also

non-existent.

8. HRDD Soreng - Loss of interest

According to *Sub Rule 1 & 2 of Rule 3 of the Sikkim Gram Panchayat (Financial) Rules, 2003* stipulate that all monies received by the Gram Panchayat from the source as indicated at *clause (a) of sub-section 1 of section 39 of the Sikkim Panchayat Act, 1993* should be held in the savings bank account with State Bank of Sikkim or any other Nationalized Bank.

However, on scrutiny of records in 12 GPUs under Soreng BAC revealed that the fund received from the Human Resource Development Department (HRDD) for the payment of monthly pay & allowances of teachers up to the level of junior high school is kept in the current account with Sate Bank of Sikkim, Soreng. This resulted in loss of earning of interest.

The matter was reported to the Block Development Officer (BDO) and Deputy Director, HRDD, Soreng during the month of July 2016 for early rectification but till date (January 2017) reply has not been furnished.

9. Annual Financial Statements not prepared

As per *section 11 of the Sikkim Gram Panchayat (Financial) Rules, 2003*, the PRIs shall produce or cause to be produced; to the auditor all such accounts and related records of the funds of the GP concerned as may be required on behalf of the State Government. Accordingly, the Local Fund Audit has given a prescribed format of Annual Financial Statements to be filled up by the GPUs in which they are to provide information on Opening Balance (if any), Receipts, and Expenditures and Balance fund during a particular Financial Year. However, on all the cases, GPUs have failed to provide Annual Financial Statements and the Audit teams have lost valuable time in preparation, compilation and providing explanation of the same during audit period.

STATEMENT NO. 1**CONSOLIDATED STATEMENT SHOWING REVENUE COLLECTED WITH GPU-WISE BREAK-UP FOR THE YEAR 2014-15**

GPU	REVENUE COLLECTION DURING 2014 - 15
33 - NAMLI	57862
36 - SAMLIK MARCHAK	65412
38 - MARTAM NAZITAM	98273
39 - BYENG PHEGYONG	83930
14 - LINGTHEM-LINGDEM	1733
15 - PASSINGDANG SAFFO	54890
16 - TINGVONG	4310
17 - SAKYONG-PENTONG	880
19 - HEE-GYATHANG	21180
20 - LUM-GOR-SANGTOK	2500
32 - LUING PERBING	18096
33 - RANKA	15900
34 - RAY MINDU	31042
35 - RAWTEY RUMTEK	70450
07 - TAZA	9108
09 - RHENOCK	69645
11 - SUDUNG LAKHA	54030
22 - BERING TAREYTHANG	20650
32 - SULDUNG KAMLING	129953
34 - KHANISIRBONG SUNTALEY	4468
35 - CHOTA SAMDONG ARUBOTEY	2000
41 - MALBASEY	13560
42 - SORENG	286007
43 - SINGLING	6000
44 - TIMBURBUNG	8139
45 - THARPU	19025
46 - KARTOK BHOJEK	4550
47 - DODAK	66699
48 - BARIAKHOP	25060
50- NAVEY SOTAK	105,739
51- LINGDOK	81958
10-ARITAR	72,560
12-DALAPCHAND	72883
16-LIGTAM PHADAMCHEN	79287
17-LAMATEN ROLEP	72883
3-LABDANG	376962
4-TASHIDING	124,050

49-RUMBUK	175,838
50-UPPER THAMBUNG	175,838
51-LOWER THAMBUNG	116,921
52-LUNGCHOK SALANGDANG	110,479
53-SIKTAM TIKPUR	71,295
54-OHKREY	406614
6-GERETHANG	225,410
8-KHECUPELRI	425,129
TOTAL	2337537

STATEMENT NO. 2

CONSOLIDATED STATEMENT SHOWING REVENUE COLLECTED WITH ZP-WISE BREAK-UP FOR THE YEAR 2014-15 & 2015-16

(Amount in Rs.)-

Sl.No.	Name of Account	Opening Balance	Receipt (incl. interest)	Total Receipt	Payment	Closing Balance
EDZP 14-15	Revenue/Canteen Rent	189307	106314	295621	0	295621
NDZP 14-15	Revenue from Conference hall, Canteen, Xerox, etc	700,144	118,700	818,844	200,000	618,844
NDZP 15-16	-do-	618844	169,448	788,292	401,582	386,710
TOTAL		1508295	394462	1902757	601582	1301175

STATEMENT - 3

Consolidated Statement of Receipts & Payments of GPUs - BLOCK LEVEL WISE for the year 2014-15 (in Rupees)

BLOCK	Sum of Total	Sum of Payments during the year
CHONGRANG	2752359	1405730
CHUNGTHANG	8996558	5572244
DARAMDIN	32708482.21	26793743
DZONGU	19414763	13925035
KABI	3779322	2409168
MARTAM	5731195	4333290
RANKA	7807701	3768474
REGU	31820448	27183831
RHENOCK	8148316	5569108
SORENG	23143271	19288687
YUKSUM	60250470	34533757
Grand Total	204552885.2	144783067

STATEMENT - 4**Consolidated Statement of Receipts & Payments of Zilla Panchayats for the year 2014-15 & 2015-16 (in Lakh Rupees)**

	EDZP 2014-15			NDZP 2014-15			NDZP 2015-16			Receipt Total	Payment Total	Closing Balance Total
Name of Account	Total Receipt	Payment	Closing Balance	Total Receipt	Payment	Closing Balance	Total Receipt	Payment	Closing Balance			
13TH FC	583.75	433.26	150.48	289.23	111.46	177.77	639.73	241.81	397.92	1512.71	786.53	726.17
3RD SFC	23.22	23.14	0.08	5.76	5.76	0	78.24	75.47	2.77	107.22	104.37	2.85
BRGF	221.57	199.22	22.35	214.83	136.55	78.28	82.27	82.27	0	518.67	418.04	100.63
Direction & Administration	209.24	183.99	25.26							209.24	183.99	25.26
MSDP (SJE & WD)				58.95	25.91	33.04	97.81	47.56	50.25	156.76	73.47	83.29
State Fund - Development Fund	622.66	587.96	34.7							622.66	587.96	34.7
TSP				126.63	82.48	44.15	54.11	47.41	6.7	180.74	129.89	50.85
Grand Total	1660.44	1427.57	232.87	695.4	362.16	333.24	952.16	494.52	457.64	3308	2284.25	1023.75

STATEMENT NO. 5**CONSOLIDATED STATEMENT SHOWING THE NUMBER OF OBJECTIONS RAISED & AMOUNT(in Rs) INVOLVED WITH INSTITUTION-WISE BREAK-UP FOR THE YEAR 2014-15****1. All GPUs**

OBJECTIONS	AMOUNT	NOs
Excess payments	389451	4
Non-remittance of deductions / recoveries	715168	2
Non adherence to rules	7000322	270
Advances pending adjustment	15995189	8
Diversion of grants/funds	1176720	12
Irregularities in Execution of Works	304441	7
Non Production of Records	1819524	99
Wasteful Expenditure	10000	1
Others		8
TOTAL	27410815	411

2. ZP Wise

OBJECTIONS	NDZP		EDZP		TOTAL	
	AMOUNT	NOs	AMOUNT	NOs	AMOUNT	NOs
Excess payments	58678	1			58678	1
Non-remittance of deductions / recoveries			8144	1	8144	1
NON ADHERENCE TO rules	268568	3	34853	2	303421	5
Advances pending adjustment	1301432	1	6176755	1	7478187	2
Diversion of grants/funds	3397925	2	2800000	1	6197925	3
Irregularities in Execution of Works	1617860	4			1617860	4
TOTAL	6644463	11	9019752	5	15664215	16

STATEMENT NO. 6**6(1) CONSOLIDATED STATEMENT SHOWING THE OBJECTIONS CONCERNING ADVANCES PENDING ADJUSTMENT AND AMOUNTS INVOLVED IN 13 GPUs UNDER SORENG AND RHENOCK BLOCKS**

Sl. No.	Cheque No & Date	Amount (Rs.)	Scheme	GPU	Particulars
1	343422 – 31.01.2015	150000	BRGF	Suldung Kamling	Advance payment to Panchayat President for the construction of waiting shed.
2.	528980 – 03.07.2015	100000	BRGF	Mabong Sigeng	Advance payment to Panchayat President for renovation and purchase of furniture for GPK.
3.	346415 – 08.01.2015	200000	-do-	- do -	Advance payment to Panchayat President for the construction of Cement Concrete footpath from Mabong dara to GPK.
4.	343091 – 28.10.2015	10000	TFC	- do -	Advance payment to Panchayat President for the purchase of stationeries.
5.	343343 – 20.01.2015	195000	BRGF	Khanisirbung Suntaley	Advance payment to Panchayat President/Secretary for the repair of GPK.
6.	341851 – 12.01.2015	250000	BRGF	Chota Samdong Arubotey	Advance payment to Panchayat Secretary for construction of crematorium & waiting shed.
7.	343071 – 04.11.2014	210000	TFC	- do -	Advance payment to Panchayat President for fencing & painting at GPU.
8.	343074 – 12.01.2015	250000	TFC	- do -	Advance payment to Panchayat President for procurement of furniture.
9.	343023 – 28.06.2014	100000	TFC	Malbasey	Advance payment to Panchayat President for the construction of waiting shed at Malbasey GPU.
10.	346474 – 09.01.2015	150000	BRGF	- do -	Advance payment to Panchayat President for start the RWSS work at Ward No 2.
11.	342001 – 12.01.2015	180000	BRGF	Soreng	Advance payment to Panchayat President for the work “Construction of crematorium shed at Ward No – 2”.
12.	342003 – 03.03.2015	100000	-do-	- do -	2 nd advance payment to Panchayat President for the above mentioned work.
13.	254983 – 12.07.2014	20000	TFC	Singling	Advance payment to La Dorjee Bhutia for repair of crematorium shed at Ward No 5.
14.	726208 – 02.07.2014	150000	BRGF	- do -	Advance payment to Panchayat President for the construction of waiting shed at Singling Ward No 3
15.	726209 – 22.10.2014	100000	-do-	- do -	2 nd advance payment to Panchayat President for the construction of waiting shed at Singling Ward No 3
16.	3463400 – 15.12.2014	200000	TFC	Timburbung	Advance payment to Panchayat President for the construction of Cement Concrete foot path & repair of stage at Bojek Jr. High School,

17.	345157 – 17.01.2015	200000	BRGF	Tharpu	Advance payment to Kanchan Pradhan for the construction of protective wall beside GPU Bhawan.
18.	345153 - 12.07.2014	150000	-do-	- do -	Advance payment to Krishna Sharma for the construction of waiting shed at Tharpu dara.
19.	345154 – 14.07.2014	50000	-do-	- do -	Advance payment to Panchayat President for the construction of protective wall at Pranami Mandir.
20.	344224 – 31.12.2014	150000	TFC	- do -	Advance payment to Suren Pradhan for the construction of 6 nos of garbage bin.
21.	346112 – 09.07.2014	100000	BRGF	Kartok Bojek	Advance payment to D.L. Chettri for construction of protective wall at GPU.
22.	41757 – 07.03.2015	40000	TFC	- do -	Advance payment to Panchayat President for the purchase of sound system.
23.	41762 – 25.03.2015	30000	TFC	- do -	Advance payment to Panchayat member Ms. Jug Maya Subba for construction of Devi Mandir.
24.	343008 – 25.11.2014	200000	TFC	Dodak	Advance payment to Panchayat President for the construction of CC footpath from Devithaney goan to RCC bridge at Ward No 2.
25.	342934 – 04.06.2014	120000	BRGF	Bariakhop	1 st advance payment to Panchayat President/Secretary for purchase of furniture.
26.	342936 – 15.07.2014	50000	-do-	- do -	2 nd advance payment to Panchayat President/Secretary for purchase of furniture.
27.	726042 – 12.01.2015	137000	-do-	- do -	Advance payment to Panchayat President for construction of waiting shed at Ward No - 5
28.	006299 – 09.12.2014	188000	BRGF	Rhenock	Advance payment to President Work Implementing Committee for the repairing of drinking water pipelines and source development at Kyongsa Ward.
29.	021109 – 13.03.2015	350000	Development Fund	- do -	Advance payment to Mr. Khus Narayan Bhujel, Panchayat Secretary for repair of RWSS at Rungdung Ward.
30.	005378 – 25.11.2014	141006/-	BRGF	Sudung Lakha	President Work Implementing Committee. Advance payment for the construction of public toilet and protective wall behind the GPK.
31.	005379 – 10.01.2015	112805/-	-do-	- do -	Advance payment to President Work Implementing Committee.
	Total	4383811			

6(2) CONSOLIDATED STATEMENT SHOWING THE ADVANCES DRAWN AND VAT & CESS NOT DEDUCTED - GPU WISE (in Rupees)

SL NO	NAME OF GPU	BLOCK	DISTRICT	SANCTION	ADVANCE	VAT	CESS
1.	LINGDOK	KABI	EAST	521940			
2.	NAVEY SOTAK	KABI	EAST	230000			
3.	ARITAR	REGU	EAST	1641850	862534	24540	5232
4.	CHUJACHEN	REGU	EAST	1213389	340000	27483	3799
5.	DALAPCHAND	REGU	EAST	1427656	480000	24993	2117
6.	LIGTAM PHADAMCHEN	REGU	EAST	2237840	450000	14207	3172
7.	PREMLAKHA SUBANEYDARA	REGU	EAST	2324000	500000	42235	4590
8.	REGU	REGU	EAST	2031496	250000	39843	8402
9.	LAMATEN ROLEP	REGU	EAST	2021098	220000	36532	2611
10.	RONGLI CHANGEYLAKHAA	REGU	EAST	1905500	450000	20153	3200
11.	LACHUNG	CHUNGTHANG	NORTH	1693564	480000		
12.	LACHEN	CHUNGTHANG	NORTH				
13.	CHUNGTHANG	CHUNGTHANG	NORTH	1739750			
14.	SHIPGYER	CHUNGTHANG	NORTH	1266659	502650		
15.	KABI TINGDA	KABI	NORTH	1085522	272250		
16.	PHENSONG	KABI	NORTH	1535814			
17.	MENRONGONG	KABI	NORTH	2170222		12320	
18.	TUMLONG	KABI	NORTH				
19.	TASHIDING	CHONGRANG	WEST	2738000	590450	15253	6100
20.	LABDANG	CHONGRANG	WEST	2054900	120000	2896	396
21.	LOWER THAMBUNG	DARAMDIN	WEST		967876	60188	13228
22.	OHKREY	DARAMDIN	WEST	191740	399358	8086	1840
23.	SIKTAM TIKPUR	DARAMDIN	WEST	5215000	411576	10653	1048
24.	UPPER THAMBUNG	DARAMDIN	WEST	1212910	793700	71386	15479
25.	LUNGCHOK SALLANGDANG	DARAMDIN	WEST	528700	275000	15843	3385
26.	RUMBUK	DARAMDIN	WEST	1549849	820000	76600	7332
27.	RIBDI BHARANG	DARAMDIN	WEST	941000	388600	15035	2066
28.	YUKSUM DUPDI	YUKSUM	WEST	1749090	855000	12528	2823
29.	MELLI ACHING	YUKSUM	WEST	1406014	381000	29436	4517
30.	KHECUPELRI	YUKSUM	WEST	180756	779384	17819	1591
31.	GERETHANG	YUKSUM	WEST	1807700	22000	24346	3281
	TOTAL			44621959	11611378	602375	96209

STATEMENT NO. 7**7(1) CONSOLIDATED STATEMENT SHOWING THE CASES OF OBJECTIONS CONCERNING NON PRODUCTION OF RECORDS AND VOUCHERS NOT CREATED - 29 GPUs UNDER REGU, KABI, CHUNGTHANG, DARAMDIN, CHONGRANG & YUKSUM BLOCKS**

SL NO	NAME OF GPU	BLOCK	DISTRICT	NON PRODUCTION OF FILES / RECORDS	VOUCHERS CREATED	NOT
1.	ARITAR	REGU	EAST	7		7
2.	CHUJACHEN	REGU	EAST			9
3.	DALAPCHAND	REGU	EAST	10		10
4.	LIGTAM PHADAMCHEN	REGU	EAST			11
5.	PREMLAKHA SUBANEYDARA	REGU	EAST	10		10
6.	REGU	REGU	EAST	6		8
7.	LAMATEN ROLEP	REGU	EAST			11
8.	RONGLI CHANGEYLAKHAA	REGU	EAST	8		2
9.	LINGDOK	KABI	EAST			2
10.	NAVEY SOTAK	KABI	EAST			
11.	LACHUNG	CHUNGTHANG	NORTH			
12.	LACHEN	CHUNGTHANG	NORTH			
13.	CHUNGTHANG	CHUNGTHANG	NORTH	1		1
14.	SHIPGYER	CHUNGTHANG	NORTH			8
15.	KABI TINGDA	KABI	NORTH			
16.	PHENSONG	KABI	NORTH	2		2
17.	MENRONGONG	KABI	NORTH			
18.	TUMLONG	KABI	NORTH			
19.	YUKSUM DUPDI	YUKSUM	WEST	7		15
20.	MELLI ACHING	YUKSUM	WEST			17

21.	KHECUPELRI	YUKSUM	WEST		18
22.	GERETHANG	YUKSUM	WEST		16
23.	TASHIDING	CHONGRANG	WEST	11	20
24.	LABDANG	CHONGRANG	WEST	15	16
25.	LOWER THAMBUNG	DARAMDIN	WEST		23
26.	OHKREY	DARAMDIN	WEST	10	16
27.	SIKTAM TIKPUR	DARAMDIN	WEST	4	
28.	UPPER THAMBUNG	DARAMDIN	WEST		9
29.	RUMBUK	DARAMDIN	WEST		7
30.	LUNCHOK SALLANGDANG	DARAMDIN	WEST		7
31.	RIBDI BHARANG	DARAMDIN	WEST	5	18
	TOTAL			96	263

7(2) CONSOLIDATED STATEMENT SHOWING THE CASES AND AMOUNTS INVOLVED IN OBJECTIONS CONCERNING NON PRODUCTION OF RECORDS AND VOUCHERS NOT CREATED - 13 GPUs UNDER SORENG AND DZONGU BLOCKS

Sl. No.	Cheque No & Date	Amount (Rs.)	Scheme	GPU	Particulars
1	425518 – 15.05.2014	193017	TFC	32 – Suldung Kamling	Payment on account of repair of conference hall at GPK, repair of Buddha dham, board writing and repair of waiting shed.
2.	425526 – 08.11.2014	45434	TFC	- do -	Expenditure incurred for conducting Gram Sabha.
3.	346412 – 24.07.2014	69787	BRGF	33 - Mabong Sigeng	Payment on account of purchase of plastic chair 160 nos & visitor chairs 10 nos.
4.	343092 – 25.11.2014	55000	TFC	- do -	Expenditure incurred for conducting Gram Sabha.
5.	281000 – 30.04.2014	150000	TFC	- do -	Expenditure incurred on account of repair of Panchayat Bhawan & maintenance of Sachiva Chamber.
6.	3465807 – 02.07.2014	26680	TFC	34 - Khanisirbung Suntaley	Payment on account of repair of toilet at GPK.
7.	346558 – 12.06.2014	45000	-do-	- do -	Payment on account of construction of RWSS at Hoorgown Ward No 5.
8.	343328 – 10.12.2014	33720	-do-	- do -	Payment on account of repair of ICDS at Chekkhim.
9.	121679 – 17.07.2014	196962	BRGF	35 – Chota Samdong Arubotey	Payment to Panchayat President for repair/renovation of GPK
10.	121680 – 12.09.2014	200000	-do-	- do -	Advance payment to Panchayat President for boundary fencing at GPK.
11.	341853 – 27.02.2015	31400	-do-	- do -	Adjustment/final payment for above work.
12.	343060 – 11.08.2014	200000	TFC	- do -	Final payment to president for construction of toilet.
13.	343023 – 28.06.2014	100000	TFC	41 – Malbasey	Advance payment to Panchayat President for the construction of waiting shed at Malbasey GPU.
14.	346474 – 09.01.2015	150000	BRGF	- do -	Advance payment to Panchayat President for start the RWSS work at Ward No 2.

15.	280548 01.07.2014	–	110000	TFC	45 - Singling	Payment on account of repair of RWSS from Simdap at Ward No 4.
16.	254984 15.07.2014	–	50000	-do-	- do -	Payment to Sushma Tamang on account of emergency fund for land slide.
17.	341502 19.12.2014	–	150000	-do-	- do -	Payment on account of repair of RWSS wards wise.
18.	280548 07.07.2014	–	37292	TFC	46 - Timburbung	Payment on account of repair of RWSS from Ghemrey Dhara to Vidhya Bharati School at Ward No 4 & 5.
19.	121789 20.01.2015	–	31400	BRGF	- do -	Payment on account of supply of furniture & necessary equipments in newly constructed GPK.
20.	280549 10.07.2014	–	247000	-do-	- do -	Payment for fitting & fixing iron grills for windows at GPK.
21.	315095 08.05.2014	–	54765	SFC/TFC	47 - Tharpu	Payment to Panchayat Secretary for Adm. Expenses.
22.	315096 17.07.2014	–	150000	-do-	- do -	Payment to Panchayat Secretary for renovation of GPK
23.	344222 18.12.2014	–	40000	-do-	- do -	Payment to Panchayat Secretary for construction of welcome board & hoarding board.
24.	344221 18.12.2014	–	50000	-do-	- do -	Payment to Panchayat Secretary for construction of waiting shed.
25.	345157 17.01.2015	–	200000	BRGF	- do -	Advance payment to Kanchan Pradhan for the construction of protective wall beside GPU Bhawan.
26.	346111 27.06.2014	–	247335	BRGF	48 – Kartok Bojek	Payment on account of orange plantation.
27.	346112 09.07.2014	–	100000	BRGF	- do -	Advance payment to D.L. Chettri for construction of protective wall at GPU.
28.	346113 30.09.2014	–	131000	BRGF	- do -	Final payment to D.L. Chettri for construction of protective wall at GPU.
29.	346412 24.07.2014	–	69787	BRGF	48 – Dodak	Payment on account of purchase of plastic chair 160 nos & visitor chairs 10 nos.
30.	343092 25.11.2014	–	55000	TFC	- do -	Expenditure incurred for conducting Gram Sabha.

31.	281000 30.04.2014	–	150000	TFC	- do -	Expenditure incurred on account of repair of Panchayat Bhawan & maintenance of Sachiva Chamber.
32.	344677 31.11.2014	–	320000	TFC	49 – Bariakhop	Payment to Panchayat President for construction of garbage tank at all wards under GPU.
33.	342926 24.04.2014	–	97000	BRGF	- do -	Final payment to Panchayat President for construction of waiting shed at Bich Goan.
34.	242929 01.05.2014	–	54000	SFC	- do -	Payment to Panchayat President for purchase of office stationeries.
35.	344679 04.09.2014	–	54000	VWSC	- do -	Payment to Panchayat President for repair of log bridge at Ward No – 3.
36.	444701 17.07.201	–	441703	BRGF	14 – Lingthem-Lingdem	Payment to Mrs. Nimkit Lepcha for extension of playground & fencing at Laven Primary School.
37.	444708 11.11.204	–	157600	-do-	- do -	Final payment for above work.
38.	444709 16.12.2014	–	402896	-do-	- do -	Payment to A.E. Passingdong BAC for repair of RWSS at Sakyong Mentam.
39.	444710 18.12.2014	–	400000	-do-	- do -	Payment to A.E. Passingdong BAC for repair of RWSS at Lingdem.
40.	001199 25.08.2014	–	50000	TFC	- do -	Payments to Mrs. Nimkit Lepcha for RWSS repair at Sakyong Mentam Ward.
41.	001200 05.07.2014	–	27025	-do-	- do -	Expenditure incurred on account of purchase of office stationeries.
42.	010383 25.11.2014	–	60000	-do-	- do -	Payments to Mrs. Nimkit Lepcha for purchase of P.A. System.
43.	010385 09.01.2015	–	25000	-do-	- do -	Payment to Mr. Norbu Tshering Lepcha for RWSS at Lingthem Gumpa.
44.	122434 30.04.2014	–	347921	BRGF	16 – Tingvong	Payment for extension of meeting hall at Nung Ward.
45.	122445 12.08.2014	–	266401	BRGF	- do -	Final payment for the above mentioned work.
	Total		6074125			

CONSOLIDATED AUDIT AND REVIEW REPORT ON THE ACCOUNTS OF MGNREGS FOR THE YEAR 2014-15 & 2015-16

OBJECTIVES OF AUDIT

The Local Fund Audit Division being one of the limbs of the Government of Sikkim verifies the following aspects during the course of post audit of MGNREG Schemes.

- Structural mechanisms were put in place and adequate capacity building measures taken by the State Government for implementation of the Act;
- Procedures for preparing perspective and annual plan at different levels for estimating the likely demand for work, and preparing shelf of projects were adequate and effective;
- Funds were released, accounted for and utilized by the Central and State Governments in compliance with the provisions of Act/Rules;
- There was an effective process of registration of households, allotment of job cards,
- and allocation of employment in compliance with the Act/Rules;
- MGNREGA works were properly planned and economically, efficiently and effectively executed in a timely manner and in compliance with the Act and Rules;
- Durable assets were created, maintained and properly accounted for;
- Convergence of the Scheme with other Rural Development Programmes as envisaged was effectively achieved in ensuring sustainable livelihood to the targeted rural community and improving the overall rural economy;
- All requisite records and data were maintained at various levels and data automated completely to provide reliable and timely MIS;
- Complete transparency was maintained in implementation of the Act by involving all stakeholders in various stages of its implementation from planning to monitoring and evaluation; and
- There was effective mechanism to assess the impact of MGNREGS on individual households, local labour market, migration cycle and efficacy of assets created.

AUDIT CRITERIA

Relevant criteria from the file source documents were used to assess the audit objectives:

- MGNREG Act, 2005 and amendments thereto;
- Guidelines - Operational Guidelines 2006, 2008 and 2013 issued by the Ministry of Rural Development, GoI, regarding MGNREGA and the circulars issued by MoRD;
- MGNREGA SIKKIM- Instructions from State Level June 2006-27th April 2015

- Fund Rules 2006, Financial Rules 2009 and Audit of Scheme Rules 2011;
- Reports of the State/District by National Level Monitors, available with MoRD and respective States' MGNREGS Commissioners;
- Muster Roll Watch Guidelines;
- Guidelines/Checklist for internal monitoring by states;
- Performance indicators framed by Government of India/State Governments; and
- MGNREGS Vision, Strategic Framework and Plan of Action (2010-2011) by MoRD.

SCOPE OF AUDIT

The present performance audit covered a period of two years (2014-15 & 2015-16). Records of State Nodal Department (RMDD); three districts (East, West and North), eleven BACs and 62 GPUs were examined, which are listed as below:

SL NO	NAME OF GPU	BLOCK	DISTRICT	YEAR AUDITED
1	10-ARITAR	REGU	EAST	2014-15 & 2015-16
2	18-CHUJACHEN	REGU	EAST	2014-15 & 2015-16
3	12-DALAPCHAND	REGU	EAST	2014-15 & 2015-16
4	16-LIGTAM PHADAMCHEN	REGU	EAST	2014-15 & 2015-16
5	14-PREMLAKHA SUBANEYDARA	REGU	EAST	2014-15 & 2015-16
6	13-REGU	REGU	EAST	2014-15 & 2015-16
7	17-LAMATEN ROLEP	REGU	EAST	2014-15 & 2015-16
8	49-RONGLI CHANGEYLAKHAA	REGU	EAST	2014-15 & 2015-16
9	51- LINGDOK	KABI	EAST	2014-15
10	50- NAVEY SOTAK	KABI	EAST	2014-15
11	33 - Namli	MARTAM	EAST	2014-15
12	36 - Samlik Marchak	MARTAM	EAST	2014-15
13	38 - Martam Nazitam	MARTAM	EAST	2014-15
14	39 - Byeng Phegyong	MARTAM	EAST	2014-15
15	32 - Luing Perbing	RANKA	EAST	2014-15
16	33 - Ranka	RANKA	EAST	2014-15
17	34 - Ray Mindu	RANKA	EAST	2014-15
18	35 - Rawtey Rumtek	RANKA	EAST	2014-15
19	07 - Taza	RHENOCK	EAST	2014-15

20	09 - Rhenock	RHENOCK	EAST	2014-15
21	11 - Sudung Lakha	RHENOCK	EAST	2014-15
22	22 - Bering Tareythang	RHENOCK	EAST	2014-15
23	22-LACHUNG	CHUNGTHANG	NORTH	2014-15
24	21-LACHEN	CHUNGTHANG	NORTH	2014-15
25	12-CHUNGTHANG	CHUNGTHANG	NORTH	2014-15
26	13-SHIPGYER	CHUNGTHANG	NORTH	2014-15
27	1-KABI TINGDA	KABI	NORTH	2014-15
28	2-PHENSONG	KABI	NORTH	2014-15
29	3-MENRONGONG	KABI	NORTH	2014-15
30	4-TUMLONG	KABI	NORTH	2014-15
31	14 - Lingthem-Lingdem	DZONGU	NORTH	2014-15
32	15 - Passingdang Saffo	DZONGU	NORTH	2014-15
33	16 - Tingvong	DZONGU	NORTH	2014-15
34	17 - Sakyong-Pentong	DZONGU	NORTH	2014-15
35	18 - Berfok-Lingdong	DZONGU	NORTH	2014-15
36	19 - Hee-Gyathang	DZONGU	NORTH	2014-15
37	20 - Lum-Gor-Sangtok	DZONGU	NORTH	2014-15
38	7-YUKSUM DUPDI	YUKSUM	WEST	2014-15 & 2015-16
39	9-MELLI ACHING	YUKSUM	WEST	2014-15 & 2015-16
40	8-KHECUPELRI	YUKSUM	WEST	2014-15 & 2015-16
41	6-GERETHANG	YUKSUM	WEST	2014-15 & 2015-16
42	4-TASHIDING	CHONGRANG	WEST	2014-15 & 2015-16
43	3-LABDANG	CHONGRANG	WEST	2014-15 & 2015-16
44	51-LOWER THAMBUNG	DARAMDIN	WEST	2014-15 & 2015-16
45	54-OHKREY	DARAMDIN	WEST	2014-15 & 2015-16
46	53-SIKTAM TIKPUR	DARAMDIN	WEST	2014-15 & 2015-16
47	50-UPPER THAMBUNG	DARAMDIN	WEST	2014-15 & 2015-16
48	52-LUNGCHOK SALANGDANG	DARAMDIN	WEST	2014-15 & 2015-16
49	49-RUMBUK	DARAMDIN	WEST	2014-15 & 2015-16
50	55-RIBDI BHARANG	DARAMDIN	WEST	2014-15 & 2015-16
51	32 - Suldung Kamling	SORENG	WEST	2014-15

52	33 - Mabong Singeng	SORENG	WEST	2014-15
53	34 - Khanisirbong Suntaley	SORENG	WEST	2014-15
54	35 - Chota Samdong Arubotey	SORENG	WEST	2014-15
55	41 - Malbasey	SORENG	WEST	2014-15
56	42 - Soreng	SORENG	WEST	2014-15
57	43 - Singling	SORENG	WEST	2014-15
58	44 - Timburbung	SORENG	WEST	2014-15
59	45 - Tharpu	SORENG	WEST	2014-15
60	46 - Kartok Bhojek	SORENG	WEST	2014-15
61	47 - Dodak	SORENG	WEST	2014-15
62	48 - Bariakhop	SORENG	WEST	2014-15

AUDIT OBJECTIONS

During the course of audit of these 62 GPUs for the year 2014-15 and 2015-16 various defects noticed were already pointed out in the relevant Audit Reports which were forwarded to the Executive Authorities concerned for further action at their end as per the procedure laid down under the Sikkim Local Fund Audit Act.

CATEGORISATION OF AUDIT OBJECTIONS

The various audit objections are classified into 6 categories as detailed below.

1. Non adherence to rules
2. Non-remittance of deductions / recoveries from vouchers / pay bills /contingent bills
3. Wasteful expenditure
4. Non Production of Records
5. Diversion of Fund
6. Others

AUDIT PARAS

Gist of some of the selected audit objections raised during the year 2014-15 under report is enumerated below:

I. NON ADHERENCE TO RULES

It was noticed that in some cases the Rules / Government instructions for incurring the expenditure from the funds were not followed either due to negligence or ignorance. In certain cases, the funds were utilized for the purposes other than the permitted ones under the Act / Rules. It was also noticed that in a few cases, Government instructions were misunderstood or misinterpreted. Such irregular expenditure incurred was objected to in the relevant Audit Reports.

1. Delay in Payment

Operation Guidelines of MGNREGS stipulate payment of wages on weekly basis and not later than a fortnight from the date on which work was done (*MGNREGA, Section 3(3)*), failing which compensation as per the provisions of the *Payment of Wages Act 1936 (MGNREGA, Schedule II, Section 30)* would be paid by the State Government. Audit checks revealed that payment of wages were delayed due to various reasons. Wages were paid very late and no compensations were paid to the deprived workers for delay in payment of wages in non adherence to the Act.

Financial Year	Total No. Of Transactions of delayed payment	Total Amount involved in Lakh Rupees
2014-15	59	60
2015-16	61	62
TOTAL	120	122

Consolidated Statement cases of Delayed Payment for the financial year 2014-15 and for the financial year 2015-16 are placed as Statement No. 10(1) and Statement No. 10(2).

2. Payment on weekly/fortnightly basis

Operation Guidelines of MGNREGS stipulated payment of wages on weekly basis and not later than a fortnight from the date on which work was done (*MGNREGA, Section 3(3)*), failing which compensation as per the provisions of the *Payment of Wages Act 1936 (MGNREGA, Schedule II, Section 30)* would be paid by the State Government. Audit check revealed that payments of wages are delayed due to various reasons. Not only the wages were not paid on time, the compensation for delayed payment of wages was also not given to the wage earners in NON adherence to the Act.

3. Wage-Material Ratio not maintained

MGNREG Act, 2005 and the Operational Guidelines of MGNREGS stipulated that Wage-Material Ratio has to be maintained as 60:40. It should be ensured that the total material cost (including wages of skilled, and semi-skilled workers and mate) of all works in the Annual Shelf of Projects (including the works suggested under Para IC of Schedule I taken up in a Gram Panchayat/Block Panchayat, in a Financial Year, should not exceed 40 %. However, scrutiny revealed that Wage-Material Ratio for the Financial Year 2014-15 was 43:57.

Financial Year	Wage Component (in Lakhs)	Wage Component (in %)	Material Component (in Lakhs)	Material Component (in %)
2014-15	1125.08	42.93	1495.6	57.07
2015-16	2012.13	61.04	1284.02	38.96
TOTAL	3137.21	51.99	2779.62	48.01

Consolidated Statement of Labour, Material Ratio Analysis for the Financial Year 2014-2015 for the financial year 2014-15 and for the financial year 2015-16 are placed as **Statement No. 9(1) and Statement No. 9(2)**.

4. Non issuance of Wages slips to workers

MGNREG Act, 2005 (Para-7.2.1(xi)) and the Operational Guidelines of MGNREGS (Para- 7.2) stipulated issuing of wage slip to the wage earners. On scrutiny by audit, it was noticed that all wage seekers in the GP were not issued with wage slips.

5. Door to door survey

The NREG Act, 2005 and Operational Guidelines of the MGNREGS stipulated undertaking of a door-to-door survey by a team headed by the President and the Secretary of the Gram Panchayat, Ward members, SC/ST and women residents, and a village-level Government functionary to identify persons willing to register under the Act. Audit noticed that door-to-door survey to identify persons willing to register under the scheme was not conducted either before implementation of the scheme or thereafter by the GP.

II. NON-REMITTANCE OF DEDUCTIONS / RECOVERIES FROM VOUCHERS / PAY BILLS / CONTINGENT BILLS

It was noticed during the audit that various deductions / recoveries affected from the work bills / pay bills were not remitted to the Government or a part of them only were remitted in spite of statutory obligation to remit the same to Government account within a prescribed time under the relevant statutory provisions which also include penalty as well as prosecution for non-adherence.

1. Delay in deposit of Government Revenue

On scrutiny of bills, Cash Book and bank statements at Regu, Kabi, Chungthang, Yuksum, Chongrang and Daramdin BAC, it is revealed that although the payments have been made to suppliers on ac supply of materials. However, the taxes, viz VAT, Cess, Forest Royalty, which were deducted from the bills were not deposited into the Government account in time which is in non adherence to SFR 50 and 51.

2. Ranka BAC - Amount of taxes paid to supplier instead of crediting into the Government Account - Rs 99814/-

As per Notification No 103/IT and CT/11(36)/2005 dated 28.03.2005 - recoveries of taxes at the prevailing rates/per cent must be deducted from the bills submitted by the supplier and contractor and credited into the relevant heads of Government Account.

Scrutiny of samples [7 nos] of supplier bills revealed that instead of crediting taxes into Government Account, the taxes amount viz VAT and CESS [**cement component**] were paid to supplier along with the amount of materials actually supplied resulting in excess payment to supplier. Moreover, the concerned official was unable to produce any supporting document indicating that the amount was deposited into the Government Account till date.

Some of the cases wherein the above instances were found have been elucidated hereunder-

Name of works	Bill No & Date	VAT	CESS	Remarks
1. MIC from Thapa Jhora to Dhulo Khet	34/AE/14-15 12.12.2014	15373/-	1845/-	Excess payment made to M/s Anmol Enterprises, Convey Ground, Tadong - Gangtok for supply of cement.
2. MIC from Thapa Jhora to Dhulo Khet	26/AE/13-14 22.03.2014	2688/-	323/-	
3. CCFP from Upper Malanthang to Gurung Khola	23/AE/13-14 22.03.2014	3225/-	387/-	
4. CCFP from Upper Malanthang to Gurung Khola	30/AE/14-15 18.12.2014	14351/-	1722/-	
5. CCFP from Bhutey Khola to Sadhu Goan	29/AE/14-15 18.12.2014	17200/-	2064/-	
6. CCFP from SPWD Road to Katel Goan to Bhutey Goan Ward	19/AE/14-15 16.11.2014	6719/-	806/-	
7. CCFP from SPWD Road to Ranka ICDS Centre Thamidara	18/AE/14-15 25.01.2014	29563/-	3548/-	
Total		89119/-	10695/-	

3. Delay in remitting of Government Revenue.

The Head of every department/office shall be responsible to ensure that all revenue, receipts or other sums due to Government are regularly and promptly assessed, realized and credited to Government account under the relevant head of account. He shall obtain from his subordinate officers monthly returns detailing the dues. Any amount due to Government shall not be left unrealized without sufficient reasons. The original documents received in proof of the amount having been credited to Government account should be kept in safe custody for future evidence – *Sikkim Financial Rules, 1979*.

Scrutiny of payment vouchers, Cash Book [NREGS] at BACs revealed that although the payment to suppliers have been paid in full on account of supply of materials, however, on the other hand, Government Revenue in the form of Taxes was left unpaid and not credited into the Government Account in time – delay of crediting of taxes ranging from 12 to 14 months were noticed despite of availability of the required funds.

III. WASTEFUL EXPENDITURE

Government have issued instructions through various orders and also incorporated in the statutes of Local Bodies the various items on which public money can be expended and the principles to be adhered to while expending on such items. Yet, it was noticed during audit that the funds were several times incurred without adhering to the laid down principles leading to the wasteful expenditure of public money. All the cases of such wasteful expenditure observed during the audit were expenditures that were avoidable, extraordinary and lacked proper planning.

1. Martam BAC - Unauthorized expenditure from the Administrative cost - Rs 9575/-

On scrutiny of paid vouchers pertaining to administrative cost, it was found that BAC Martam released payment for various purposes which are not permissible under the administrative costs of MGNREGA. Details are shown in the table below –

Sl.N o.	Particulars	Cheque No & date	Amount (Rs.)	Remarks
1.	Re-imbursement of post paid mobile bill of BDO, Mobile No - 8647922066	177879 – 26.04. 14	5586/-	Months not mentioned in the cash memos.
2.	Re-imbursement for repair of vehicle SK-01-G-0301 attached to BDO	-do-	3989/-	Valid cash memo not found, as required entry in the history register not done.
Total			9575/-	

2. Rhenock BAC - Unauthorized payment from the Material fund.

Para (xi) 12.5.5 of MGNREGA operational guidelines – 2013 – 4th edition implies that First Aid

Box for emergency treatment should be made available from the provision of Administrative Expenditure.

However, scrutiny of records audit revealed that Rhenock BAC purchased the First Aid Boxes from the Material Funds which is unauthorized expenditure.

3. Avoidable Expenditure on Tools & Implements

As per *Para 7.4.2 of Operational Guidelines*, it is advised that workers may be facilitated to bring their tools and implements for which appropriate sharpening charges may be paid. Alternatively, if the workers are unable to manage their own tools, these may be arranged by Panchayats/ SHGs etc. The cost of procurement (if any) and maintenance expenditure like sharpening of crowbars etc. shall be booked under material expenditure.

On scrutiny by the audit, it was found that tools and implements (crowbars, baskets, pickaxes, etc.) were procured for each and every work under each GPU. This practice contravened the provisions of the guidelines.

IV. NON-PRODUCTION OF RECORDS

The Panchayat Raj Bodies provide certain basic civic infrastructure and services. They also perform certain regulatory functions. They also prepare plans for economic development and social justice. With the rise in demand for services the functionaries need to have effective financial management skills and accountability practices.

All these functions would be reflected on the record when they were accounted for as per the provisions contained in the Comptroller and Auditor General (C&AG) rules together with the local rulings relating to Local variation in accounts procedure. These initial accounts are to be kept ready and should be produced to Audit for verification. Then only the transparency in incurring of public money and their utilization for the benefit of the General Public can be reasonably judged.

The financial health of an institution depends up on the quality of the records that are being maintained to show the accountability of the financial transactions that occur in the institution. The provisions under **Rule 6 of Sikkim Local Fund Audit Act, 2012**, are clear that the onus for production of records to audit lies with the Executive Authority of the institution.

Though several half margin letters were issued for production of the required records, the Executive Authorities did not comply with and resulted in inaccessibility of the records and raising of paras to that extent.

1. Passingdang BAC – Non production of records.

Audit is a time bound process & non-production of records is seriously affecting in completion of scheduled audit task.

Despite requests & communications in writing to the concerned officials of Passingdang BAC, they have failed to produce the requisite information & records to the audit team. Whenever the

audit requisitioned for records, the officials kept passing the responsibility of providing the records to one another. The matter was also reported to the ADC (Development), Mangan, North Sikkim vide Letter No – 01/PRI/LFAD dated: 30/11/2016. However, there was no response or improvement in the scenario.

Denying to produce records to the audit reflected lack of concern and seriousness on the part of the concerned officials of Passingdong BAC.

2. Soreng BAC - Payment vouchers of Rs.1748828/- not produced.

Audit scrutiny revealed that during the Financial Year 2014 – 15, Soreng BAC incurred a sum of Rs.1802918/- from the Administrative Provision but vouchers for only Rs.54090/- were produced to audit and remaining payment vouchers worth Rs. 1748828/- were not produced to audit. Due to non-availability of vouchers in office, the team could not establish authenticity of the expenditure. The situation shows carelessness of the office in keeping such valuable papers.

3. Non production of Registers, files etc under Mahatma Gandhi NREG Scheme.

According to *NREG Act, 2005 and Operational Guidelines of the MGNREGS* stipulate maintenance of mandatory Register, files etc at the Gram Panchayat Level. The registers, files should be maintained by the GRS or by the authorized person manually at her/his level and kept in safe custody for future evidence.

However, during the course of audit at GPUs (shown below) under Passingdang BAC, Dzongu, North Sikkim, the registers, files etc pertaining to Mahatma Gandhi NREG Scheme maintained at GP Level were not produce to audit.

- i. 14 - Lingthem-Lingdem GPU
- ii. 15 - Passingdang-Saffo GPU
- iii. 17 – Sakyong-Pentong GPU
- iv. 18 – Berfok-Lindong GPU

V. DIVERSION OF FUND

The GPs are provided with funds for executing MGNREGS works by the Central Governments. Incurring of expenditure for purposes other than the prescribed without specific sanction of the Government is not permissible and it amounts to diversion of funds. In case of MGNREGS, the grants should be utilized only for the specific purpose for which the grant is released and no diversion is permissible without the approval of such Grant Releasing Authority. But, it was noticed during audit that notwithstanding such instructions, diversion of funds was done

1. Irregular expenditure from Contingencies

As per Memo no: 12/RM&DD/MG-NREGA Dated: 18/04/2011 and in continuation to Memo no: 309/MGNREGA/ADM/2010-11 Dated: 28th Aug, 2010 it is stated that it allows for 2% contingency provision in the estimate as permitted under the Sikkim Public Works Manual 2009.

The guidelines have been framed governing the use and release of these contingency funds, which will come into force with immediate effect:

1. This 2% is of the total estimated cost of the work, and needs to be finally booked in the material component.
2. This fund need to be released based on actual contingency expenditure incurred by the officials of the technical wing in executing the work and should not exceed the estimated amount.
3. In order to avoid duplicacy, administrative expenses of MGNREGA or other office expenses should not be used for this purpose.
4. 50% of the actual contingency expenditure becomes eligible for release to the concerned technical personnel involved in executing this work only after satisfying all of the following conditions:
 - a. Work is completed
 - b. Completion report as per Form B provided for in *Notification no: 305/MGNREGA/RM&DD/10-11 Dated: 27 th August, 2010* is submitted to the District Programme Coordinator and
 - c. 100% uploading of the total expenditure of the work in the MIS is completed and
 - d. The total expenditure of this work entered in the MIS matches with that indicated in the completion report
5. Remaining 50% of the actual contingency expenditure shall be released only after the social audit of the said work is completed and all issues raised are adequately resolved to the satisfaction of the District Programme Coordinator.
6. It is mandatory to obtain pass order from the concerned District Programme Coordinator before releasing this payment from the BAC.
7. Concerned District Programme Coordinator shall be accountable to ensure that the above process is adhered to strictly.

Also, as per *MGNREGA Operational Guidelines 2013 para no 12.5.6 (xiii) "Contingency Expenditure"*, it is stated that the following activities can be booked under the contingency expenditure head:

- a. **Ex-gratia Payment:** Payment made to an MGNREGA worker in case of death or permanent disability due to accident while working under the programme.
- b. **Medical Treatment:** Charges towards medical treatment to a worker in case of personal injury during the course of his/her employment under the scheme.
- c. **Hospitalisation:** Expenditure towards hospitalisation viz. accommodation, treatment, medicines and payment of daily allowance not less than half of the wage rate, in case hospitalisation of an injured worker becomes necessary for a person who gets injured during the course of his/her employment on MGNREGA works.

Also as per *MGNREGA Operational Guidelines 2013 para no 12.5.6 "Expenses not allowed under administrative costs"*, it is stated that the following items shall under no condition be booked under the administrative costs of MGNREGA:

- i) Purchase of vehicles and repair of old vehicles.

ii) Civil works.

iii) Salaries/ remuneration of functionaries already engaged by the Government/ PRIs/ any other implementing agency.

iv) Material procurement for works.

However on scrutiny of various files and records of audited BACs, it was revealed to the audit that various expenditure were incurred which are not permissible such as procurement of computer and accessories, furniture and Travel Allowances of PO/JE/APO/GRS.

2. Soreng BAC - Diversion of Contingency Fund towards the non permissible activities.

Para 12.5.5 [xiii] of MGNREGA Operational guidelines – 2013 – 4th edition stipulated that only the following permissible activities can be booked under the contingency expenditure head of account –

i. *Ex-gratia payment*

ii. *Medical Treatment*

iii. *Hospitalization*

However, Audit scrutiny revealed that despite clear guidelines, Soreng BAC incurred a sum of Rs.614000/- vide cheque no – 026121 dated 30.01.2015 on non- permissible activities/ works from the available contingency fund towards the repairing & renovation of Block Administrative Centre. The decision of BAC for the diversion of Contingency Fund towards the non-permissible activities is against the standing norm.

VI. EXCESS PAYMENTS

It was observed that in several cases, excess payments were made due to either.

- Incorrect calculations or
- Arithmetic error
- Admission of inadmissible claims or
- Lack of knowledge of Government instructions.

1. Lungchok Salangdang GPU - Excess Payment on Carriage Charge.

On scrutiny of various records related to MGNREGA, it was revealed that the carriage charges were charged at a very high rate by the supplier. The distances of quarry to construction site were in the radius of 20 to 25 km. Carriage charges were to be paid to supplier as per SNT rate. Carriage rate of SNT is Rs. 11.50 per km per MT. The minimum fare irrespective of weight and distance is Rs. 1840/- (Rs.11.50x8x20).

Also, it was revealed to the audit that carriage charge of Rs. 5000/- per trip was paid to the suppliers for supply of tools and implements such as Ramba, Pharwa, Belcha, Ropes and nails, which is extremely high.

The excess payment towards carriage charges may be recovered from supplier under intimation to Audit and deposited in Gram Panchayat account.

2. Ribdi - Bharang GPU - Excess Payment on Purchase of Cement and Sand.

On scrutiny of records of Gram Panchayat, it was revealed that cement and sand for the construction of work was procured at different rate from same or different supplier. The rate of cement per bag ranged from Rs.332 to 460 per bag and sand were Rs.18 to Rs 40 per cft. Thus cement and sand purchased in excess rate of Rs. 53 to Rs.128 per bag and sand Rs.5 to Rs.22 per cft without any valid reason leading to extra expenditure.

3. Lungchok Salangdang GPU - Excess Payment on Purchase of Cement and Sand.

On scrutiny of records of Gram Panchayat, it was revealed that cement and sand for the construction of work was procured at different rate from same or different supplier. The rate of cement per bag ranged from Rs.332 to 460 per bag and sand were Rs.18 to Rs 40 per cft. Thus cement and sand purchased in excess rate of Rs. 53 to Rs.128 per bag and sand Rs.5 to Rs.22 per cft without any valid reason leading to extra expenditure.

The excess payment may be recovered from supplier under intimation to Audit and deposited in Gram Panchayat account.

VII. OTHERS

There are other irregularities pointed out during audit which do not come under the above categories.

1. Improper maintenance of cash book

As per *sub rule 1 of rule 5 (The Sikkim Gram Panchayat Financial Rules, 2003)* stated that the Bank Reconciliation Statement in the prescribed format on a monthly basis is prepared and the available balance with the bank is reconciled. Under *sub rule 2 to 4 of Rule 4 of Sikkim Gram Panchayat (Financial) Rules, 2003*, all transactions shall be entered in the cash book as soon as they occur and in order of their occurrence. The pages of each book shall be numbered and the number of pages shall be certified. All receipt and payments shall be duly supported by vouchers which shall be numbered and their number shall be recorded in the cash book. All receipts and payments vouchers shall be kept in order of its number. The Cash Book shall be closed monthly. On scrutiny of Cash Books relating to various schemes of Gram Panchayat, the following shortcomings were noticed:

- The Opening balance & closing balance in the Cash Book are not correct.
- Entries of the voucher numbers are not mentioned.
- None of the vouchers are serially numbered.
- Narration of the transactions has not been recorded properly.
- In most of the transactions, the cash book has not been signed by the concerned authority.
- Monthly reconciliation of accounts with the Bank has not been conducted.

2. Monthly squaring of accounts

The Act and the Operation Guidelines of MGNREGS stipulated introduction of monthly squaring of accounts to ensure that all money released under MGNREGA is accounted for under (a) bank balance (b) advances (c) expenditure vouchers. Audit noticed that the actual expenditure and available balance, was not readily available. In absence of the system, monthly closing of accounts was not done.

3. Improper maintenance of Records

Maintenance of records under MGNREGA is critical to ensure verifiable compliance with the legal guarantee of 100 days of employment on demand and payment of unemployment allowance. The MGNREGA Operational Guidelines have specified details of records and registers to be maintained at different levels such as Tender/Contract Register, Material Procurement Register, Application Registration Register, Job Card Register, Employment Register, Asset Register, Muster Rolls, Monthly Allotment and Utilization Certificate Watch Register, and MR Receipt Register.

According to the MGNREGA Operational Guidelines, digitized Muster Rolls (MRs) with a unique identity number is to be issued from the Block level to GPs and only those musters that are signed/ certified by Programme Officer are considered authentic for generation of pay orders. However, the audit team noticed that in most of the cases, MR bills were not countersigned by the Programme Officer.

On scrutiny, it was revealed that the GPUs were not maintaining Cash Book at GPUs but at the Block Office.

The Job Card Register which gives details of job cards issued to households was maintained in GP, the photographs of members of household were to be attested by the President and Secretary were not done in some of the cases.

The Tender/Contract Register, and Monthly Allotment and Utilization Certificate Watch Register were not maintained in GP.

4. Improper maintenance of work wise files for MGNREGA closed and ongoing works

As per the *Circular no 35/5/ADM/RMDD/MGNREGA dated 5.6.2015*, the GRS shall maintain work wise files for all MGNREGA closed and ongoing works containing 13 documents listed from Sl no (a) to (m), and PO shall provide certified copies of these documents to the GRS and also ensure that the work file is being maintained by the GRS in prescribed manner. The said file must contain the following documents:

- a) Gram Sabha Resolution (certified photocopy)
- b) Estimate and technical drawing (certified photocopy)
- c) Sanction order of the work concerned (certified photocopy)

- d) Work order of the work concerned (certified photocopy)
 - e) All muster rolls in original
 - f) All material indents (certified photocopy)
 - g) Material Received and Consumed Certificate - Form-A (certified photocopy)
 - h) All material bills and vouchers (certified photocopy)
 - i) Relevant portions of the Worksite Goods Received Register (certified photocopy)
 - j) Relevant portions of the Goods Issue Register for Community Works (certified photocopy)
 - k) Relevant portions of the Beneficiary Goods Issue Register for Individual Works (certified photocopy)
 - l) Relevant portions of the Beneficiary Plants Issue Register (certified photocopy)
 - m) Completion certificate with photos of before, during and after (Form B) (certified photocopy)
- However, scrutiny of work wise files for MGNREGA works revealed that the files and records were not maintained properly. Essential documents such as Gram Sabha resolution (photocopy), FORM A, B & C, MB, indent, Work order, etc, were not found in the concerned file which is highly irregular.

5. Improper Monitoring & Evaluation

Timely and proper monitoring of all developmental works executed by the Gram Panchayat in the GPU was the overall responsibility of BDO. Inspection schedule for field visit to monitor the progress of schemes/programmes must drawn up before hand by the Gram Sabha and the details indicating outcome of field visits are to be recorded for initiating corrective actions. Evaluation of the scheme/ programme must be done at Block level.

However, such monitoring and evaluation were not properly conducted as per records made available to the audit.

6. Status of Worksite Material Monitoring Committee (WMMC):

As per notification vide *Ref No: 6/ RMDD / MGNREGA dated 07/09/2013*, Worksite Material Monitoring Committee comprising of the Ward Panchayat, Mate, 5 Job Card holders and a member of the Vigilance Monitoring Committee (VMC) has to be constituted compulsorily before the commencement of a new work. The Programme Officer must see to it that the WMMC is formed and notified before the commencement of the work and that the Material Received and Consumed Certificate (Form 'A') is certified by the said Committee before billing. The Committee must also receive all the stock and non-stock materials pertaining to the concerned work at the worksite.

However, scrutiny by audit team revealed that the Material Received and Consumed Certificate (Form 'A') was not enclosed with the bills which amount to non adherence to rules.

7. Project Completion Report (PCR) not prepared

According to the *operational guidelines of MGNREGA, Chapter No. 06, Sl.No 6.9*, a Project Completion Report (PCR) has to be prepared as per the prescribed format in the work registers after completion of work. A photograph of completed work should be taken and attached to PCR. Project Completion Report should be placed in the file pertaining to the work in the office of the Implementing Agency.

The Audit Team found that no Project Completion Report was prepared as required by the Operational Guidelines.

8. Pro-active disclosure not found

As given in *Para 13.7 of Operational Guidelines of MGNREGA*, Pro-actively disclosing following information is highly essential:

- a. At worksites as per Annexure -1: Details of works both completed and on-going (including wages paid and material component).
- b. At GP Offices and other prominent public places as per Annexure -2

Names of persons (with JC numbers) who have worked, days worked and wages paid to them in the format.

Quantity and price of materials purchased for each project along with name of agency which supplied the material.

However, audit noticed that proactive disclosure was not done properly. This practice contravened the provisions of the guidelines.

9. Improper maintenance of Employment Register

According to MGNREGA guidelines, a detailed record of the beneficiary have to be maintained in the Employment Register, however, audit found various irregularities.

1. Aadhaar number was not recorded
2. Election ID number was not recorded
3. Bank account was not recorded

10. Stock keeping of tools and implements

As per *Para 3 of Circular no 31/5/ADM/NREGA/2008-09 Dated 20.4.2012*, after completion of a work, the tools and implements used have to be returned back by the concerned Mate to the custody of GRS. Also a tools and implements stock register has to be maintained at the GPU level by the GRS for the proper stock taking of the tools and implements purchased, issued and returned, so that documentary evidence is available. Concerned PO should ensure that this stock keeping of tools and implements is made standard practice at the GP level.

However, audit was informed that the tools and implements were kept by the Mates or the Ward Panchayats and documentary evidences were not available.

STATEMENT 8(1): Financial Performance Under MGNREGA during the Financial Year 2014-2015 (in Lakh Rupees)

S. No	Block	Opening Balance(OB)		Rele ase of curre nt year	Authori zation of EFMS	Misc Rece ipt	Mone y Refun ded by PO to DPC	Total Availa bility	Cumulative Expenditure								Bala nce	Payment due*					
		CB as OB	Ente red OB						Actual Expenditure				Adm.Exp			Total		On Unski lled Wage	On Semi-s killed and Skilled Wage	On Mate rial	Ta x	Ta x	Tot al
									Re c Exp	Non- Rec Exp	Tot al Ad m. Ex p												
1	Martam	15.9	4.07	80.8	0	0	0	84.87	34.13	3.24	40.98	0.1	1.51	0.27	1.78	80.24	4.63	0	0	0	0	0	
2	RANKA	37.01	4.07	172.68	10.86	0	0	187.61	93.42	3.69	83.93	2.36	0.75	0	0.75	184.15	3.46	0	0.02	0	0	0.02	
3	REGU	146.47	6.96	512.5	0	0	0	519.46	211.34	22.24	240.93	0.41	0.25	0.5	0.75	475.66	43.8	0.82	0	0	0	0.82	
4	RHENOCK	2.32	10.81	263.04	0	0	0	273.85	113.17	14.2	121.07	0.79	0.5	0	0.5	249.72	24.13	0.88	0	0	0	0.88	
5	CHUNGTHANG	11.82	4.28	255.41	0	0	0	259.68	73.67	3.7	65.32	1.84	10.72	0.41	11.13	155.66	104.02	2.76	0	0	0	2.76	
6	DZONGU	0.28	4.32	167.07	0	0	0	171.39	66.37	8.1	80.06	5.04	3.32	0	3.32	162.89	8.5	2.16	0	0	0	2.16	
7	KABI	29.52	6.35	135.91	0	0	0	142.26	49.16	12.13	66.26	0.5	9	0	9	137.05	5.22	2.44	0	0.75	0.05	3.24	
8	Chongrang	-306.49	2.73	262.37	0	0	0	265.1	130.52	11.39	106.19	4.44	10.85	0	10.85	263.39	1.7	0	0	0	0	0	
9	DARAMDIN	2.17	3.48	235.49	0.17	0	0	239.15	24.95	4.47	209.73	0	7.9	0	7.9	247.06	-7.91	2.3	0	36.61	0	38.91	
10	SORENG	287.08	10.96	457.78	0	0	0	468.74	182.83	6.82	254.09	13.42	13.13	0	13.13	470.29	-1.54	23.21	2.78	1.16	0.05	27.2	
11	YUKSOM	302.1	5.55	255.95	0	0	0	261.5	145.52	20.14	87.75	0.27	5.92	0	5.92	259.6	1.89	0	0	0.15	0	0.15	
	Total	528.18	63.58	2799	11.03	0	0	2873.61	1125.08	110.12	1356.31	29.17	63.85	1.18	65.03	2685.71	187.9	34.57	2.8	38.67	0.1	76.14	

STATEMENT 8(2) : Financial Performance Under MGNREGA during the Financial Year 2015-2016 (in Lakh Rupees)

S. No	Block	Opening Balance(OB)		Release of current year	Authorization	Misc Receipt	Money Refunded by PO to DPC	Total Availability	Cumulative Expenditure								Balance	Payment due*				
		CB as OB	Entered OB		of				Actual Expenditure				Adm.Exp			Total		On Unskilled Wage	On Semi-skilled and Skilled Wage	On Material	Tax	Total
					EFMS				On Unskilled Wage	On Semi-skilled and Skilled Wage	On Material	Tax	Rec Exp	Non-Rec Exp	Total Adm. Exp							
1	Martam	-1.67	2.2	147.5	0	0	0	149.7	93.94	3.23	55.53	0	0.4	0.1	0.5	153.21	-3.51	0	0	0	0	0
2	RANKA	2.98	0.18	64.5	134.58	0	0	199.26	135.06	1.67	61.2	4.61	0.5	0	0.5	203.04	-3.78	0.18	0	1.54	0.13	1.85
3	REGU	43.8	1.9	401.12	0	0	0	403.02	196.05	3.76	239.65	10.52	0	0	0	449.99	-46.97	0	0	0	0	0
4	RHENOCK	-6.21	1.95	169.26	0	0	0	171.21	101.05	7.52	42.86	2.47	2.18	0	2.18	156.07	15.14	0	0	0.06	0	0.06
5	CHUNGTHANG	104.02	10.22	386.03	0	0	0	396.25	260.78	0	127.46	6.44	8.09	0.05	8.14	402.83	-6.57	0	0	0	0	0
6	DZONGU	18.14	9.63	242.33	0	0	0	251.96	165.18	0	74.28	4.95	6.91	0	6.91	251.33	0.63	0	0	0	0	0
7	KABI	5.22	4.74	330.55	0	0	0	335.29	198.4	0	144.34	0	7.79	0	7.79	350.54	-15.24	0	0	71.77	0	71.77
8	Chongrang	-63.4	2.62	285.97	0	0	0	288.59	144.37	10.47	116.17	5.88	4.84	0	4.84	281.73	6.86	0	0.14	0	0	0.14
9	DARAMDIN	-7.91	1.2	160.48	327.59	0	0	489.27	327.08	10.25	147.2	0	14.04	0.8	14.84	499.37	-10.1	2.06	0	55.67	0	57.73
10	SORENG	-27.54	10.14	364.75	0	0	0	374.89	285.08	9.42	85.49	5.4	11.86	0	11.86	397.25	-22.36	0	0.87	11.71	0.46	13.04
11	YUKSOM	1.89	10.36	202.76	0	0	0	213.11	105.14	9.71	89.53	4.01	4.32	0	4.32	212.71	0.41	0	1.27	0	0	1.27
	Total	69.32	55.14	2755.25	462.17	0	0	3272.55	2012.13	56.03	1183.71	44.28	60.93	0.95	61.88	3358.07	-85.49	2.24	2.28	140.75	0.59	145.86

Source: MIS MGNREGA

Statement 9(1): Labour ,Material Ratio Analysis For The Financial Year 2014-2015 (Rs. in Lakhs)

S.No	Block	GP Level Works		Total Works		
		Component		Component		
		Labour	Material	Labour(%)	Material(%)	Total
1	Martam	34.13	44.32	34.13(43.51)	44.32(56.49)	78.45
2	RANKA	93.42	89.98	93.42(50.94)	89.98(49.06)	183.4
3	REGU	211.34	263.58	211.34(44.5)	263.58(55.5)	474.92
4	RHENOCK	113.17	136.06	113.17(45.41)	136.06(54.59)	249.23
5	CHUNGTHANG	73.67	70.86	73.67(50.97)	70.86(49.03)	144.53
6	DZONGU	66.37	93.2	66.37(41.59)	93.2(58.41)	159.57
7	KABI TINGDA	49.16	78.89	49.16(38.39)	78.89(61.61)	128.05
8	Chongrang	130.52	122.02	130.52(51.68)	122.02(48.32)	252.54
9	DARAMDIN	24.95	214.2	24.95(10.43)	214.2(89.57)	239.15
10	SORENG	182.83	274.33	182.83(39.99)	274.33(60.01)	457.16
11	YUKSOM	145.52	108.16	145.52(57.36)	108.16(42.64)	253.68
Total		1125.08	1495.6	1125.08(42.93)	1495.6(57.07)	2620.68

Source: MIS Report (www.nrega.nic.in)

Statement 9(2): Labour ,Material Ratio Analysis For The Financial Year 2015-2016 Unit (Rs. in Lakhs)						
S.No	Block	GP Level Works		Total Works		
		Component		Component		
		Labour	Material	Labour(%)	Material(%)	Total
1	Martam	93.94	58.76	93.94(61.52)	58.76(38.48)	152.7
2	RANKA	135.06	67.48	135.06(66.68)	67.48(33.32)	202.54
3	REGU	196.05	253.93	196.05(43.57)	253.93(56.43)	449.98
4	RHENOCK	101.05	52.85	101.05(65.66)	52.85(34.34)	153.9
5	CHUNGTHANG	260.78	133.9	260.78(66.07)	133.9(33.93)	394.68
6	DZONGU	165.18	79.23	165.18(67.58)	79.23(32.42)	244.41
7	KABI TINGDA	198.4	144.34	198.4(57.89)	144.34(42.11)	342.74
8	Chongrang	144.37	132.52	144.37(52.14)	132.52(47.86)	276.89
9	DARAMDIN	327.08	157.45	327.08(67.5)	157.45(32.5)	484.53
11	SORENG	285.08	100.31	285.08(73.97)	100.31(26.03)	385.39
12	YUKSOM	105.14	103.25	105.14(50.45)	103.25(49.55)	208.39
Total		2012.13	1284.02	2012.13(61.04)	1284.02(38.96)	3296.15

Source: MIS Report (www.nrega.nic.in)

Statement 10(1): Delayed Payment of Financial Year - 2014-2015(Rs. in Lakhs)															
S. No	Block	Delayed Payment Between 15-30 Days		Delayed Payment Between 30-60 Days		Delayed Payment Between 60-90 Days		Delayed Payment more than 90 Days		Total Delayed Payment		Total Payment For Financial Year 2014-2015		Total Delayed Payment (IN %)	
		Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
1	Martam	304	6.26	631	11.18	427	8.48	235	4.36	1597	30.28	1973	36.08	80	83
2	RANKA	337	4.53	2422	39.76	1943	30.32	1226	20.05	5928	94.66	6146	98.31	96	96
3	REGU	1203	21.73	2910	51.22	3637	71.28	2396	44.52	10146	188.75	11431	211.96	88	89
4	RHENOCK	973	20	1876	36.22	1212	21.62	1327	28.07	5388	105.91	6069	119.12	88	88
5	CHUNGTHANG	146	3.23	169	2.58	199	2.43	1747	41.68	2261	49.92	3114	73.67	72	67
6	DZONGU	167	3.47	251	1.32	0	0	851	10.78	1269	15.57	4481	68.72	28	22
7	KABITINGDA	63	0.59	323	2.84	0	0	0	0	386	3.42	3748	56.17	10	6
8	Chongrang	226	4.04	147	2.44	29	0.5	0	0	402	6.98	8059	129.8	4	5
9	DARAMDIN	0	0	74	1.7	55	0.96	8793	162.91	8922	165.58	9027	167.66	98	98
10	SORENG	608	11.42	1007	14.85	361	4.94	3307	39.44	5283	70.65	8122	112	65	63
11	YUKSOM	213	2.75	10	0.12	6	0.12	0	0	229	2.99	8371	145.52	2	2
	TOTAL	4240	78.02	9820	164.23	7869	140.65	19882	351.81	41811	734.71	70541	1219.01	59	60

Source: MIS Report (www.nrega.nic.in)

Statement 10 (2): Delayed Payment of Financial Year - 2015-2016(Rs. in Lakhs)															
S. No	Block	Delayed Payment Between 15-30 Days		Delayed Payment Between 30-60 Days		Delayed Payment Between 60-90 Days		Delayed Payment more than 90 Days		Total Delayed Payment		Total Payment For Financial Year 2015-2016		Total Delayed Payment (IN %)	
		Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
1	Martam	1036	21.89	965	19.62	193	4	84	2.05	2278	47.55	5019	105.03	45	45
2	RANKA	2274	37.51	2855	46.41	2691	41.86	1129	18.5	8949	144.28	10119	163.15	88	88
3	REGU	2761	54.69	7076	150.42	1862	38.38	1203	20.6	12902	264.1	16491	333.32	78	79
4	RHENO CK	1187	23.45	2278	46.96	1662	32.97	1132	22.21	6259	125.59	8082	162.27	77	77
5	Chongrang	117	0.71	1426	25.9	1855	32.97	1654	29.33	5052	88.9	14677	231.18	34	38
6	DARAM DIN	2732	57.82	4188	88.2	4465	91.45	2291	45.4	13676	282.87	15104	309.3	90	91
7	SORENG	6730	108.95	4857	79.64	3478	55.24	3836	64.98	18901	308.82	30274	508.9	62	60
8	YUKSO M	188	2.72	1783	29.4	771	12.92	459	8.26	3201	53.29	9621	151.99	33	35
9	CHUNG THANG	2395	74.02	1360	41.96	390	11.5	111	4.17	4256	131.65	9338	260.78	45	50
10	DZONG U	2181	37.27	1385	28.03	238	3.32	0	0	3804	68.62	9214	162.01	41	42
11	KABI TINGDA	2457	49.3	2141	45.56	613	11.39	859	18.53	6070	124.78	11015	226.5	55	55
	TOTAL	24058	468.3	30314	602.1	18218	336	12758	234.0	85348	1640.	138954	2614.	61	62

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Source: MIS Report (www.nrega.nic.in)

STATEMENT 11: STATEMENT SHOWING NOs OF OBJECTIONS AND AMOUNT INVOLVED

OBJECTIONS	AMOUNT (in Rupees)	NOs
Non adherence to rules		4
Non-remittance of deductions / recoveries	97814	3
Wasteful Expenditure	9575	3
Diversion of grants/funds		2
Non Production of Records	1748828	2
Others		10
TOTAL	1856217	24

GOVERNMENT OF SIKKIM
FINANCE, REVENUE & EXPENDITURE DEPARTMENT

PART – II

**CONSOLIDATED AUDIT AND REVIEW
REPORT ON THE ACCOUNTS OF
MUNICIPAL CORPORATION
FOR THE YEAR 2015-16**

DIRECTORATE OF LOCAL FUND AUDIT
DEORALI, SIKKIM

CONTENTS

STATEMENT No.	DESCRIPTION OF STATEMENTS OF CONSOLIDATED LOCAL FUND AUDIT AND REVIEW REPORT OF MUNICIPAL CORPORATION, FOR THE YEAR 2014-15	PAGE No.
II	Introductions and a few selected audit objections of Municipal corporation category wise	Part-II (1)
1	Consolidated Statement of Gangtok Municipal Corporation showing Receipt and Payment for the year 2014-15 (in Rs)	Part-II (15)
2	Statement showing the Category wise Amount involved and Number of Audit Objections during the period under audit	Part-II (15)
3	Statement of Consolidated Revenue Receipts of Municipal Corporation for the year 2014-15 (in Rs)	Part-II (16)

INTRODUCTION

1.1 Under the Sikkim Local Fund Audit Act, 2012 the Director of Local Fund Audit, Sikkim, is made in charge of the audit of the funds of local authorities and other authorities specified in the Schedule prescribed in the said Act. By virtue of this legal position the Director of Local Fund Audit, Sikkim, is the Auditor for the accounts of the Municipal Corporation constituted in the State of Sikkim viz. Gangtok Municipal Corporation.

1.2 The Department conducts post audit of the Municipal Corporation. Audit Reports consisting of defects noticed in audit is issued to the Commissioner of the Municipal Corporation concerned who has to take action for rectifying the defects pointed out in the Audit Report.

1.3 Under the Local Fund Audit Act, the Director is vested with the power of disallowing every item of the expenditure incurred contrary to the law and surcharge the same on the person incurring or authorizing the incurring of such expenditure and may charge against any person responsible there for, the amount of any deficiency, loss or unprofitable out lay occasioned by the negligence or misconduct of that person or of any such sum which ought to have been accounted for but is not brought into account by that person and shall, in every such case, certify the amount due from such person.

SCOPE OF AUDIT

2.1 The Local Fund Audit Division verifies the following aspects during the course of post audit of the Municipal Corporation.

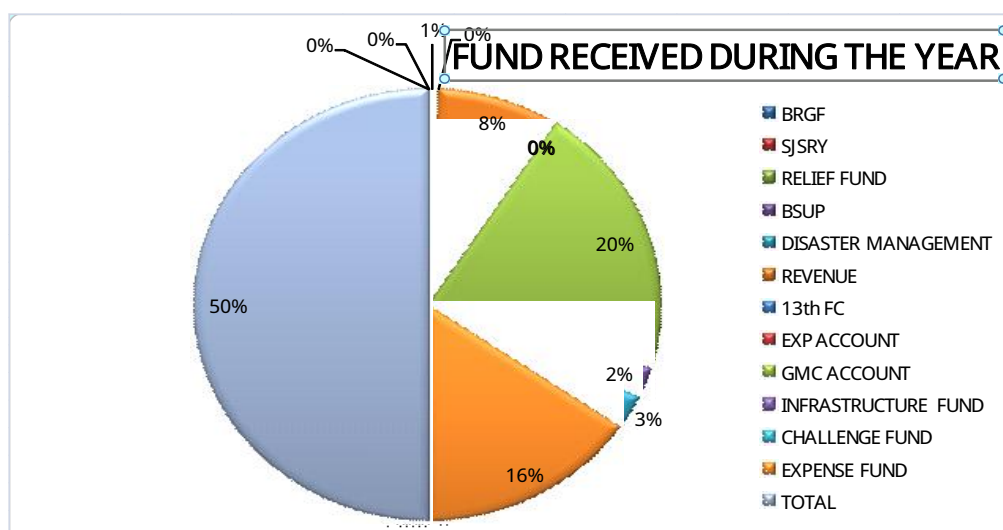
- ◆ Whether the amounts collected like taxes, fees etc., by the Municipal Corporation were properly accounted for with full details in the books of accounts of the Municipal Corporation concerned.
- ◆ Whether adequate care has been taken in periodical checking up of the funds with Treasury or Bank.
- ◆ Whether expenditure incurred is provided for in the Budget of the Municipal Corporation and duly sanctioned by the competent authority under the relevant rules and executive instructions issued by the Government.
- ◆ Whether funds are utilized only for the permitted purposes prescribed under the Sikkim Municipalities Act, 2007 Rules.
- ◆ Whether the procedure prescribed by Government in incurring the expenditure/payments made is properly followed and accounted for with due classification in the books of accounts of the Municipal Corporation.
- ◆ Whether vouchers for the expenditure incurred were maintained.
- ◆ Whether grants received from different sources were properly accounted for and utilized for the purposes for which they were meant.

GRANTS RECEIVED DURING THE YEAR BY THE MUNICIPAL CORPORATION.

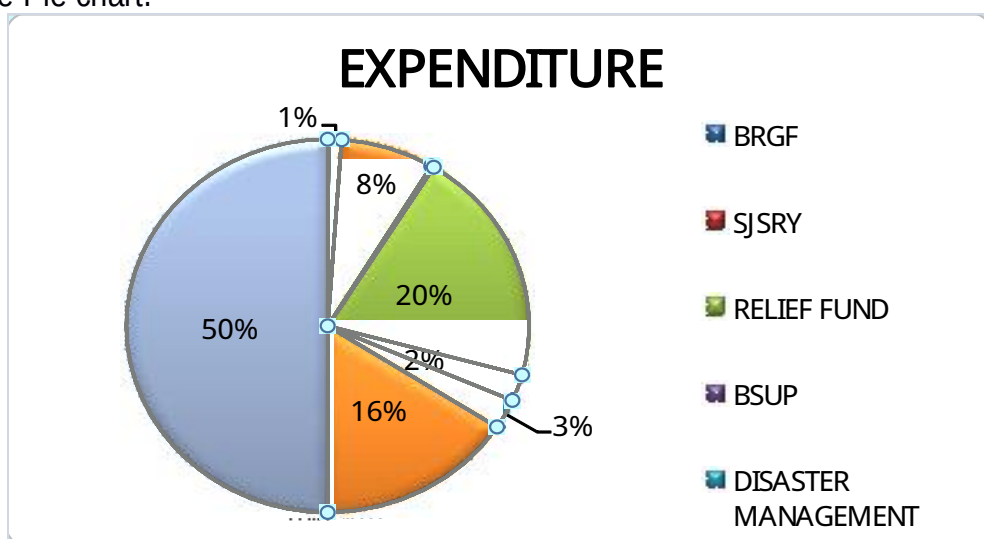
3.1 The Municipal Corporation are provided grants by the State / Central Governments to implement the schemes entrusted to them and also for over all development of the area under their jurisdiction.

3.2 The Receipts and Payments are inclusive of the various Grants received from Central and State Governments during the year 2014-15 by the Municipal Corporation. The fund wise statement of Gangtok Municipal Corporation is detailed in **Statement No.1**.

The Fund Wise Receipts of Gangtok Municipal Corporation for the year 2014-15 is exhibited below in the Pie chart.



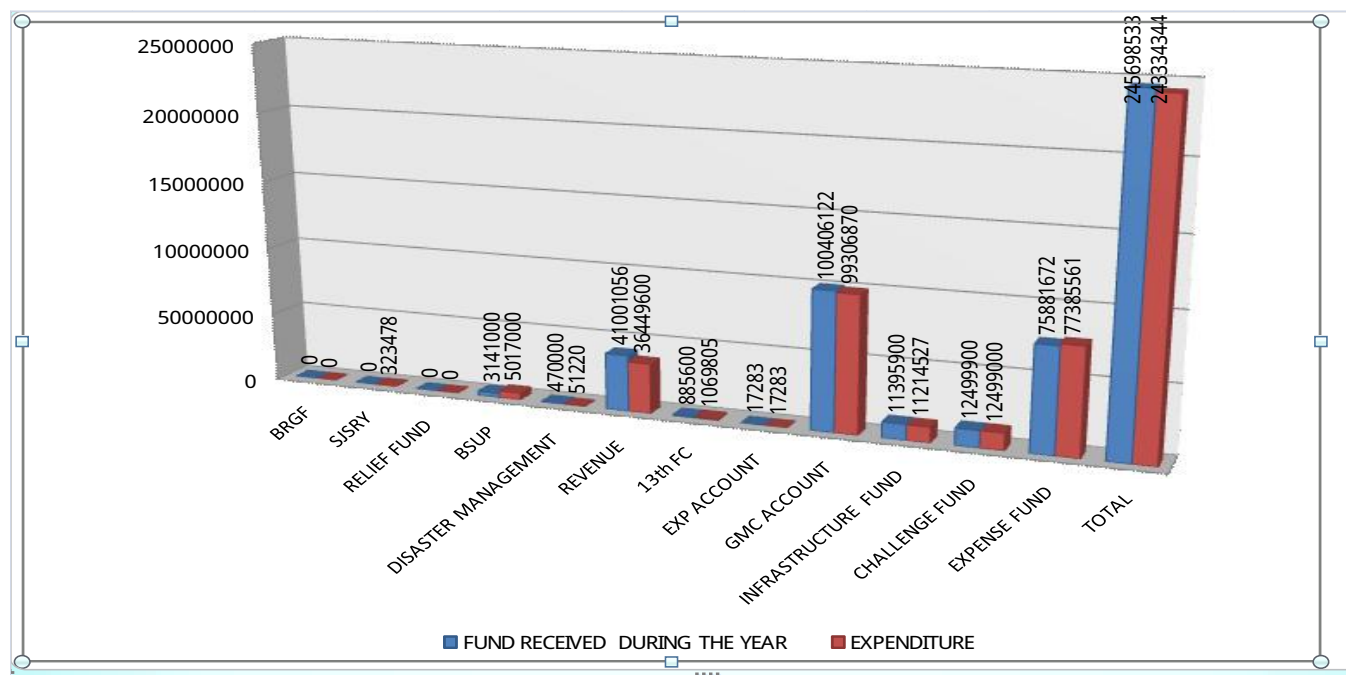
The Fund Wise Payments of Gangtok Municipal Corporation for the year 2014-15 are exhibited below in the Pie chart.



STATUS OF AUDIT

4.1 Audit of Municipal Corporation for the year 2014-15 was conducted.

4.2 The pattern of Receipts and Payments (Fund wise) of the GMC for the Year 2014-15 is exhibited in the Bar graph chart



AUDIT OBJECTIONS

5.1 During the course of audit of Municipal Corporation for the year 2014-15, various defects noticed were already pointed out in the relevant Audit Reports which were forwarded to the Municipal Commissioner for further action at their end as per the procedure laid down under the Sikkim Local Fund Audit Act.

5.2 A total number of 16 audit objections were raised in the audit of the Municipal Corporation during the year under report.

5.3 CATEGORISATION OF AUDIT OBJECTIONS

The various audit objections are classified into 8 categories as detailed below.

1. Non-utilization of grants within the time-frame
2. Advances pending adjustment
3. Non-remittance of deductions / recoveries from vouchers / pay bills /contingent bills
4. Excess payments
5. Non adherence of rules
6. Wasteful expenditure
7. Non production of records
8. Irregularities in execution of Works

5.4 Consolidated Statements showing the various Audit Objections raised in the Audit Reports with amounts involved category-wise are annexed as the **Statements No. 4.**

AUDIT PARAS

Gist of some of the selected audit objections of Gangtok Municipal Corporation raised during the year 2014-15 under report is enumerated below:

I. NON ADHERENCE OF RULES

It was noticed in the audit that in some cases the Rules / Government instructions for incurring the expenditure from the funds of the GMC were violated either due to negligence or ignorance. In certain cases, the funds of the GMC were utilized for the purposes other than which is permitted under the Act / Rules. It was also noticed that in few cases, Government instructions were not followed. Such irregular expenditure incurred was objected to in the relevant Audit Reports.

1. Rules not framed

The Gangtok Municipal Corporation has neither framed any financial rules/guidelines nor following Sikkim Financial Rules properly to regulate their financial matter. The GMC is incurring expenditure on their own decision by passing resolutions in the house.

With reference to letter from UDHD bearing *reference no. 51/GOS/UDHD/DEAAS/ULB/Acct dt. 8.2.11*, M/S G Choudary and Associates was appointed to take up the job of preparation and execution of "Operational of Double Entry Accrual Accounting in seven ULBs". However, even after passing of more than 5 years as on date, no such approved rules/guidelines have been made available. The Gangtok Municipal Corporation is advised to frame financial rules/guidelines and get them passed from Competent Authority as soon as possible.

2. Irregular purchase of stationery from private supplier - Rs. 2,79,994/-

As per *Notification No.8/Fin/Admn. Dated 16.02.2008*, all purchase relating to stationery items should be made from Sikkim Consumer Co-operative Society.

Scrutiny of paid vouchers for the period 2014-15 revealed that the GMC had purchased the stationery items for Rs. 2,79,994/- from private suppliers instead of Sikkim Consumer Co-operative Society. Details are given below:

Cheque no./date	Amount	Particular
582471/03.06.2014	40,880	Payment to Satnarian Periwal & Sons for supply of stationeries
582472/03.06.2014	55,300	Payment to Satnarian Periwal & Sons for supply of stationeries
582571/30.06.2014	81,003	Payment to Punam Sales & Stationery for supply of stationeries
584488/16.09.2014	28,963	Payment to Satnarian Periwal & Sons for supply of stationeries
584484/15.09.2014	9,880	Payment to Punam Sales & Stationery for supply of stationeries
584777/07.01.2015	16,433	Payment to Satnarian Periwal & Sons for supply of stationeries
593818/13.03.2015	47,535	Payment to Ikon Groups Gangtok for supply of stationeries
Total	2,79,994	

3. Repair of vehicle in unauthorized garages - Rs.13,15,450/-

As per rule No. 5(a), (b) (c) and (e) under Appendix-3 A of Sikkim Financial Rule, there will be a complete ban on getting vehicles repaired through private garages, other than those authorized by the Government. Vehicles requiring repairs shall first be examined by the Transport Department, SNT Division, who shall be the sole authority to examine the vehicles and certify the extent of repairs that are necessary and work order shall be issued on the basis of competitive tenders/quotations for all types of repair works from the authorized garages. The purchase of spare parts shall be made from manufacturers, authorized dealers/agencies on the basis of competitive rates duly verified by Chief Engineer, Transport Department, SNT Division. Scrutiny of records revealed that the GMC had paid Rs.13,15,450/- for repair of vehicles to Shri Shyam Enterprise, Gangtok which is not an authorized garage for repair but only a supplier.

Cheque no./date	Amount	Particulars
582509/19.06.2014	18,819	Payment to Shyam Enterprises for repair of SK.01.D.1167
582490/17.06.2014	13,800	Payment to Shyam Enterprises for repair of garbage vehicles
198902/21.05.2014	12,111	Payment to Shyam Enterprises for repair of SK.01.D.1167
582500/18.06.2014	32,273	Payment to Shyam Enterprises for repair of SK.01.D.1822
582509/19.06.2014	21,124	Payment to Shyam Enterprises for repair of SK.01.D.1167
582570/30.06.2014	34,005	Payment to Shyam Enterprises for repair of SK.01.D.0511
585144/20.08.2014	22,847	Payment to Shyam Enterprises for repair of SK.01.D.2650
582623/21.07.2014	47,618	Payment to Shyam Enterprises for repair of SK.01.D.1826
584787/15.01.2015	59,609	Payment to Shyam Enterprises for repair of SK.01.D.1832
582624/21.07.2014	31,885	Payment to Shyam Enterprises for repair of SK.01.D.1823
584787/15.01.2015	59,609	Payment to Shyam Enterprises for repair of SK.01.D.1832
593887/31.03.2015	6,00,000	Payment to Shyam Enterprises for repair of bull dozer model D-50
582483/11.06.2014	3,61,750	Payment to Shyam Enterprises for repair of bull dozer model D-50
Total	13,15,450	

4. Technical Report from SNT not obtained for - Rs.56,609/-

As per Para 5(b) of Appendix-3 A of SFR, which provides the procedure for repairs of Government vehicles shall be as follows:-

- There will be a complete ban on getting vehicles repaired through private garages, other than those authorized by the government
- Vehicles requiring repairs shall first be examined by the Transport Department, SNT Division, who shall be the sole authority to examine and certify the extent of repairs that are necessary.

Scrutiny of records revealed that the GMC has done the repair of garbage vehicle SK/01/D/1832 in an unauthorized Auto workshop, without obtaining Technical report from SNT. It is further noticed that despite of objection by GM SNT, GMC made payment of Rs. 56,609/- vide cheque no. 584787 dated 15.01.2015, to M/S Shyam Enterprises without obtaining rate verification and Technical Report from SNT.

5. Purchase without quotation for Rs.32,68,534/-

As per rule 126 & 127 of Sikkim Financial Rule and Notification No. 03/Fin/Actts dated 28.09.2004, the system of open competitive tender must be adopted whenever stores are purchased from open market directly. In case of purchases costing more than Rs. 10,00,000/-, it should be made either through STCS or open tenders, giving wide publicity/advertisements in leading newspapers at least a month before the last date of submission of tender. For purchase costing over Rs.20,000, it should be done normally through the State Trading Corporation of Sikkim or in exceptional cases of urgency, direct purchases may be made with the specific prior approval of the Finance Department inviting sealed tender/quotation through advertisement in local papers.

Scrutiny of vouchers revealed that the GMC had purchased various items for Rs. 32,68,534/- from various suppliers without obtaining prior approval of the Finance Department or inviting sealed tender/quotation through advertisement in local papers.

Cheque no./ date	Amount	Particular
582523/24.06.2014	1,17,132	Payment to Sikkim Electronics Sales & Services for supply of 12v batteries
582635/26.07.2014	1,31,562	Payment to Kuber Enterprise for supply of tyres/tube for SK.01.D.6511
582622/21.07.2014	1,31,562	Payment to Kuber Enterprise for supply of tyres/tube for SK.01.D.6511
582630/24.07.2014	2,50,000	Payment to Dewaker Basnet under scheme "Engage '14"
582586/03.07.2014	1,68,840	Payment to Chandrima Enterprise for supply and installation of sign board around Gangtok.
198894/08.05.2014	1,03,115	Payment to Abishek Enterprise for supply of materials for restoration of drainage system
584660/29.11.2014	1,33,095	Payment to Luckey Enterprise for supply of Tyre tube for SK.01.D.1823
593804/07.03.2015	1,32,721	Payment to Kuber Enterprise for supply of tyres/tube for SK.01.D.6511
593890/31.03.2015	1,19,023	Payment to Kuber Enterprise for supply of tyres/tube for SK.01.D.6511
593891/31.03.2015	1,06,712	Payment to Kuber Enterprise for supply of tyres/tube for SK.01.D.6511
218352/21.03.2015	15,01,584	Payment to Abishek Enterprise Deorali for supply of Angle Iron, ISMC etc.
593819/13.03.2015	3,73,188	Payment to Tshering Apreshs Enterprise Deorali for supply of Gumboot, plastic shoes etc.
Total	32,68,534	

II. NON-PRODUCTION OF RECORDS

The Urban Local Bodies provide certain basic civic infrastructure and services like Road, Drain, Street lights, Water Supply, Conservancy and solid waste management. They also perform certain regulatory functions. They also prepare plans for economic development and social justice. To fulfill all the needs, the total revenue base needs to be enhanced every year. With the raise in demand for services, the functionaries need to have effective financial management skills and accountability practices.

All these functions would be reflected on the record when they were accounted for as per the provisions contained in Sikkim Financial Rules, 1979, which comprises the comptroller and Auditor General (C&AG) rules together with the local rulings relating to Local variation in accounts procedure. These initial accounts are to be kept ready and should be produced to

Audit for verification. Then only the transparency in incurring of public money and their usefulness to the General Public can be reasonably judged.

The financial health of an institution depends up on the quality of the records that are being maintained to show the accountability of the financial transactions that occur in the institution. The provisions under *Rule 6 of Sikkim Local Fund Audit Act, 2012*, are clear that the onus for production of records to audit lies with the Executive Authority of the institution.

Though several half margin letters were issued for production of the required records, the Executive Authorities did not comply with and resulted in inaccessibility of the records and raising of paras to that extent.

1. Non Production of Payment Vouchers - Rs 5,76,638/-

Any Government servant entrusted with the payment of money shall obtain for every payment he makes, a voucher setting forth full and clear particulars of the claim and all information necessary for its proper classification and identification in the accounts.

However during the course of audit the following vouchers were not produced to the Audit team.

SL NO	CHEQUE NO & DATE	AMOUNT	DETAILS
1.	582470 / 03.06.2014	823	Being payment of FR for April & May 2014
2.	582496 / 17.06.2014	1600	Payment to Sikkim Express
3.	582497 / 17.06.2014	1600	Payment to Himali Bela
4.	582498 / 17.06.2014	11200	Payment to NOW
5.	582504 / 18.06.2014	3386	Reimbursement of A.E
6.	585121 / 04.08.2014	78720	Arrear bill
7.	585147 / 21.08.2014	2530	Reimb. for repair of SK.01.G.1470
8.	584536 / 26.09.2014	4500	
9.	584541 / 27.09.2014	57278	Payment for 9 (nine) items
10.	584646 / 21.11.2014	5545	Reimb. of A.E
11.	584833 / 28.01.2015	216972	Payment to Bhagirathi Fueling
12.	584834 / 28.01.2015	177484	Payment to A.E
13.	593832 / 24.03.2015	15000	Payment on a. of purchase of printing & stationary
	TOTAL	576638	

III. NON-REMITTANCE OF DEDUCTIONS / RECOVERIES:

It was noticed during the audit that various deductions / recoveries affected from the work bills / pay bills were not remitted to the Government or a part of them only were remitted in spite of statutory obligation to remit the same to Government account within a prescribed time limit under the relevant statutory provisions which also include penalty as well as prosecution for non- adherence.

1. Non deduction of printing commission charges - Rs 1530/-

As per *circular No. 110/Ptg & Sty./2011 dated 3.11.2004*, all the printing works of the State Government Department will be executed by the Printing Department itself. However, in case, if

the Government Press is not in the position to undertake printing works/ job due to pre-occupation or not having facilities etc. then alternative arrangement to get the work done by private press will be made as per *circular no. 90/Ptg & Sty./54 of 19th September 1989*. In such cases, 3% commission from the private press would be levied and credited under head 0058 Ptg. & Sty. as service charge.

Scrutiny of vouchers revealed that the GMC had incurred an amount of Rs.50,988/- for printing of trade license, agreements, etc from M/s Bonney Binding Works. Details are given below:-

Cheque no./date	Amount	3% commission to be deducted	Particulars
584579/28.10.2014	5,800	174	Payment to Bonny binding works for printing of 1000 copies of trade license
593809/07.03.2015	45,188	1,356	Payment of trade license from & registers from M/s .Bonney Binding Works
Total	50,988	1,530	

However, 3% commission charges amounting to Rs. 1530/- has not been deducted from the above printing presses.

IV. ADVANCES PENDING ADJUSTMENT

It was observed during the course of audit that temporary advances paid for specific purpose were outstanding for a long time though they should have been got adjusted through detailed bills and vouchers as soon as possible as per Sikkim Financial Rules. It was also observed that huge amounts of personal advances are also outstanding for a long time due to the inaction on the part of the Drawing & Disbursing Officer.

1. Outstanding advances - Rs.97,000/-

On scrutiny of Advance Register for the period 2014-15, it was revealed that the GMC paid an Advance amount of Rs. 97,000/- to the Officers of GMC for various purposes. However, the advances had not been adjusted till the date of Audit. Details are given below:-

Cheque no./date	Vr..No./date	Amount	Particulars
585173/26.08.2014	237/26.08.2014	40,000	Advance payment to A.E for construction of welcome gate and purchase of flower during the visit of Honorable Vice President.
207163/14.02.2014	05/14.02.2014	45,000	Advance payment to Mrs. Suda Rasaily, Development Area for conducting training under SJSRY Scheme.
563850/28.10.2013	327/28.10.2013	12,000	Advance payment to AMC for one day programme under Solid Waste Management Scheme.
Total		97,000	

2. Imprest Money - Rs.1,11,678/-

As per rule 105(1),(2), and (5) of SFR, Permanent advance of reasonable amount may be sanctioned by the Head of Department/Office to enable them to make payment of contingent

nature, every person holding Permanent advance/Imprest shall maintain the day to day accounts for expenditure from these advances in a subsidiary cash book in the prescribed form.

While going through the file bearing no. 107/Acctt/GMC/14-15, Municipal High Power Committee sanctioned Imprest money of Rs. 25,000/- only but GMC has drawn excess amount of Rs 111678/- without recoupment of the sanctioned Imprest of Rs. 25,000/-. Details of expenditure incurred are as follows:-

vide nsp no.5 & 6	Rs.57,278/-
vide nsp no.31 & 32	Rs.27,041/-
vide nsp no.34	Rs.27,359/-
TOTAL	Rs 1,11,678/-

V. EXCESS PAYMENTS

It was observed that in several cases, excess payments were made due to either.

- Incorrect calculations or
- Arithmetic errors in Bills or
- Admission of inadmissible claims or
- Lack of knowledge of Government instructions.

1. Excess drawl of Monthly POL - 250 Ltrs.

While going through the Monthly POL File SK.07/GMC/ACCOUNT/10-11, it was noticed that the rate of drawl of POL was not followed by GMC as per norms, of Circular no.30/home/2005 dated, 26/12/2005. The details are mentioned below.

SL NO	VECHILE NO	TYPES OF VEHICLE	ATTACHED TO	ADMISSIBLE QUANTITY	POL DRAWN	EXCESS QUANTITY (Ltrs)
1	SK.01.G 1470	BOLERO	M.C	60 ltrs	150 ltrs	90
2	SK.01.G 1752	BOLERO	DY. M.C	60 ltrs	100 ltrs	40
3	SK.01.G 1629	ALTO	B.O	30 ltrs	90 ltrs	60
4	SK.01.G 1634	ALTO	M.F.O	30 ltrs	60 ltrs	30
5	SK.01.G 1759	ALTO	A.M.C	30 ltrs	60 ltrs	30
	TOTAL					250

In the absence of approved rules in force, officers of GMC should follow the above mentioned circular. The officers should not draw POL in excess of prescribed ceiling limit without the approval from competent authority.

2. Irregular Payment of Conveyance Allowance - Rs 8000/-

As per the *Office memorandum no. 13/Fin/Acctt dated 11.08.2000*, conveyance allowance of vehicle is allowed to the officers of Joint Secretaries rank and above only. On the contrary to above O.M., Gangtok Municipal Corporation has been making payments @ Rs.8000/- per month to its officer below the rank of Joint Secretary i.e., Assistant Engineer.

Such unauthorized payment must be stopped immediately and necessary steps may be taken to recover the same from the concerned Officer and intimated to the Audit.

VI. NON-UTILISATION OF GRANTS WITHIN THE TIME FRAME

Government releases special grants to the local bodies for implementing specific schemes. These grants are to be utilized for the purposes for which they are meant for duly following the relevant guidelines.

1. Non Utilization of Grant under SJSRY Scheme - Rs.24,35,234/-.

The Scheme strives to provide gainful employment to the Urban unemployed and underemployed poor through training and encouraging the setting up of self employed ventures to the urban poor living below the poverty line.

Scrutiny of records pertaining to the Scheme (SJSRY) revealed that a sum of Rs. 52,84,516/- was transfer by the Nodal Department (UD&HD) under the Schemes components (details are tabulated under) during the financial year 2011-2012 &2012-2013.

However, only 54% of the available fund was utilized under the Scheme up to 2014-15, and remaining 46% were surrendered to Nodal Department, indicating inadequate performance of Gangtok Municipal Corporation in implementing the programme.

Component	Amount	Expenditure	Balance
Training (STEP-UP) amount to be incurred on on-going tailoring training	28,04,720	21,13,278	6,91,558
Subsidy (USEP)	7,08,480	Nil	7,08,480
UWEP	7,08,480	7,08,480	Nil
Community structure (UCDN)	3,54,240	Nil	3,54,240
T&CS and DWUCUA(UWSP)	4,25,088	Nil	4,25,088
(a) Loan and Subsidy			
(b) Revolving Fund	2,83,392	27,524	2,55,868
Total	52,84,516	28,49,282	24,35,234

VII. WASTEFUL EXPENDITURE

The canons of financial propriety envisaged in the Sikkim Financial Rules are sacrosanct for all Government Authorities entrusted with authorizing or incurring of expenditure from public funds. They are expected under *Rule 11* to exercise the same diligence and care in expending public money under their control as persons of ordinary prudence would exercise in respect of their own money.

Government has issued instructions through various orders and also incorporated in the

statutes of Local Bodies the various items on which public money can be expended and the principles to be adhered to while expending on such items. Yet, it was noticed in audit that the funds of Municipal Corporation were several times incurred without adhering to the laid down principles leading to the wasteful expenditure of public money. All the cases of such wasteful expenditure observed in the audit of Municipal Corporation for the audited financial year were expenditures that were avoidable, extraordinary and lacked proper planning.

1. Overtime Allowance - Rs 12000/-

As per Rule 44 (1),(2),(5) and (6) of Sikkim Financial Rule, Gazetted Officers shall not be eligible for Overtime Allowance.

The work in all offices should be so organized that ordinarily it should be capable of being done during the normal office hours. The question of Overtime allowance to be done should arise only in special circumstances. Where, in special circumstances, it becomes absolutely necessary to perform overtime work, the competent authority (viz. Head of Department/Head of Officer) may authorize such overtime work, after satisfying himself that the work is of such an urgent nature that it cannot be postponed in the public interest till the next working day the competent authority should as far as possible specify beforehand the time up to which a government servant may be required to perform overtime. The certificate prescribed in Rule 44 of SFR shall to be furnished in the Overtime allowance bills.

Overtime Register: A register of overtime work done shall be maintained in each office in which entries shall be made as and when overtime work authorized by the competent authority is performed by the government servant concerned.

As per Rule 44 (1) of SFR, Gazetted Officers shall not be eligible for Overtime Allowance. However, on scrutiny of vouchers it was revealed that all the officers and staff of GMC have drawn overtime allowance for 50 days w.e.f 1.04.14 to 5.06.14 which is highly irregular. No Overtime allowance Register was maintained and the Overtime allowance bills were not supported by the certificate of Head of Office.

Details are given below:-

Name	Designation	No.of days	Rate	Amount
Shri Anil Raj Rai	Commissioner	50	@40/-	Rs.2000/-
Shri H.K Chettri	DMO	50	@40/-	Rs.2000/-
Mrs.Sarah Tamang	B.O	50	@40/-	Rs.2000/-
Mr. Sangay Gyatso Bhutia	AMC	50	@40/-	Rs.2000/-
Shri.Sushil Pradhan	MFO	50	@40/-	Rs.2000/-
Mr.K.W Chankapa	Sr. Inspector	50	@40/-	Rs.2000/-
Total				Rs.12,000/-

2. Wasteful Expenditure - SJSRY Scheme

Swarna Jayanti Sahari Rozgar Yojana Scheme was launched by the Government of India with the objective to provide training to poor urban population for self employment and urban poverty alleviation. However the fund was diverted and used in construction of walls and office

expenses beyond the ambit of scheme guidelines as it did not help in generating gainful employment and resulted in wasteful expenditure.

VIII. IRREGULARITIES IN EXECUTION OF WORKS

It was noticed in the audit that in some cases the Rules / Government instructions under Sikkim Public Works Code and Manual for were violated either due to negligence or ignorance. It was also noticed that in few cases, Government instructions were not followed. Such irregularities in execution of works were objected to in the relevant Audit Reports.

1. Irregularities in works executed under SJSRY Scheme:

a) Name of work “Construction of protective wall at Daragoan”, East Sikkim, under the SJSRY Scheme - Rs 69529/-

Amount was paid to M/s Abishek Enterprise for Rs. 69,529, vide cheque no. 186955 date 17.09.2015, for supply of stock and non stock material.

SL no	Item	Qty	Rate	Amount
i)	Cement	30 bags	367.76	Rs.29,421/-
ii)	Sand	200 cft	30	Rs.6000/-
iii)	Stone chips	400 cft	60	Rs.24,000/-
iv)	Stone	450 cft	25	Rs.1125/-
v)	W/proof ply	64 sq.	41	Rs. 2624/-
	TOTAL			<u>Rs.63,170/-</u>

DEDUCTION		AMOUNT
Vat 13.5%	on items 1 & 5	Rs.4326/-
Vat 4%	on items 2 & 4	Rs.1401/-
Cess 1%		<u>Rs. 632/-</u>
TOTAL		<u>Rs.69,529/-</u>

The Audit team observed the following irregularities in the above schemes.

- Though the work was executed departmentally, 10% contractor's profit from the estimated cost was not deducted while making payment.
- Work register was not maintained for the above works.
- Royalty amount was not realized for the total quantity of stock and non stock materials used for the above work. Royalty statement was not prepared to support the works bill.
- The above work was not recorded in the measurement book.

b) Name of work:-Renovation of Gents toilet at Gangtok Municipal Corporation, Deorali under (Infrastructure Fund) - Rs.51,980/-

Total sanctioned amount :	Rs.5,19,800/-
Advance drawn	Rs.3,00,000/- (vide ch. no.582525 dt.24.06.14)
Adjusted amount	Rs.2,19,462/- (vide ch. no. 584648 dt.22.11.14)

The Audit team observed the following irregularities in the above schemes.

- Though the work was executed departmentally, 10% contractor's profit from the estimated cost was not deducted while making payment. This has caused an excess expenditure of Rs.51,980/- in the scheme.
- Work register was not maintained for the above works.
- M.B No.184/GMC has not been certified by the concerned authority.
- As per rule no. 58(a) Sikkim Public Works Code 2009 the payment of civil works should be made by form no. 24 instead of C.B. Form.

c) Name of work : Providing Iron Grating along the High Way from Mintokgang to C.M.P Golai Tadong - Rs.9,09,590/-.

Sanctioned amount	Rs.90,95,900/-
Date of commencement	30.10.2014
Date of completion	31.01.2015
Date of measurement	08.12.2014

The Audit team observed the following irregularities in the above schemes.

- although the work was executed departmentally, 10% contractor's profit from the estimated cost was not deducted while making payment. This has caused an excess expenditure of Rs.9,09,590/- in the scheme.
- Work register was not maintained for the above works.
- Royalty amount was not realized for the total quantity of stock and non stock materials used for the above work. Royalty statement was not prepared to support the works bill.

STATEMENT 1

Consolidated Statement of Gangtok Municipal Corporation showing Receipt and Payment for the year 2014-15 (in Rs)

SI.NO	SCHEME/ PROGRAMME	OPENING BALANCE	FUND RECEIVED DURING THE YEAR	INTEREST	TOTAL FUND	EXPENDITURE	CLOSING BALANCE
1	BRGF	44246	0	1381	45627	0	45627
2	SJSRY	2170027	0	81904	2251931	323478	1928453
3	RELIEF FUND	8338	0	86	8424	0	8424
4	BSUP	2688826	3141000	99190	5929016	5017000	912016
5	DISASTER MANAGEMENT	1133677	470000	86154	1689831	51220	1638611
6	REVENUE	1393819	41001056	77788	42472663	36449600	6023063
7	13th FC	193741	885600	5746	1085087	1069805	15282
8	EXP ACCOUNT	48599	17283	1963	67845	17283	50562
9	GMC ACCOUNT	10562	100406122	1889	100418573	99306870	1111703
10	INFRASTRUCTURE FUND	0	11395900	57644	11453544	11214527	239017
11	CHALLENGE FUND	0	12499900	15073	12514973	12499000	15973
12	EXPENSE FUND	2841304	75881672	162412	78885388	77385561	1499827
	TOTAL	10533139	245698533	591230	256822902	243334344	13488558

STATEMENT 2

Statement showing the Category wise Amount involved and Number of Audit Objections during the period under audit

CATEGORY	AMOUNT (In Rs)	No
ADVANCES PENDING ADJUSTMENT	208678	2
IRREGULARITIES IN EXECUTION OF WORKS	1031099	3
NON PRODUCTION OF RECORDS	576638	1
NON REMITTANCE OF DEDUCTIONS / RECOVERIES:	1530	1
NON UTILISATION OF GRANTS WITHIN THE TIME	2443234	3
NON ADHERENCE TO RULES	4920587	5
WASTEFUL EXPENDITURE	12000	1
Grand Total	9193766	16

STATEMENT 3**Statement of Consolidated Revenue Receipts of Municipal Corporation for the year 2014-15 (in Rs)**

SL NO	ITEM/HEAD OF ACCOUNT	AMOUNT
1.	SOLID WASTE MANAGEMENT	6581656
2.	PARKING LOTS	2564555
3.	TRADE LICENSE	10511573
4.	BAZAAR CONTRACT	1461000
5.	RENTS FROM OFFICE & SHOPPING COMPLEX	6229410
6.	PAY & USE TOILETS	363055
7.	HOARDING & BANNERING	200188
8.	SANITATION FEES	616315
9.	HIRE CHAGES FOR VEHICLES	112900
10.	SALE OF FORMS	180970
11.	FINES AND PENALTIES	1089131
12.	TEMPORATY PERMISSION FEES	122790
13.	INTEREST FROM SAVINGS AC	244751
14.	INTEREST FROM FD AC	2046479
	Grand Total	32324773

CONCLUSION

Non adherence to rules, notification and circulars of the State Government were noticed in the functioning of Local Bodies. No budget proposal was prepared by the Local Bodies and expenditure was incurred without preparation and approval of budget as required under the provisions of the respective Acts/Rules, which is the basic tool of accountability and good governance. The Local Bodies have neglected to remit the realized revenues like VAT, Cess & Forest Royalty into Government account. The Local Bodies have not realized commission on printing and stationary charges as required by the prevailing rule. Adoption of rates without proper survey, analysis and investigation of prevailing market rates resulted in excess payments which were noticed in the Local Bodies during the course of audit.

The basic records like Receipt and Payment Register, Balance Sheet, Assets and liabilities Register, Advance Register, Cash Book [Revenue Account] were not maintained in most of the PRIs. Non levy of taxes under Sections 39[1] and 40[1] of Sikkim Panchayat Act, 1993 were noticed by audit team. None of the PRIs adopted the Model Accounting System for PRIs prescribed by Ministry of Panchayat Raj in 2009 for maintenance of accounts. Accordingly audit team couldn't obtain reports generated through the (PRIASOFT) software which forms an integral part of auditing. GPUs have failed to provide Annual Financial Statements and the Audit teams have lost valuable time in preparation, compilation and providing explanation of the same during audit period.

The Gangtok Municipal Corporation has neither framed any financial rules/guidelines nor following Sikkim Financial Rules properly to regulate their financial matter. The State Government is yet to approve the Sikkim Urban Local Bodies Accounting Manual which is essential for preparation of budgets in accordance with the Sikkim Municipalities Act, 2007 which would strengthen the internal control and financial management mechanism.

During the course of audit the audit team as far as possible took all efforts to sensitize the concerned authorities of the PRIs and Municipalities regarding all the relevant standing Government Rules and norms; and also Financial Rules as incorporated in the Sikkim Financial Rules, 1979. The PRIs and Municipalities were also familiarized with regard to the proper book keeping of all items of expenditure and revenues. The concerned authorities of the PRIs and Municipalities have assured the Audit Teams that the existing lacunae will be looked into and all necessary actions would be taken to ensure that the suggestions made by the Audit teams will be strictly adhered to in future.

Gangtok
The 24.2.2017

Countersigned

(Govind Kaushik)
Director, Local Fund Audit

Gangtok
The 24.2.2017

(M. G. Kiran)
Principal Secretary
Finance, Revenue & Expenditure Department

GOVERNMENT OF SIKKIM
FINANCE, REVENUE & EXPENDITURE DEPARTMENT

ANNEXURE

**CONSOLIDATED AUDIT AND REVIEW
REPORT ON THE ACCOUNTS OF
PANCHAYATI RAJ INSTITUTIONS & GMC
FOR THE YEAR 2014-15 & 2015-16**

DIRECTORATE OF LOCAL FUND AUDIT
DEORALI, SIKKIM

CONTENTS

Annexure No.	Description Of Statements Of Consolidated Local Fund Audit And Review Report For The Year 2014-15 & 2015-16
1	Consolidated Statement Showing Revenue Collected With GPU-Wise Break-Up For The Year 2014-15
2	Consolidated Statement Showing Revenue Collected With ZP-Wise Break-Up For The Year 2014-15 & 2015-16
3	Consolidated Statement Of Receipts & Payments Of Gram Panchayats (Block wise) For The Year 2014-15 & 2015-16 [In Rupees]
4	Consolidated Statement Of Receipts & Payments Of Zilla Panchayats For The Year 2014-15 & 2015-16 (In Lakh Rupees)
5	Consolidated Statement Showing The Number Of Objections Raised & Amount(In Rs) Involved With Institution-Wise Break-Up For The Year 2014-15
	A. All Gpus
	B. Zp Wise
6	6 (1): Consolidated Statement Showing The Objections Concerning Advances Pending Adjustment And Amounts Involved In 13 GPUs Under Soreng And Rhenock Blocks
	6 (2): Consolidated Statement Showing The Advances Drawn And Vat & Cess Not Deducted - Gpu Wise (In Rupees)
7	7 (1): Consolidated Statement Showing The Cases Of Objections Concerning Non Production Of Records And Vouchers Not Created - 29 GPUs Under Regu, Kabi, Chungthang, Daramdin, Chongrang & Yuksum Blocks
	7 (2): Consolidated Statement Showing The Cases And Amounts Involved In Objections Concerning Non Production Of Records And Vouchers Not Created - 13 GPUs Under Soreng And Dzongu Blocks
	Introductions And a Few Selected Audit Objections On Implementation Of MGNREG Scheme –Category Wise
8	8 (1) : Financial Performance Under MGNREG a During The Financial Year 2014-2015 (In Lakh Rupees)
	8 (2) : Financial Performance Under MGNREG a During The Financial Year 2015-2016 (In Lakh Rupees)
9	9(1): Labour ,Material Ratio Analysis For The Financial Year 2014-2015
	9(2): Labour ,Material Ratio Analysis For The Financial Year 2015-2016
10	10(1): Delayed Payment Of Financial Year - 2014-2015(Rs. In Lakhs)
	10(2): Delayed Payment Of Financial Year - 2015-2016(Rs. In Lakhs)
11	Statement Showing Nos Of Objections And Amount Involved
12	Consolidated Statement of Gangtok Municipal Corporation showing Receipt and Payment for the year 2014-15 (in Rs)
13	Statement showing the Category wise Amount involved and Number of Audit Objections during the period under audit
14	Statement of Consolidated Revenue Receipts of Municipal Corporation for the year 2014-15 (in Rs)

ANNEXURE NO. 1**CONSOLIDATED STATEMENT SHOWING REVENUE COLLECTED WITH GPU-WISE
BREAK-UP FOR THE YEAR 2014-15**

GPU	REVENUE COLLECTION DURING 2014 – 15
33 - NAMLI	57862
36 - SAMLIK MARCHAK	65412
38 - MARTAM NAZITAM	98273
39 - BYENG PHEGYONG	83930
14 - LINGTHEM-LINGDEM	1733
15 - PASSINGDANG SAFFO	54890
16 - TINGVONG	4310
17 - SAKYONG-PENTONG	880
19 - HEE-GYATHANG	21180
20 - LUM-GOR-SANGTOK	2500
32 - LUING PERBING	18096
33 - RANKA	15900
34 - RAY MINDU	31042
35 - RAWTEY RUMTEK	70450
07 - TAZA	9108
09 - RHENOCK	69645
11 - SUDUNG LAKHA	54030
22 - BERING TAREYTHANG	20650
32 - SULDUNG KAMLING	129953
34 - KHANISIRBONG SUNTALEY	4468
35 - CHOTA SAMDONG ARUBOTEY	2000
41 - MALBASEY	13560
42 - SORENG	286007
43 - SINGLING	6000
44 - TIMBURBUNG	8139
45 - THARPU	19025
46 - KARTOK BHOJEK	4550
47 - DODAK	66699
48 - BARIAKHOP	25060
50- NAVEY SOTAK	105,739
51- LINGDOK	81958
10-ARITAR	72,560
12-DALAPCHAND	72883
16-LIGTAM PHADAMCHEN	79287
17-LAMATEN ROLEP	72883
3-LABDANG	376962
4-TASHIDING	124,050
49-RUMBUK	175,838
50-UPPER THAMBUNG	175,838
51-LOWER THAMBUNG	116,921
52-LUNGCHOK SALANGDANG	110,479
53-SIKTAM TIKPUR	71,295
54-OHKREY	406614
6-GERETHANG	225,410
8-KHECUPELRI	425,129

TOTAL	2337537

ANNEXURE NO. 2

CONSOLIDATED STATEMENT SHOWING REVENUE COLLECTED WITH ZP-WISE BREAK-UP FOR THE YEAR 2014-15 & 2015-16

(Amount in Rs.)-

Sl.No.	Name of Account	Opening Balance	Receipt (incl. interest)	Total Receipt	Payment	Closing Balance
EDZP 14-15	Revenue/Canteen Rent	189307	106314	295621	0	295621
NDZP 14-15	Revenue from Conference hall, Canteen, Xerox, etc	700,144	118,700	818,844	200,000	618,844
NDZP 15-16	-do-	618844	169,448	788,292	401,582	386,710
TOTAL		1508295	394462	1902757	601582	1301175

ANNEXURE NO - 3

Consolidated Statement of Receipts & Payments of GPUs - BLOCK LEVEL WISE for the year 2014-15 (in Rupees)

BLOCK	Sum of Total	Sum of Payments during the year
CHONGRANG	2752359	1405730
CHUNGTHANG	8996558	5572244
DARAMDIN	32708482.21	26793743
DZONGU	19414763	13925035
KABI	3779322	2409168
MARTAM	5731195	4333290
RANKA	7807701	3768474
REGU	31820448	27183831
RHENOCK	8148316	5569108
SORENG	23143271	19288687
YUKSUM	60250470	34533757
Grand Total	204552885.2	144783067

Consolidated Statement of Receipts & Payments of Zilla Panchayats for the year 2014-15 & 2015-16 (in Lakh Rupees)

	EDZ P 2014 -15			NDZ P 2014 -15			NDZ P 2015 -16			Rece ipt Tota l	Paym ent Total	Closi ng Bala nce Total
Name of Account	Tota l Rece ipt	Paym ent	Closi ng Bala nce	Tota l Rece ipt	Paym ent	Closi ng Bala nce	Tota l Rece ipt	Paym ent	Closi ng Bala nce			
13TH FC	583. 75	433.2 6	150.4 8	289. 23	111.4 6	177.7 7	639. 73	241.8 1	397.9 2	1512 .71	786.5 3	726.1 7
3RD SFC	23.2 2	23.14	0.08	5.76	5.76	0	78.2 4	75.47	2.77	107. 22	104.3 7	2.85
BRGF	221. 57	199.2 2	22.35	214. 83	136.5 5	78.28	82.2 7	82.27	0	518. 67	418.0 4	100.6 3
Direction & Administ ration	209. 24	183.9 9	25.26							209. 24	183.9 9	25.26
MSDP (SJE & WD)				58.9 5	25.91	33.04	97.8 1	47.56	50.25	156. 76	73.47	83.29
State Fund - Develop ment Fund	622. 66	587.9 6	34.7							622. 66	587.9 6	34.7
TSP				126. 63	82.48	44.15	54.1 1	47.41	6.7	180. 74	129.8 9	50.85
Grand Total	1660 .44	1427. 57	232.8 7	695. 4	362.1 6	333.2 4	952. 16	494.5 2	457.6 4	3308	2284. 25	1023. 75

ANNEXURE NO. 5

**CONSOLIDATED STATEMENT SHOWING THE NUMBER OF OBJECTIONS
RAISED & AMOUNT(in Rs) INVOLVED WITH INSTITUTION-WISE BREAK-UP
FOR THE YEAR 2014-15**

1. All GPUs

OBJECTIONS	AMOUNT	NOs
Excess payments	389451	4
Non-remittance of deductions / recoveries	715168	2
Non adherence to rules	7000322	270
Advances pending adjustment	15995189	8
Diversion of grants/funds	1176720	12
Irregularities in Execution of Works	304441	7
Non Production of Records	1819524	99
Wasteful Expenditure	10000	1
Others		8
TOTAL	27410815	411

2. ZP Wise

OBJECTIONS	NDZP		EDZP		TOTAL	
	AMOUNT	NOs	AMOUNT	NOs	AMOUNT	NOs
Excess payments	58678	1			58678	1
Non-remittance of deductions / recoveries			8144	1	8144	1
Non adherence to rules	268568	3	34853	2	303421	5
Advances pending adjustment	1301432	1	6176755	1	7478187	2
Diversion of grants/funds	3397925	2	2800000	1	6197925	3
Irregularities in Execution of Works	1617860	4			1617860	4
TOTAL	6644463	11	9019752	5	15664215	16

**6(1) CONSOLIDATED STATEMENT SHOWING THE OBJECTIONS
CONCERNING ADVANCES PENDING ADJUSTMENT AND AMOUNTS
INVOLVED IN 13 GPUs UNDER SORENG AND RHENOCK BLOCKS**

Sl. No.	Cheque No & Date	Amount (Rs.)	Scheme	GPU	Particulars
1	343422 – 31.01.2015	150000	BRGF	Suldung Kamling	Advance payment to Panchayat President for the construction of waiting shed.
2.	528980 – 03.07.2015	100000	BRGF	Mabong Sigeng	Advance payment to Panchayat President for renovation and purchase of furniture for GPK.
3.	346415 – 08.01.2015	200000	-do-	- do -	Advance payment to Panchayat President for the construction of Cement Concrete footpath from Mabong dara to GPK.
4.	343091 – 28.10.2015	10000	TFC	- do -	Advance payment to Panchayat President for the purchase of stationeries.
5.	343343 – 20.01.2015	195000	BRGF	Khanisirbung Suntaley	Advance payment to Panchayat President/Secretary for the repair of GPK.
6.	341851 – 12.01.2015	250000	BRGF	Chota Samdong Arubotey	Advance payment to Panchayat Secretary for construction of crematorium & waiting shed.
7.	343071 – 04.11.2014	210000	TFC	- do -	Advance payment to Panchayat President for fencing & painting at GPU.
8.	343074 – 12.01.2015	250000	TFC	- do -	Advance payment to Panchayat President for procurement of furniture.
9.	343023 – 28.06.2014	100000	TFC	Malbasey	Advance payment to Panchayat President for the construction of waiting shed at Malbasey GPU.
10.	346474 – 09.01.2015	150000	BRGF	- do -	Advance payment to Panchayat President for start the RWSS work at Ward No 2.
11.	342001 – 12.01.2015	180000	BRGF	Soreng	Advance payment to Panchayat President for the work “Construction of crematorium shed at Ward No – 2”.
12.	342003 – 03.03.2015	100000	-do-	- do -	2 nd advance payment to Panchayat President for the above mentioned work.
13.	254983 – 12.07.2014	20000	TFC	Singling	Advance payment to La Dorjee Bhutia for repair of crematorium shed at Ward No 5.
14.	726208 – 02.07.2014	150000	BRGF	- do -	Advance payment to Panchayat President for the construction of waiting shed at Singling Ward No 3
15.	726209 – 22.10.2014	100000	-do-	- do -	2 nd advance payment to Panchayat President for the construction of waiting shed at Singling Ward No 3
16.	3463400 – 15.12.2014	200000	TFC	Timburbung	Advance payment to Panchayat President for the construction of Cement Concrete foot path & repair of stage at Bojek Jr. High School,
17.	345157 – 17.01.2015	200000	BRGF	Tharpu	Advance payment to Kanchan Pradhan for the construction of protective wall beside GPU Bhawan.
18.	345153 -	150000	-do-	- do -	Advance payment to Krishna Sharma for

	12.07.2014				the construction of waiting shed at Tharpu dara.
19.	345154 – 14.07.2014	50000	-do-	- do -	Advance payment to Panchayat President for the construction of protective wall at Pranami Mandir.
20.	344224 – 31.12.2014	150000	TFC	- do -	Advance payment to Suren Pradhan for the construction of 6 nos of garbage bin.
21.	346112 – 09.07.2014	100000	BRGF	Kartok Bojek	Advance payment to D.L. Chettri for construction of protective wall at GPU.
22.	41757 – 07.03.2015	40000	TFC	- do -	Advance payment to Panchayat President for the purchase of sound system.
23.	41762 – 25.03.2015	30000	TFC	- do -	Advance payment to Panchayat member Ms. Jug Maya Subba for construction of Devi Mandir.
24.	343008 – 25.11.2014	200000	TFC	Dodak	Advance payment to Panchayat President for the construction of CC footpath from Devithaney goan to RCC bridge at Ward No 2.
25.	342934 – 04.06.2014	120000	BRGF	Bariakhop	1 st advance payment to Panchayat President/Secretary for purchase of furniture.
26.	342936 – 15.07.2014	50000	-do-	- do -	2 nd advance payment to Panchayat President/Secretary for purchase of furniture.
27.	726042 – 12.01.2015	137000	-do-	- do -	Advance payment to Panchayat President for construction of waiting shed at Ward No – 5
28.	006299 – 09.12.2014	188000	BRGF	Rhenock	Advance payment to President Work Implementing Committee for the repairing of drinking water pipelines and source development at Kyongsa Ward.
29.	021109 – 13.03.2015	350000	Development Fund	- do -	Advance payment to Mr. Khus Narayan Bhujel, Panchayat Secretary for repair of RWSS at Rungdung Ward.
30.	005378 – 25.11.2014	141006/-	BRGF	Sudung Lakha	President Work Implementing Committee. Advance payment for the construction of public toilet and protective wall behind the GPK.
31.	005379 – 10.01.2015	112805/-	-do-	- do -	Advance payment to President Work Implementing Committee.
	Total	4383811			

**6(2) CONSOLIDATED STATEMENT SHOWING THE ADVANCES DRAWN AND
VAT & CESS NOT DEDUCTED - GPU WISE (in Rupees)**

SL NO	NAME OF GPU	BLOCK	DISTRICT	SANCTION	ADVANCE	VAT	CESS
1.	LINGDOK	KABI	EAST	521940			
2.	NAVEY SOTAK	KABI	EAST	230000			
3.	ARITAR	REGU	EAST	1641850	862534	24540	5232
4.	CHUJACHEN	REGU	EAST	1213389	340000	27483	3799
5.	DALAPCHAND	REGU	EAST	1427656	480000	24993	2117
6.	LIGTAM PHADAMCHEN	REGU	EAST	2237840	450000	14207	3172
7.	PREMLAKHA SUBANEYDARA	REGU	EAST	2324000	500000	42235	4590
8.	REGU	REGU	EAST	2031496	250000	39843	8402
9.	LAMATEN ROLEP	REGU	EAST	2021098	220000	36532	2611
10.	RONGLI CHANGEYLAKHAA	REGU	EAST	1905500	450000	20153	3200
11.	LACHUNG	CHUNGTHANG	NORTH	1693564	480000		
12.	LACHEN	CHUNGTHANG	NORTH				
13.	CHUNGTHANG	CHUNGTHANG	NORTH	1739750			
14.	SHIPGYER	CHUNGTHANG	NORTH	1266659	502650		
15.	KABI TINGDA	KABI	NORTH	1085522	272250		
16.	PHENSONG	KABI	NORTH	1535814			
17.	MENRONGONG	KABI	NORTH	2170222		12320	
18.	TUMLONG	KABI	NORTH				
19.	TASHIDING	CHONGRANG	WEST	2738000	590450	15253	6100
20.	LABDANG	CHONGRANG	WEST	2054900	120000	2896	396
21.	LOWER THAMBUNG	DARAMDIN	WEST		967876	60188	13228
22.	OHKREY	DARAMDIN	WEST	191740	399358	8086	1840
23.	SIKTAM TIKPUR	DARAMDIN	WEST	5215000	411576	10653	1048
24.	UPPER THAMBUNG	DARAMDIN	WEST	1212910	793700	71386	15479
25.	LUNGCHOK SALLANGDANG	DARAMDIN	WEST	528700	275000	15843	3385
26.	RUMBUK	DARAMDIN	WEST	1549849	820000	76600	7332
27.	RIBDI BHARANG	DARAMDIN	WEST	941000	388600	15035	2066
28.	YUKSUM DUPDI	YUKSUM	WEST	1749090	855000	12528	2823
29.	MELLI ACHING	YUKSUM	WEST	1406014	381000	29436	4517
30.	KHECUPELRI	YUKSUM	WEST	180756	779384	17819	1591
31.	GERETHANG	YUKSUM	WEST	1807700	22000	24346	3281
	TOTAL			44621959	11611378	602375	96209

**7(1) CONSOLIDATED STATEMENT SHOWING THE CASES OF OBJECTIONS
CONCERNING NON PRODUCTION OF RECORDS AND VOUCHERS NOT
CREATED - 29 GPU_s UNDER REGU, KABI, CHUNGTHANG, DARAMDIN,
CHONGRANG & YUKSUM BLOCKS**

SL NO	NAME OF GPU	BLOCK	DISTRICT	NON PRODUCTION OF FILES / RECORDS	VOUCHERS NOT CREATED
1.	ARITAR	REGU	EAST	7	7
2.	CHUJACHEN	REGU	EAST		9
3.	DALAPCHAND	REGU	EAST	10	10
4.	LIGTAM PHADAMCHEN	REGU	EAST		11
5.	PREMLAKHA SUBANEYDARA	REGU	EAST	10	10
6.	REGU	REGU	EAST	6	8
7.	LAMATEN ROLEP	REGU	EAST		11
8.	RONGLI CHANGEYLAKHAA	REGU	EAST	8	2
9.	LINGDOK	KABI	EAST		2
10.	NAVEY SOTAK	KABI	EAST		
11.	LACHUNG	CHUNGTHANG	NORTH		
12.	LACHEN	CHUNGTHANG	NORTH		
13.	CHUNGTHANG	CHUNGTHANG	NORTH	1	1
14.	SHIPGYER	CHUNGTHANG	NORTH		8
15.	KABI TINGDA	KABI	NORTH		
16.	PHENSONG	KABI	NORTH	2	2
17.	MENRONGONG	KABI	NORTH		
18.	TUMLONG	KABI	NORTH		
19.	YUKSUM DUPDI	YUKSUM	WEST	7	15
20.	MELLI ACHING	YUKSUM	WEST		17
21.	KHECUPELRI	YUKSUM	WEST		18
22.	GERETHANG	YUKSUM	WEST		16
23.	TASHIDING	CHONGRANG	WEST	11	20
24.	LABDANG	CHONGRANG	WEST	15	16
25.	LOWER THAMBUNG	DARAMDIN	WEST		23
26.	OHKREY	DARAMDIN	WEST	10	16
27.	SIKTAM TIKPUR	DARAMDIN	WEST	4	

28.	UPPER THAMBUNG	DARAMDIN	WEST		9
29.	RUMBUK	DARAMDIN	WEST		7
30.	LUNCHOK SALLANGDANG	DARAMDIN	WEST		7
31.	RIBDI BHARANG	DARAMDIN	WEST	5	18
	TOTAL			96	263

**7(2) CONSOLIDATED STATEMENT SHOWING THE CASES AND AMOUNTS INVOLVED IN
OBJECTIONS CONCERNING NON PRODUCTION OF RECORDS AND VOUCHERS NOT
CREATED - 13 GPUs UNDER SORENG AND DZONGU BLOCKS**

Sl. No.	Cheque No & Date	Amount (Rs.)	Scheme	GPU	Particulars
1	425518 – 15.05.2014	193017	TFC	32 – Suldung Kamling	Payment on account of repair of conference hall at GPK, repair of Buddha dham, board writing and repair of waiting shed.
2.	425526 – 08.11.2014	45434	TFC	- do -	Expenditure incurred for conducting Gram Sabha.
3.	346412 – 24.07.2014	69787	BRGF	33 - Mabong Sigeng	Payment on account of purchase of plastic chair 160 nos & visitor chairs 10 nos.
4.	343092 – 25.11.2014	55000	TFC	- do -	Expenditure incurred for conducting Gram Sabha.
5.	281000 – 30.04.2014	150000	TFC	- do -	Expenditure incurred on account of repair of Panchayat Bhawan & maintenance of Sachiva Chamber.
6.	3465807 – 02.07.2014	26680	TFC	34 Khanisirbung Suntaley	Payment on account of repair of toilet at GPK.
7.	346558 – 12.06.2014	45000	-do-	- do -	Payment on account of construction of RWSS at Hoorgown Ward No 5.
8.	343328 – 10.12.2014	33720	-do-	- do -	Payment on account of repair of ICDS at Chekkhim.
9.	121679 – 17.07.2014	196962	BRGF	35 – Chota Samdong Arubotey	Payment to Panchayat President for repair/renovation of GPK
10.	121680 – 12.09.2014	200000	-do-	- do -	Advance payment to Panchayat President for boundary fencing at GPK.
11.	341853 – 27.02.2015	31400	-do-	- do -	Adjustment/final payment for above work.
12.	343060 – 11.08.2014	200000	TFC	- do -	Final payment to president for construction of toilet.
13.	343023 – 28.06.2014	100000	TFC	41 – Malbasey	Advance payment to Panchayat President for the construction of waiting shed at Malbasey GPU.
14.	346474 – 09.01.2015	150000	BRGF	- do -	Advance payment to Panchayat President for start the RWSS work at Ward No 2.
15.	280548 – 01.07.2014	110000	TFC	45 - Singling	Payment on account of repair of RWSS from Simdap at Ward No 4.
16.	254984 – 15.07.2014	50000	-do-	- do -	Payment to Sushma Tamang on account of emergency fund for land slide.
17.	341502 – 19.12.2014	150000	-do-	- do -	Payment on account of repair of RWSS wards wise.
18.	280548 – 07.07.2014	37292	TFC	46 - Timburbung	Payment on account of repair of RWSS from Ghemrey Dhara to Vidhya Bharati School at Ward No 4 & 5.

19.	121789 20.01.2015	–	31400	BRGF	- do -	Payment on account of supply of furniture & necessary equipments in newly constructed GPK.
20.	280549 10.07.2014	–	247000	-do-	- do -	Payment for fitting & fixing iron grills for windows at GPK.
21.	315095 08.05.2014	–	54765	SFC/TF C	47 - Tharpu	Payment to Panchayat Secretary for Adm. Expenses.
22.	315096 17.07.2014	–	150000	-do-	- do -	Payment to Panchayat Secretary for renovation of GPK
23.	344222 18.12.2014	–	40000	-do-	- do -	Payment to Panchayat Secretary for construction of welcome board & hoarding board.
24.	344221 18.12.2014	–	50000	-do-	- do -	Payment to Panchayat Secretary for construction of waiting shed.
25.	345157 17.01.2015	–	200000	BRGF	- do -	Advance payment to Kanchan Pradhan for the construction of protective wall beside GPU Bhawan.
26.	346111 27.06.2014	–	247335	BRGF	48 – Kartok Bojek	Payment on account of orange plantation.
27.	346112 09.07.2014	–	100000	BRGF	- do -	Advance payment to D.L. Chettri for construction of protective wall at GPU.
28.	346113 30.09.2014	–	131000	BRGF	- do -	Final payment to D.L. Chettri for construction of protective wall at GPU.
29.	346412 24.07.2014	–	69787	BRGF	48 – Dodak	Payment on account of purchase of plastic chair 160 nos & visitor chairs 10 nos.
30.	343092 25.11.2014	–	55000	TFC	- do -	Expenditure incurred for conducting Gram Sabha.
31.	281000 30.04.2014	–	150000	TFC	- do -	Expenditure incurred on account of repair of Panchayat Bhawan & maintenance of Sachiva Chamber.
32.	344677 31.11.2014	–	320000	TFC	49 – Bariakhop	Payment to Panchayat President for construction of garbage tank at all wards under GPU.
33.	342926 24.04.2014	–	97000	BRGF	- do -	Final payment to Panchayat President for construction of waiting shed at Bich Goan.
34.	242929 01.05.2014	–	54000	SFC	- do -	Payment to Panchayat President for purchase of office stationeries.
35.	344679 04.09.2014	–	54000	VWSC	- do -	Payment to Panchayat President for repair of log bridge at Ward No – 3.
36.	444701 17.07.201	–	441703	BRGF	14 – Lingthem- Lingdem	Payment to Mrs. Nimkit Lepcha for extension of playground & fencing at Laven Primary School.
37.	444708 11.11.204	–	157600	-do-	- do -	Final payment for above work.
38.	444709 16.12.2014	–	402896	-do-	- do -	Payment to A.E. Passingdong BAC for repair of RWSS at Sakyong Mentam.
39.	444710 18.12.2014	–	400000	-do-	- do -	Payment to A.E. Passingdong BAC for repair of RWSS at Lingdem.
40.	001199 25.08.2014	–	50000	TFC	- do -	Payments to Mrs. Nimkit Lepcha for RWSS repair at Sakyong Mentam Ward.
41.	001200 05.07.2014	–	27025	-do-	- do -	Expenditure incurred on account of purchase of office stationeries.
42.	010383 25.11.2014	–	60000	-do-	- do -	Payments to Mrs. Nimkit Lepcha for purchase of P.A. System.
43.	010385 09.01.2015	–	25000	-do-	- do -	Payment to Mr. Norbu Tshering Lepcha for RWSS at Lingthem Gumpa.
44.	122434 30.04.2014	–	347921	BRGF	16 – Tingvong	Payment for extension of meeting hall at Nung Ward.

45.	122445 – 12.08.2014	266401	BRGF	- do -	Final payment for the above mentioned work.
	Total	6074125			

**8(1): Financial Performance Under MGNREGA during the Financial Year 2014-2015
(in Lakh Rupees)**

S. N o	Block	Opening Balance(O B)		Rele ase of current year	Author ization of EFMS	Total Avail ability	Cumulative Expenditure								Bala nce	Payment due*				
		Actual Expenditure					Adm.Exp			Total l	On Unskilled Wage	On Semi-skilled and On Material	Tax	Rec Exp		Non-Rec Exp	Total Adm. Exp			
1	Martam	15.9	4.07	80.8	0	84.87	34.13	3.24	40.98	0.1	1.51	0.27	1.78	80.24	4.63	0	0	0	0	0
2	RANKA	37.01	4.07	172.68	10.86	187.61	93.42	3.69	83.93	2.36	0.75	0	0.75	184.15	3.46	0	0.02	0	0	0.02
3	REGU	146.47	6.96	512.5	0	519.46	211.34	22.24	240.93	0.41	0.25	0.55	0.75	475.66	43.8	0.82	0	0	0	0.82
4	RHENO CK	2.32	10.81	263.04	0	273.85	113.17	14.2	121.07	0.79	0.5	0	0.5	249.72	24.13	0.88	0	0	0	0.88
5	CHUNG THANG	11.82	4.28	255.41	0	259.68	73.67	3.7	65.32	1.84	10.72	0.41	11.13	155.66	104.02	2.76	0	0	0	2.76
6	DZONG U	0.28	4.32	167.07	0	171.39	66.37	8.1	80.06	5.04	3.32	0	3.32	162.89	8.5	2.16	0	0	0	2.16
7	KABI	29.52	6.35	135.91	0	142.26	49.16	12.13	66.26	0.5	9	0	9	137.05	5.22	2.44	0	0.75	0.05	3.24
8	Chongrang	-306.49	2.73	262.37	0	265.1	130.52	11.39	106.19	4.44	10.85	0	10.85	263.39	1.7	0	0	0	0	0
9	DARA MDIN	2.17	3.48	235.49	0.17	239.15	24.95	4.47	209.73	0	7.9	0	7.9	247.06	-7.91	2.3	0	36.61	0	38.91
10	SOREN G	287.08	10.96	457.78	0	468.74	182.83	6.82	254.09	13.42	13.13	0	13.13	470.29	-1.54	23.21	2.78	1.16	0.05	27.2
11	YUKSO M	302.1	5.55	255.95	0	261.5	145.52	20.14	87.75	0.27	5.92	0	5.92	259.6	1.89	0	0	0.15	0	0.15
	Total	528.18	63.58	2799	11.03	2873.61	1125.08	110.12	1356.31	29.17	63.85	1.18	65.03	2685.71	187.9	34.57	2.8	38.67	0.1	76.14

Source: MIS MGNREGA

8(2) : Financial Performance Under MGNREGA during the Financial Year 2015-2016 (in Lakh Rupees)

S. No	Block	Opening Balance(O B)		Release of current year	Authorization of EFMS	Total Availability	Cumulative Expenditure								Balance	Payment due*						
		CB as OB	Entered OB				Actual Expenditure				Adm.Exp			Total		On Unskilled	On Semi-skilled and	On Material	Tax	Rec Exp	Non-Rec	Total Adm. Exp
1	Martam	- 1.67	2.2	147.5	0	149.7	93.94	3.23	55.53	0	0.4	0.1	0.5	153.21	- 3.51	0	0	0	0	0		
2	RANKA	2.98	0.18	64.5	134.58	199.26	135.06	1.67	61.2	4.61	0.5	0	0.5	203.04	- 3.78	0.18	0	1.54	0.13	1.85		
3	REGU	43.8	1.9	401.12	0	403.02	196.05	3.76	239.65	10.52	0	0	0	449.99	- 46.97	0	0	0	0	0		
4	RHENO CK	- 6.21	1.95	169.26	0	171.21	101.05	7.52	42.86	2.47	2.18	0	2.18	156.07	15.14	0	0	0.06	0	0.06		
5	CHUNG THANG	104.02	10.22	386.03	0	396.25	260.78	0	127.46	6.44	8.09	0.05	8.14	402.83	- 6.57	0	0	0	0	0		
6	DZONG U	18.14	9.63	242.33	0	251.96	165.18	0	74.28	4.95	6.91	0	6.91	251.33	0.63	0	0	0	0	0		
7	KABI	5.22	4.74	330.55	0	335.29	198.4	0	144.34	0	7.79	0	7.79	350.54	- 15.24	0	0	71.77	0	71.77		
8	Chongrang	- 63.4	2.62	285.97	0	288.59	144.37	10.47	116.17	5.88	4.84	0	4.84	281.73	6.86	0	0.14	0	0	0.14		
9	DARAM DIN	- 7.91	1.2	160.48	327.59	489.27	327.08	10.25	147.2	0	14.04	0.8	14.84	499.37	- 10.1	2.06	0	55.67	0	57.73		
10	SORENG	- 27.54	10.14	364.75	0	374.89	285.08	9.42	85.49	5.4	11.86	0	11.86	397.25	- 22.36	0	0.87	11.71	0.46	13.04		
11	YUKSO M	1.89	10.36	202.76	0	213.11	105.14	9.71	89.53	4.01	4.32	0	4.32	212.71	0.41	0	1.27	0	0	1.27		
	Total	69.32	55.14	2755.25	462.17	3272.55	2012.13	56.03	1183.71	44.28	60.93	0.95	61.88	3358.07	- 85.49	2.24	2.28	140.75	0.59	145.86		

Source: MIS MGNREGA

9(1): Labour ,Material Ratio Analysis For The Financial Year 2014-2015
 (Rs. in Lakhs)

S.No	Block	GP Level Works		Total Works		
		Component		Component		
		Labour	Material	Labour(%)	Material(%)	Total
1	Martam	34.13	44.32	34.13(43.51)	44.32(56.49)	78.45
2	RANKA	93.42	89.98	93.42(50.94)	89.98(49.06)	183.4
3	REGU	211.34	263.58	211.34(44.5)	263.58(55.5)	474.92
4	RHENOCK	113.17	136.06	113.17(45.41)	136.06(54.59)	249.23
5	CHUNGTHANG	73.67	70.86	73.67(50.97)	70.86(49.03)	144.53
6	DZONGU	66.37	93.2	66.37(41.59)	93.2(58.41)	159.57
7	KABITINGDA	49.16	78.89	49.16(38.39)	78.89(61.61)	128.05
8	Chongrang	130.52	122.02	130.52(51.68)	122.02(48.32)	252.54
9	DARAMDIN	24.95	214.2	24.95(10.43)	214.2(89.57)	239.15
10	SORENG	182.83	274.33	182.83(39.99)	274.33(60.01)	457.16
11	YUKSOM	145.52	108.16	145.52(57.36)	108.16(42.64)	253.68
Total		1125.08	1495.6	1125.08(42.93)	1495.6(57.07)	2620.68

Source: MIS Report (www.nrega.nic.in)
9(2): Labour ,Material Ratio Analysis For The Financial Year 2015-2016 Unit
 (Rs. in Lakhs)

S.No	Block	GP Level Works		Total Works		
		Component		Component		
		Labour	Material	Labour(%)	Material(%)	Total
1	Martam	93.94	58.76	93.94(61.52)	58.76(38.48)	152.7
2	RANKA	135.06	67.48	135.06(66.68)	67.48(33.32)	202.54
3	REGU	196.05	253.93	196.05(43.57)	253.93(56.43)	449.98

4	RHENOCK	101.05	52.85	101.05(65.66)	52.85(34.34)	153.9
5	CHUNGTHA NG	260.78	133.9	260.78(66.07)	133.9(33.93)	394.68
6	DZONGU	165.18	79.23	165.18(67.58)	79.23(32.42)	244.41
7	KABI TINGDA	198.4	144.34	198.4(57.89)	144.34(42.11)	342.74
8	Chongrang	144.37	132.52	144.37(52.14)	132.52(47.86)	276.89
9	DARAMDIN	327.08	157.45	327.08(67.5)	157.45(32.5)	484.53
11	SORENG	285.08	100.31	285.08(73.97)	100.31(26.03)	385.39
12	YUKSOM	105.14	103.25	105.14(50.45)	103.25(49.55)	208.39
Total		2012.13	1284.02	2012.13(61.04)	1284.02(38.96)	3296.15

Source: MIS Report (www.nrega.nic.in)

ANNEXURE NO 10

10(1): Delayed Payment of Financial Year - 2014-2015(Rs. in Lakhs)

S. No	Block	Delayed Payment Between 15-30 Days		Delayed Payment Between 30-60 Days		Delayed Payment Between 60-90 Days		Delayed Payment more than 90 Days		Total Delayed Payment		Total Payment For Financial Year 2014-2015		Total Delayed Payment (IN %)	
		Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
1	Martam	304	6.26	631	11.18	427	8.48	235	4.36	1597	30.28	1973	36.08	80	83
2	RANKA	337	4.53	2422	39.76	1943	30.32	1226	20.05	5928	94.66	6146	98.31	96	96
3	REGU	1203	21.73	2910	51.22	3637	71.28	2396	44.52	10146	188.75	11431	211.96	88	89
4	RHENOCK	973	20	1876	36.22	1212	21.62	1327	28.07	5388	105.91	6069	119.12	88	88
5	CHUNGTHANG	146	3.23	169	2.58	199	2.43	1747	41.68	2261	49.92	3114	73.67	72	67
6	DZONGU	167	3.47	251	1.32	0	0	851	10.78	1269	15.57	4481	68.72	28	22
7	KABITINGDA	63	0.59	323	2.84	0	0	0	0	386	3.42	3748	56.17	10	6
8	Chongrang	226	4.04	147	2.44	29	0.5	0	0	402	6.98	8059	129.8	4	5
9	DARA	0	0	74	1.7	55	0.9	8793	162	8922	165	9027	167	98	98

	MDIN						6		.91		.58		.66		
10	SOREN G	608	11. 42	1007	14. 85	361	4.9 4	3307	39. 44	5283	70. 65	8122	112	65	63
11	YUKSO M	213	2.7 5	10	0.1 2	6	0.1 2	0	0	229	2.9 9	8371	145 .52	2	2
	TOTAL	4240	78.0 2	9820	164. 23	7869	140. 65	19882	351. 81	41811	734. 71	70541	121 9.01	59	60

Source: MIS Report (www.nrega.nic.in)

10 (2): Delayed Payment of Financial Year - 2015-2016(Rs. in Lakhs)															
S. No	Block	Delayed Payment Between 15-30 Days		Delayed Payment Between 30-60 Days		Delayed Payment Between 60-90 Days		Delayed Payment more than 90 Days		Total Delayed Payment		Total Payment For Financial Year 2015-2016		Total Delayed Payment (IN %)	
		Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved	Total Transactions	Amount Involved
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
1	Martam	1036	21.89	965	19.62	193	4	84	2.05	2278	47.55	5019	105.03	45	45
2	RANKA	2274	37.51	2855	46.41	2691	41.86	1129	18.5	8949	144.28	10119	163.15	88	88
3	REGU	2761	54.69	7076	150.42	1862	38.38	1203	20.6	12902	264.1	16491	333.32	78	79
4	RHENO CK	1187	23.45	2278	46.96	1662	32.97	1132	22.21	6259	125.59	8082	162.27	77	77
5	Chongrang	117	0.71	1426	25.9	1855	32.97	1654	29.33	5052	88.9	14677	231.18	34	38
6	DARA MDIN	2732	57.82	4188	88.2	4465	91.45	2291	45.4	13676	282.87	15104	309.3	90	91
7	SOREN G	6730	108.95	4857	79.64	3478	55.24	3836	64.98	18901	308.82	30274	508.9	62	60
8	YUKSO M	188	2.72	1783	29.4	771	12.92	459	8.26	3201	53.29	9621	151.99	33	35
9	CHUNG THANG	2395	74.02	1360	41.96	390	11.5	111	4.17	4256	131.65	9338	260.78	45	50
10	DZONG U	2181	37.27	1385	28.03	238	3.32	0	0	3804	68.62	9214	162.01	41	42
11	KABI TINGDA	2457	49.3	2141	45.56	613	11.39	859	18.53	6070	124.78	11015	226.5	55	55
	TOTAL	24058	468.33	30314	602.1	18218	336	12758	234.03	85348	1640.45	138954	2614.43	61	62

Source: MIS Report (www.nrega.nic.in)

ANNEXURE NO 11

11: STATEMENT SHOWING NOS OF OBJECTIONS AND AMOUNT INVOLVED

OBJECTIONS	AMOUNT (in Rupees)	NO s
Non adherence to rules		4
Non-remittance of deductions / recoveries	97814	3
Wasteful Expenditure	9575	3
Diversion of grants/funds		2
Non Production of Records	1748828	2
Others		10

TOTAL	1856217	24
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ANNEXURE NO 12

Consolidated Statement of Gangtok Municipal Corporation showing Receipt and Payment for the year 2014-15 (in Rs)

SL.N O	SCHEME/ PROGRAMME	OPENING BALANC E	FUND RECEIVED DURING THE YEAR	INTERE ST	TOTAL FUND	EXPENDIT URE	CLOSING BALANC E
1	BRGF	44246	0	1381	45627	0	45627
2	SJSRY	2170027	0	81904	2251931	323478	1928453
3	RELIEF FUND	8338	0	86	8424	0	8424
4	BSUP	2688826	3141000	99190	5929016	5017000	912016
5	DISASTER MANAGEMENT	1133677	470000	86154	1689831	51220	1638611
6	REVENUE	1393819	41001056	77788	42472663	36449600	6023063
7	13th FC	193741	885600	5746	1085087	1069805	15282
8	EXP ACCOUNT	48599	17283	1963	67845	17283	50562
9	GMC ACCOUNT	10562	10040612 2	1889	10041857 3	99306870	1111703
10	INFRASTRUCTU RE FUND	0	11395900	57644	11453544	11214527	239017
11	CHALLENGE FUND	0	12499900	15073	12514973	12499000	15973
12	EXPENSE FUND	2841304	75881672	162412	78885388	77385561	1499827
	TOTAL	1053313 9	24569853 3	591230	25682290 2	243334344	1348855 8

ANNEXURE NO 13

Statement showing the Category wise Amount involved and Number of Audit Objections during the period under audit

CATEGORY	AMOUNT (In Rs)	No
ADVANCES PENDING ADJUSTMENT	208678	2
IRREGULARITIES IN EXECUTION OF WORKS	1031099	3
NON PRODUCTION OF RECORDS	576638	1
NON REMITTANCE OF DEDUCTIONS / RECOVERIES:	1530	1
NON UTILISATION OF GRANTS WITHIN THE TIME	2443234	3

NON ADHERENCE TO RULES	4920587	5
WASTEFUL EXPENDITURE	12000	1
Grand Total	9193766	16

Statement of Consolidated Revenue Receipts of Municipal Corporation for the year 2014-15 (in Rs)

SL NO	ITEM/HEAD OF ACCOUNT	AMOUNT
1.	SOLID WASTE MANAGEMENT	6581656
2.	PARKING LOTS	2564555
3.	TRADE LICENSE	10511573
4.	BAZAAR CONTRACT	1461000
5.	RENTS FROM OFFICE & SHOPPING COMPLEX	6229410
6.	PAY & USE TOILETS	363055
7.	HOARDING & BANNERING	200188
8.	SANITATION FEES	616315
9.	HIRE CHARGES FOR VEHICLES	112900
10.	SALE OF FORMS	180970
11.	FINES AND PENALTIES	1089131
12.	TEMPORARY PERMISSION FEES	122790
13.	INTEREST FROM SAVINGS AC	244751
14.	INTEREST FROM FD AC	2046479
	Grand Total	32324773



PROCEDURAL LAPSES IN EXECUTION OF WORK

Name of work

Protective wall beside GPK Bhawan

GPU

45 Tharpu, West Sikkim

Scheme

BRGF

Sanctioned cost

Rs.278000.00

Audit observation

- i. Advance drawn before execution of work was Rs.200000.00 (72% of total sanction) which is yet to be adjusted.
- ii. Payment vouchers were not created.
- iii. No estimate/Technical sanction.
- iv. No technical guidance was taken while executing the work.

Dilapidated condition of Bering Tareythang Panchayat Bhawan, East Sikkim under Rhenock BAC.



Regular classes being run at 45 – Tharpu Gram Panchayat Bhawan under Soreng Block Administrative Centre, West Sikkim.



Audit team observed that running regular classes of eleventh standard in Gram Prasasan Kendra is not advisable both in the interest of the Gram Prasasan Kendra and education for the school students. Both, the office as well as the school gets disturbed from each others' activities.

Under construction Martam Block Administrative Centre, East Sikkim.



Sub-standard quality of work – MGNREGS under Soreng BAC



Name of the beneficiaries

Kulman Rai

GPU

33 Mabong Segeng

Ward

4 Upper Segeng

Work

Construction of cow shed of 2 units



Name of the beneficiaries

Bhagirath Dhital

GPU

45 Tharpu

Ward

01 Raigaon

Work

Construction of cow shed of 2 units

Audit observation:Scrutiny of records and interaction with beneficiaries revealed that the required materials (cement & sand) as per estimate were not provided to the beneficiaries. The supply of lesser quantity of materials than estimated has degenerated the quality of work, as seen in the above images 1 & 2.

SITE VISIT OF CONSTRUCTION OF RCR AT REWLAKHA IN CHUJACHEN GPU (E)



SITE VISIT OF CONSTRUCTION OF RCR AT PIPALBOTEY IN LUNGCHOK SALANGDANG GPU (W)



ENTRY CONFERENCE AT YUKSUM BAC (W)



SITE VISIT OF CONSTRUCTION OF COMMUNITY CENTER AT KONGRI LABDANG GPU (W)



ENTRY CONFERENCE AT DARAMDIN BAC (W)



SITE VISIT OF CONSTRUCTION OF RCC GARBAGE COLLECTION BOX AT RIBDI BHARANG GPU (W)



Local Fund Audit Team with Panchayat Members of 17 – Sakyong-Pentong GPU, Dzongu (N)



Exit conference at East District Zilla Panchayat Bhawan, East Sikkim, Gangtok.



Entry conference at Passingdang Block Administrative Centre, Dzongu, North Sikkim



Joint Director – DLFA with staff at 11 – Sudunglakha GPU under Rhenock BAC, East Sikkim.



Principal Director, Joint Director & Staff of Local Fund Audit Division (FRED) with Panchayat Members at 33 – Mabong Segeng GPU under Soreng BAC, West Sikkim



Addressing BDO, Panchayat Members & functionaries by the Principal Director, DLFA during exit conference at Soreng Block Administrative Centre, West Sikkim.



Principal Director & Staff of Local Fund Audit Division (FRED) with Panchayat Members at 13 – Shipgyer GPU under Chungthang BAC, North Sikkim



Site visit of MGNREGS work at Genzol Ward in Phensong GPU under Kabi Tingda BAC, North Sikkim

